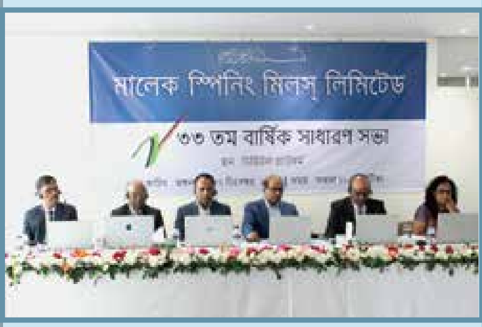
ANNUAL REPORT

2022-2023

MALEK SPINNING MILLS LTD.

INDEX

34^{th} ANNUAL REPORT 2022-2023



Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208
Tel: IPT +8809612111177-92, 880-2-8878065, Fax: 880-2-8878064
E-mail: allabj@newasiabd.com, Website: www.malekspinning.com

MALEK SPINNING MILLS LIMITED

TRANSMITTAL LETTER

The Shareholders
Bangladesh Securities and Exchange Commission
Registrar of Joint Stock Companies & Firms
Dhaka Stock Exchange Ltd.
Chittagong Stock Exchange PLC

Sub: Annual Report for the year ended 30th June, 2023

Dear Sir(s),

We are pleased to enclose a copy of the Annual Report of Malek Spinning Mills Limited containing Directors' Report, Auditors' Report along with the Audited Financial Statements comprising Statement of Financial Position as at June 30, 2023, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended June 30, 2023 along with notes thereon and all related Consolidated and Subsidiaries Financial Statements, Corporate Governance Compliances and others for your kind information and records.

Thanking you,

Yours sincerely,

Syed Saiful Haque
Company Secretary

Dated: November 21, 2023

MALEK SPINNING MILLS LIMITED

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A,
Tejgaon Industrial Area, Dhaka-1208

NOTICE OF THE 34th ANNUAL GENERAL MEETING

Notice is hereby given that the **34th ANNUAL GENERAL MEETING** of the shareholders of the Company will be held on **Monday, 18th December, 2023 at 11:00 a.m.** under Digital (Virtual) Platform through the link **https://www.digitalagmbd.net/malekspin** to transact the following business:

(a) General Businesses:

Agenda-1. To receive, consider and adopt the Audited Financial Statements of the Company for the year ended 30th June, 2023 together with the Report of the Directors' and the Auditors' thereon.

Agenda-2. To elect Directors in terms of the relevant provision of Articles of Association of the Company.

Agenda-3. To appoint Statutory Auditors for the year 2023-2024 and to fix their remuneration.

Agenda-4. To appoint Compliance Auditors for the year 2023-2024 and to fix their remuneration.

Agenda-5. To consider approval of sale of yarn (finished goods) to subsidiary/associate/sister companies, if any.

(b) Special Business:

To change the registered name of the Company from 'Malek Spinning Mills Limited' (মালেক স্পিনিং মিলস্ লিমিটেড) **to 'Malek Spinning Mills PLC'** (মালেক স্পিনিং মিলস্ পিএলসি):

To adopt the change of registered name of the company from 'Malek Spinning Mills Limited' (**মালেক স্পিনিং মিলস্ লিমিটেড**) to 'Malek Spinning Mills PLC' (**মালেক স্পিনিং মিলস্ পিএলসি**) in accordance with the Companies Act, 1994 (amended in 2020) and to amend the relevant clauses of the Memorandum and Articles of Association of the Company by adopting the following Special Resolution:

"RESOLVED that the proposal for changing the registered name of the Company from **'Malek Spinning Mills Limited'** (মালেক স্পিনিং মিলস্ লিমিটেড) to **'Malek Spinning Mills PLC'** (মালেক স্পিনিং মিলস্ পিএলসি) in accordance with the Companies Act, 1994 (amended in 2020) and to effect the change in the registered name of the Company as **'Malek Spinning Mills PLC'** (মালেক স্পিনিং মিলস্ পিএলসি), the amendment of the relevant clauses of the Memorandum and Articles of Association of the Company be and are hereby approved, subject to approval of the Shareholders and the Regulatory Authorities."

By order of the Board

Syed Saiful Haque
Company Secretary

Dated: November 21, 2023

Notes:

(i) The shareholders whose names would appear in the Share Register of the Company and/or Depository Register of CDBL on the **record date i.e. November 19, 2023** would be entitled to attend at the AGM.

(ii) Pursuant to the Bangladesh Securities and Exchange Commission (BSEC) Order, the AGM will be virtual meeting, which will be conducted via live streaming by using digital platform.

(iii) **The shareholders are requested to participate at the meeting by login to the following link: https://www.digitalagmbd.net/malekspin**

(iv) The Shareholders will be able to submit their questions/comments and vote electronically **24 hours before** commencement of the AGM and during the AGM. For logging in to the system, the Shareholders need to put their 16-digit Beneficial Owner (BO) ID number and other credential as proof of their identity.

(v) The Proxy form must be affixed with requisite revenue stamp and be deposited at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.

(vi) Pursuant to the BSEC Notification, the soft copy of the Annual Report 2022-23 is to be sent to the email addresses of the Shareholders available in their BO accounts maintained with the Depository and this Report will also be available in the Company's website at **www.malekspinning.com**

(vii) The shareholders are requested to login to the system prior to starting of the meeting at **11:00 A.M. on Monday, 18 December 2023.** Please contract at +8801709998861 for any queries in accessing the virtual meeting.

CORPORATE GOVERNANCE:

Corporate Governance is a discipline by which a Company is controlled and directed. Governance is the path to identify and ensure the ethics, rights and responsibilities among different participants in the Company. Good Corporate Governance is key to its successful sustenance. Corporate Governance of Malek Spinning Mills Ltd. is as follows:

Board of Directors

In line with the concept of Good Corporate Management Practice and the provisions of Articles of Association, The Board of Directors, the top Management tier is responsible for overall control and supervision of the entire affairs of the Company primarily through strategic planning & budgetary control mechanisms. To this end, The Board of Directors hold periodic meetings to resolve issues of policies and strategies, recording the minutes/decisions for implementation by the Executive Management.

During the year under review the Board of Directors of Malek Spinning Mills Limited held 09 (nine) meetings to transact various agenda. The intervening gap between the meetings was within the period prescribed under the Companies Act.

The present Board of Directors consist of Eight (8) members including two Independent Directors with varied education and experience which provides a balancing character in decision making process.

The present Board of Directors are comprised by the following owners/persons:

Mr. A.F.M. Zubair	Chairman
Mr. A. Matin Chowdhury	Managing Director
Dr. Shamim Matin Chowdhury	Director
Mr. Azizur Rahim Chowdhury	Director
Ms. Saima Matin Chowdhury	Director
Mr. Mahir Rahman	Director (Nominee of Paragon Poultry Ltd.)
Mr. Muhammad Abul Hossain	Independent Director
Dr. Sultan Hafeez Rahman	Independent Director

The Board is re-constituted every year by the Members (shareholders) of the Company in the Annual General Meeting through retirement/re-election/election of one-third members.

Separate Role of the Chairman and Managing Director

The positions of Chairman and Managing Director are held by separate persons. Mr. A.F.M. Zubair is the Chairman of the Company and responsible for the functions of the Board while Mr. A. Matin Chowdhury is the Managing Director serves as the Chief Executive Officer (CEO) of the Company.

Independent Director

In compliance of the BSEC Regulations on Good Governance, the Board of Directors as empowered by the Regulations, appointed:

(1) Muhammad Abul Hossain Ph.D, Psc, a freedom fighter and former Secretary of the Government of Bangladesh, MA from Polytechnic of Central London (University of Westminster), UK, Ph.D in Social Science (Public Administration) Department of Public Administration, Faculty of Social Science, Dhaka University and former Major of Bangladesh Army, Passed Staff College (psc) appointed as an Independent Director of the Company (Non-shareholding) for a period of 3 (Three) years with effect from 27th January, 2022.

(2) The Board also Re-appointed Dr. Sultan Hafeez Rahman a renowned economist and former Director General of Asian Development Bank (ADB), South Asia and a Senior Research Fellow of Bangladesh Institute of Development Studies (BIDS), former Member of the Board of Director of Agrani Bank and former Adviser/consultant to the Ministry of Jute, Industry, Commerce and Finance and Planning of Govt. of Bangladesh, obtained Ph.D and M A degrees from Stanford University and M A in economics from Vanderbilt University as an Independent Director of the Company for a further period of 3 (Three) years with effect from 23rd July 2022. It is expected that their expertise would help contribute to the further disclosure and protect the interest of all investors in general and smaller investors in particular.

Role & Responsibilities of the Board of Directors

The main role of the Board of Directors, which is the highest level of authority, is to provide general superintendence, oversee the operations and control the affairs of the Company through appropriate delegation and accountability processes via the lines of command.

However, the Board of Directors hold the ultimate responsibility & accountability with due diligence for conducting the activities of the Company as per provisions of law in the interest of the shareholders, the stakeholders, the state and the society.

The Board of Directors, in fulfillment of its responsibility hold periodic meetings, at least once a quarter and provide appropriate decisions/directions to the Executive Management. Such meetings usually consider operational performance, financial results, review of budgets, capital expenditure, proposals for BMRE or new projects/divisions/product lines, procurement of funds by issue of shares or borrowing, procurement of raw materials, plant & machinery, pricing of products/discounts, recruitment, training and promotion of officers, approval of annual audited accounts, appropriation of profit and recommendation of dividends and other interest of the stakeholders including the employees and workers.

The Board of Directors take special care in designing and articulating productivity and compensation plans of employees and workers and rewarding them appropriately on the basis of quality and quantity of performance as an incentive. Board also remains responsible for removal of operational hazards to life and health of workers, friendly environmental work condition and social relationship as demanded of good citizen in a country.

Chief Financial Officer, Head of Internal Audit and Company Secretary

The Company has appointed Mr. B. K. Chaki, as Chief Financial Officer, Md. Rakibul Islam, as Head of Internal Audit and Compliance and Mr. Syed Saiful Haque, as Company Secretary of the Company as per requirement of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission.

Audit Committee of Board

After changing Directorship of Mr. Moshiur Rahman, the Board of Directors has re-constituted an Audit Committee of the Board consisting of three Non-Executive Directors with effect from 04-06-2023. The members of the Audit Committee are (1) Dr. Sultan Hafeez Rahman, Independent Director- Chairman (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Mahir Rahman, Director- Member.

The Audit Committee carries out its responsibilities as per the provisions of law and submits its report to the Board of Directors from time to time. The Audit Committee shall also co-ordinate with the Internal and External Auditors as and when required. The Audit Committee ensures that adequate internal checks & balances supported by adequate MIS are in place for detection of errors, frauds and other deficiencies. The other responsibilities include inter alia, not being limited to, the prevention of conflict of interest between the Company and its Directors, officials, customers, suppliers, government and any other interest groups and detect or remove any scope of insider trading in the company's stock. The Audit Committee also ensures compliance of requirements of BSEC and other agencies. The Audit Committee of the Board held 4 (four) Meetings during the year 2022-2023.

Nomination and Remuneration Committee of Board

After changing of Directorship of Mr. Moshiur Rahman the Board of Directors has re-constituted the Nomination and Remuneration Committee (NRC) with effect from 04-06-2023 consisting of three Non-Executive Directors. The Members of Nomination and Remuneration Committee (NRC) are (1) Dr. Sultan Hafeez Rahman, Independent Director, Chairman, (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Mahir Rahman, Director, Member. The Nomination and Remuneration Committee (NRC) held 1 (one) meeting during the year 2022-2023.

The terms of reference of the Nomination and Remuneration Committee inter alia include to determine the Company's policy on specific remuneration packages for executive directors, to review, recommend and/or approve remuneration to whole-time Directors, to review and approve the Remuneration policy of the Company, to formulate criteria for evaluation of Independent Directors and the Board, to devise a policy on Board Diversity, to identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board the appointment or removal of such persons and to discharge such other functions and exercise such other powers as may be delegated/directed by the Board of Directors from time to time.

Executive Management

The Executive Management is led by the Managing Director (CEO) who is appointed by the Board of Directors for a term of 5 years (renewable) with the approval of shareholders in the Annual General Meeting. The Managing Director is supported by professional, well educated, trained and experienced team consisting of Mr. Azizur Rahim Chowdhury, Director, Mr. Ghaus Mohammad, Director-HR & Admin, Mr. Abu Hasnat, Executive Director, Mr. Arup Kumar Podder, Senior General Manager, Mr. Nazrul Islam, General Manager and Mr. B. K. Chaki, Chief Financial Officer and a host of Senior Executives in the hierarchy of management.

Shareholders' Relationship

Corporate Governance issues include how major policy decisions are made in business corporations, how various stakeholders can influence the process, who is held accountable for performance and what performance standards are applied. In a nutshell power and influence are crucial in corporate governance. As shareholders belong to the most important stakeholders, ownership structure has an impact on the balance of power among shareholders. Though sponsors usually hold majority shares required for ordinary resolutions, public shareholders have a definite role and influence in the passing of special resolutions required for changes in the business object, sale of business/productive assets, merger and amalgamation, winding up or dissolution and amendments to Memorandum and Articles of Association for protection of minority interest up to 49.9% of the shareholdings.

The position of shareholders as on 30th June 2023 indicates that the Sponsors of the Company do not hold the required shareholdings (75%) for passing special resolutions. This allows the Public Shareholders (individual & institutions) to play an effective role in protecting their legal corporate rights.

Shareholders Group	Holding
Sponsors/Directors	47.34%
Institutions	14.42%
General Public	38.24%
Foreigners	0
Government	0

The Company holds regularly the Annual General Meeting [Members (Shareholders) Meeting] as per law with adequate Notice and Disclosures in the Directors' Report and the Auditors' Report on Accounts/Notes and Resolutions are passed with consensus and unanimity. All reasonable and practicable suggestions are implemented with good grace.

All enquiries are attended by the Company Secretary, where necessary. Internal Audit team investigates matters of significant merit for consideration by the Management Committee/Managing Director/Audit Committee of Board/Board of Directors as the case may be.

The shareholders as owners, are provided with material information on the Company's operation quarterly and annually. They are also provided routine services by the Company Affairs Division headed by Company Secretary in any company matters which is permissible. The Board is however, responsible to the Members (Shareholders) as well as investors for publication of Price Sensitive Information as per BSEC Regulation. A qualified & experienced person is in charge for all these responsibilities as Company Secretary. The Company has also a web site to provide permissible information/notices/price sensitive information/financial reports and others for the Shareholders and interested investors.

Summary of Unclaimed/Unsettled Dividend (cash):

Financial Year	Unclaimed/Unsettled cash Dividend Amount (Tk.)
2009-2010	7,527,500.00
2012-2013	12,312,345.40
2013-2014	3,068,458.45
2014-2015	2,409,363.36
2015-2016	1,717,078,.40
2016-2017	1,240,852.20
Unspecified (not returned/not been cashed 2009-10 to 2016-17)	7,399,688.95
Total Unclaimed/Unsettled Dividend as on 2016-2017	**35,675,286.76**
Deposited to Capital Market Stabilization Fund (CMSF)	**(35,675,286.76)**
Balance	**NIL**
Dividend returned:	
2017-2018	1,031,016.75
Unspecified (not returned/not been cashed 2017-18)	171,554.85
Total unclaimed cash dividend 2017-18	**1,202,571.60**
Less: Paid to Shareholders	(45,574.10)
Balance of unclaimed cash dividend 2017-18	**1,156,997.50**
Deposited to Capital Market Stabilization Fund (CMSF)	**(1,156,997.50)**
Balance	**NIL**
2018-2019	1,800,151.30
Unspecified (not returned/not been cashed 2018-19)	2,102.05
Total unclaimed cash dividend 2018-19	**1,802,253.35**
Less: Paid to Shareholders	(35,666.27)
Balance of unclaimed cash dividend 2018-19	**1,766,587.08**
Deposited to Capital Market Stabilization Fund (CMSF)	**(1,766,587.08)**
Balance	**NIL**
2020-2021	2,044,631.35
Less: Paid to Shareholders	(383,500.75)
Balance of unclaimed cash dividend 2020-21 (a)	**1,661,130.60**
2021-2022 returned from BEFTN/Online/Physical Warrant **(b)**	1,464,588.55
Total unclaimed cash dividend as on 2022-2023 (a+b)	**3,125,719.15**
Bank interest received during the period of 2020-2021, 2021-2022 and 2022-2023**(c)**	890,452.57
Total Dividend lying with the Company (a+b+c)	**4,016,171.72**

Financial/Statutory Auditors

The role of the Financial/Statutory Auditors in certification of the financial statement is the most significant aspect of Corporate Governance and protection of interest of the investors. As evident from the Annual Reports, the company rigidly follows the Companies Act, Rules of Bangladesh Securities and Exchange Commission, Listing Regulations, Code of International Financial Reporting Standards (IFRS), International Accounting Standards (IAS) and International Standard of Auditing (ISA) with legally required disclosures of Accounts and Financial Statements.

This has been possible due to the high-level capability and integrity of the Financial/Statutory Auditor of the Company M/s. Malek Siddiqui Wali., Chartered Accountants, whose performances have played a very trustworthy role in the protection of interest of the stakeholders of the Company.

Compliance Auditors

The Compliance Auditors is responsible in certification on compliance of conditions of Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission as well as the provisions of relevant Bangladesh Secretarial Standards of Institute of Chartered Secretaries of Bangladesh (ICSB). M/s. Das Chowdhury Dutta & Co., Chartered Accountants is the Compliance Auditors of Malek Spinning Mills Limited appointed by its Members (shareholders) in their Annual General Meeting.

Dividend Policy

To comply the Directive of Bangladesh Securities and Exchange Commission (BSEC) Directive No. BSEC/CMRRCD/2021-386/03 dated 14 January 2021 the Company formulated a Dividend Distribution Policy which have been posted in the official website of the company and disclosed in the Annual Report 2022-23.

Segment Report

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills Ltd. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning and Fabrics unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

Risk Perception

The Company Management perceives investment risk within the national and international economic situation in relation to legal and moral requirements involving inter alia, intellectual property rights, scientific invention, WTO Regulations etc. and monetary and fiscal investment policies and has prepared its production & marketing strategies to meet the challenges from these risks. The Company Management also perceives Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk.

Compliances

The company has an established procedure to ensure compliance with all applicable statutory and regulatory requirements. Respective officers are responsible for ensuring proper compliance with applicable laws and regulations.

Corporate Social Responsibilities (CSR)

The Board of Directors is also aware of the Corporate Social Responsibilities (CSR) especially in the areas of gender equality, race-religion- regional equality, non- employment of child labor, human rights, environmental pollution, social - marketing and social-activities.

WE STRIVE FOR

- We in Malek Spinning Mills Ltd., strive, above all, for top quality products at an appropriate cost.
- We owe our shareholders and strive for protection of their capital as well as ensure highest return and growth of their assets.
- We strive for best compensation to all the employees who constitute the back-bone of the management and operational strength of the Company.
- We strive for the best co-operation of the creditors and debtors the banks & financial institutions who provide financial support when we need them, the suppliers of raw materials & suppliers who offer them at the best prices at the opportune moments, the providers of utilities- power, gas & water etc. and the customers who buy our products and services by redeeming their claim in time by making prompt payment and by distributing proper product on due dates to our customers.
- We strive for fulfillment of our responsibility to the Government through payment of entire range of due taxes, duties and claims by various public agencies like municipalities etc.
- We strive, as responsible citizen, for a social order devoid of malpractices, anti-environmental behaviors, unethical and immoral activities and corruptive dealings.
- We strive for practicing good-governance in every sphere of activities covering inter alia not being limited to, disclosure & reporting to shareholders, holding AGM in time, distribution of dividends and other benefits to shareholders, reporting/dissemination of price sensitive information etc.
- We strive for equality between sexes, races, religions and regions in all sphere of operation without any discriminatory treatment.
- We strive for an environment free from pollution and poisoning.

CORPORATE REVIEW

I. MANAGEMENT APPARATUS:

(a) BOARD OF DIRECTORS:

Mr. A.F.M. Zubair	Chairman
Mr. A. Matin Chowdhury	Managing Director
Dr. Shamim Matin Chowdhury	Director
Mr. Azizur Rahim Chowdhury	Director
Ms. Saima Matin Chowdhury	Director
Mr. Mahir Rahman	Director (Nominee of Paragon Poultry Ltd.)
Mr. Muhammad Abul Hossain	Independent Director
Dr. Sultan Hafeez Rahman	Independent Director

(b) AUDIT COMMITTEE:

Dr. Sultan Hafeez Rahman	Chairman
Dr. Shamim Matin Chowdhury	Member
Mr. Mahir Rahman	Member
Syed Saiful Haque	Secretary

(c) NOMINATION AND REMUNERATION COMMITTEE:

Dr. Sultan Hafeez Rahman	Chairman
Dr. Shamim Matin Chowdhury	Member
Mr. Mahir Rahman	Member
Syed Saiful Haque	Secretary

(d) MANAGEMENT COMMITTEE:

Mr. A. Matin Chowdhury	Chairman
Mr. Azizur Rahim Chowdhury	Member
Mr. Ghaus Mohammad	Member
Mr. Abu Hasnat	Member
Mr. Arup Kumar Podder	Member
Mr. Nazrul Islam	Member
Mr. B. K. Chaki	Member

(e) SENIOR CORPORATE OFFICIALS:

Mr. Ghaus Mohammad	Director HR & Admin
Mr. Abu Hasnat	Executive Director
Mr. Arup Kumar Podder	Senior General Manager
Mr. Nazrul Islam	General Manager
Mr. B. K. Chaki	Chief Financial Officer
Mr. Syed Saiful Haque	Company Secretary
Md. Rakibul Islam	Head of Internal Audit & Compliance

(f) STATUTORY AUDITORS: M/s. Malek Siddiqui Wali, Chartered Accountants

(g) COMPLIANCE AUDITORS: M/s. Das Chowdhury Dutta & Co., Chartered Accountants

(h) BANKERS:

i Eastern Bank Ltd.	Principal Br, Dhaka
ii. Dhaka Bank Ltd.	Karwan Bazar Br, Dhaka
iii. The Trust Bank Ltd.	Sena Kalyan Br, Dhaka
iv. HSBC	Main Br, Dhaka
v. One Bank Ltd.	Principal Br, Dhaka
vi. BRAC Bank Ltd.	Gulshan Br, Dhaka

(i) INSURERS:

i. Bangladesh General Insurance Co. Ltd.
ii. Asia Pacific General Insurance Co. Ltd.
iii. Sena Kalyan Insurance Co. Ltd.

(j) LISTING:

(a) Dhaka Stock Exchange Ltd.
(b) Chittagong Stock Exchange PLC

(k) REGISTERED OFFICE: 117/A, Tejgaon Industrial Area, Dhaka-1208.

(l) CORPORATE HEAD OFFICE: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208.

(m) INVESTORS' RELATION DEPARTMENT: Md. Kamruzzaman
Fax No-880-2-8878064, E-mail:cs@malekspinning.com
Tel: 880-2-8878065, Cell: 88-01709998863

(n) FACTORY: Shafipur, Kaliakoir, Gazipur.

II. CORPORATE HISTORY:

- Year of Incorporation : 02 November, 1989
- Year of Commencement of Production : 01 January, 1991
- Year of Conversion to Public Ltd. Co. : 14 September, 2008
- Year of Initial Public Offering (IPO) : 2010
- Stock Exchange Listing date : 2nd August, 2010 (DSE & CSE)
- Authorized Capital : Tk.3,000 Million
- Paid Up Capital : Tk.1,936 Million
- Product Lines : Combed and carded yarn of various counts (100% export-oriented company)
- Number of Employees (30th June 2023) :
  a. Executive & staff : 166
  b. Workers : 1,020
- Subsidiary Companies :
  a. Salek Textile Ltd.
  b. Newasia Synthetics Ltd.
  c. J.M. Fabrics Ltd.

III. FIVE YEARS OPERATIONAL RESULTS:

Malek Spinning Mills Limited (Standalone)

(Figures in thousand Tk.)

Particulars	**2022-23**	**2021-22**	**2020-21**	**2019-20**	**2018-19**
Turnover	3,845,154	4,044,427	2,976,287	2,584,091	2,779,889
Gross Profit	(273,450)	442,678	450,858	125,412	241,741
Net Profit/Loss (Before Tax)	(463,264)	280,777	294,271	(60,590)	73,515
Net Profit/Loss (After Tax)	(499,577)	242,019	250,230	(73,068)	59,288
Shareholder's Equity	4,455,407	5,148,584	5,115,349	4,865,119	5,042,742
Total Assets	7,914,917	7,933,975	7,817,684	7,040,120	6,767,856
Total Current Assets	3,811,995	3,887,575	3,844,116	3,131,917	2,773,642
Total Current Liabilities	2,310,690	2,324,713	2,231,747	1,671,666	1,198,994
Current Ratio	1.65	1.67	1.72	1.87	2.31
Number of shares (Nos.)	193,600,000	193,600,000	193,600,000	193,600,000	193,600,000
Face Value per share	10	10	10	10	10
Shareholder's Equity per Share	**23.01**	**26.59**	**26.42**	**25.13**	**26.05**
Earning per share (MSML)	**(2.58)**	**1.25**	**1.29**	**(0.38)**	**0.31**
Earning per share (Consolidated)	**(1.14)**	**3.72**	**3.36**	**(1.68)**	**0.76**
Dividend Declared Per Share (Stock)	Nil	Nil	Nil	Nil	Nil
Dividend Declared Per Share (Cash)	**Nil**	**1.00**	**1.00**	**Nil**	**1.00**
Net Asset Value Per Share (MSML)	**23.01**	**26.59**	**26.42**	**25.13**	**26.05**
Net Operating Cash Flow per Share (MSML)	**(4.23)**	**2.19**	**1.75**	**(0.23)**	**0.06**
Number of Shareholders	*15,562	14,781	13,365	12,842	13,582
Human Resources:					
Executives & Staff	166	195	189	191	194
Workers	1,020	1,032	1,025	1,013	1,097

* Number of shareholders considered as on 30th June, 2023.

MESSAGE
FROM THE CHAIRMAN

Dear Shareholders,

It is a great pleasure for me to welcome you on behalf of the Board of Directors to the 34th Annual General Meeting of Shareholders of the Company. The Directors' Report containing inter alia Audited Accounts and Auditors Report thereon for the year ended 30th June 2023 is enclosed for your perusal.

It may be noted from the operational performance of last 12 (twelve) years that the Company had been operating almost at stable level except the financial year 2019-2020 and 2022-2023 due to the adverse effect of COVID-19 pandemic followed by the war of Russia-Ukraine. While global economy had started recovering strongly from the COVID-19 pandemic, the prolonged war in Russia-Ukraine and supply restrictions caused by sanctions appeared to trigger the economic losses created by unprecedented pandemic COVID-19. A rise in the global commodity prices and sluggish economic activities by war induced supply chain disruption is being observed. Sluggish growth rates between advanced economics and emerging and developing economies will be divergent.

The Company had declared dividends at 10%-12% during the past few years in the form of cash dividend and stock. During the year 2022-2023 turnover/sales decreased drastically due to decrease of sales price and increase in raw material price, Gas bill, Repair & maintenance expenses and other overhead cost resulting, decrease of gross profit, operational loss, net loss and shareholders' equity also decreased.

The operational performance of the Company for the financial year 2022-2023 was lower compared to 2021-2022 for increasing cost of goods sold and other overhead cost. The financial performance for the year 2022-2023 being negative, the Board of Directors did not declare and recommend any dividend for the shareholders. The Company incurred net loss of Tk.499,577,188 during the year under report compared to previous year's net profit Tk.242,018,986.

Global trade has turned around after the effects of COVID-19 pandemic, the Russia-Ukraine conflict negatively impacted the world trade. At the same time, the prices of petroleum, gas, electricity along with commodity prices are rising, which is also creating inflationary pressures on the economics. However, Bangladesh's export growth in on a positive trend and It is expected that the economy of Bangladesh will return to its previous high and steady growth trajectory shortly.

The development projects like Padma Bridge, Metro-rail, Bus Rapid Transit, Dhaka Elevated Expressway, Karnaphuli Tunnel and some other mega-projects will contribute as driving force of the economy and to GDP growth of the country.

You may be aware that, the textile sector in general and RMG sector in particular, had faced various internal and external difficulties, including but not being limited to, enhanced and costly compliance standards from customers, new regulations in regard to building and fire safety, high wage rate as fixed by government, insufficient supply and price hike of power and gas, all of which had direct negative impact on the cost of production, price of products and export revenues making survival difficult.

Our sincere efforts were rewarded positively through recognition from our buyers who had vetted our factories to be safe and compliant for which we had succeeded in retaining our production and export levels.

Bangladesh Securities and Exchange Commission (BSEC) has introduced mandatory Guidelines on Corporate Governance Code. The Board of Directors of the Company is committed to provide good governance and exercise best practices in all respects, Good governance is our core philosophy for managing the business effectively and responsibly and in a way which is transparent and abiding by the laws of the land.

I would also like to take this opportunity to thank our Shareholders, Regulatory Authorities including Bangladesh Securities and Exchange Commission, Dhaka Stock Exchange Ltd., Chittagong Stock Exchange Ltd., Central Depository Bangladesh Limited, Registrar of Joint Stock Companies & Firms, our Bankers, Insurers and different facilitators for their cooperation and support to our Company.

A. F. M. Zubair
Chairman

MALEK SPINNING MILLS LIMITED

DIRECTORS' REPORT

TO THE SHAREHOLDERS FOR THE YEAR 2022-2023

Dear Shareholders,

In terms of provisions of section 184 of the Companies Act 1994, Rule 12 of the Bangladesh Securities and Exchange Rules 1987, BSEC Notification on CGC dated 03 June, 2018 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), it is the pleasure of the Board of Directors to submit its Report to the Shareholders of the Company for the year ended 30 June, 2023 in the following paragraphs:

Background

Malek Spinning Mills Limited (here in after referred to as "MSML" or "the Company" was incorporated with the Registrar of Joint Stock Companies and Firms (RJSC) vide registration no. C-19018 (872)/89 dated 02 November, 1989 as a Private Limited Company. The status of the Company was converted into Public Limited Company in the year 2008. The company was listed with Dhaka Stock Exchange Limited and Chittagong Stock Exchange Limited in the year 2010.

The company has 3 (three) subsidiaries as follows:

1. **Salek Textile Limited-** A composite mill of the Textile sector with two operational units. The rotor unit produces open end yarn of various counts having a capacity of 12,070,000 kgs. yarn per annum. The fabric unit produces denim fabric of various size and grade having capacity of 18,000,000 yards per annum.
2. **J.M. Fabrics Limited-** A Composite Knitting, Dyeing, Finishing and Garments factory located at South Nayapara, 6 No. Dogri, P.O. Bhawal, Mirzapur, Gazipur with a capacity of 52.94 million pcs. T-Shirt, Intimate garments & Seamless product per annum. Previous year 2021-2022 production capacity was 52.92 million. During the reporting year production capacity stood at 52.94 million because of re-arranged of Production line from Intimate Unit to Cut & Sewing Unit to meet the market demand and considering higher profitability.
3. **Newasia Synthetics Limited-** A project promoted for setting up a polyester staple fiber and chips plant the implementation of which has since been kept in abeyance due to non-availability of energy/fuel & gas.

1. (5) (i) Industry outlook and possible future developments in the industry:

Our Company falls within the primary textile sector producing world class yarn of various counts. Bangladesh does not produce raw cotton, the basic raw materials of our company. So, we have to import 100% raw materials from outside. The success of the industry also depends on availability of raw materials, power & gas, world economy, international price trend, market situation of end product of export i.e. RMG export. Spinning mill is also a labour oriented industry.

The growth & challenges of the company depends on:

(a) Labor relations
(b) Labor productivity
(c) Energy
(d) Other infrastructures
(e) Law and order
(f) Financial costs

If these issues are appropriately addressed in time, the growth is expected to improve substantially as Bangladesh has already attained the name for being a quality manufacturer with a very reasonably priced supplier.

1. (5) (ii) Segment-wise or product wise performance:

Our company produces 100% export oriented Knit Yarn. The existing installed production capacity of the company is 12,600,000 kg. yarn per annum with 63,624 Spindles.

Comparative position of its operating/financial performance for the year 2022-2023 and 2021-2022 are given below:

Sl. No.	Description	2022-2023	2021-2022
01	Production capacity (kg.)	12,600,000	12,600,000
02	Actual Production (kg.)	9,395,870	11,080,019
03	Capacity Utilization	74.57%	87.94%
04	Quantity Sold (kg.)	10,548,887	10,063,475
05	Sales Revenue (Tk.)	3,845,154,105	4,044,426,607
06	Average selling price (Tk.)	364.51	401.89

1.(5)(iii) Risk and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any:

All sectors of the textile industry face many of the similar challenges. These are lack of power, uncertain fiscal & monetary policies, labor unrest causing disruption of production, Buyers; dominance, international trade barriers and increased cost of fund. Since a Spinning Mill has to depend on imported raw materials and local supply of labour. Price variation of raw material and increased cost of labour are the main risk for this type of industry. Uninterrupted power supply due to irregular gas supply and price variation also affects this type of industry. The Company is also aware of

Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk and is prepared to meet those by systematic control which are elaborately described in the notes of financial statement.

1. (5) (iv) Discussion on Cost of Goods Sold, Gross Profit Margin and Net Profit Margin:

(a) Cost of Goods Sold: The cost of goods sold was 107.11% on sales during the year 2022-2023 compared to 89.05% during the previous year, a significant increase of 18.06% was due to increase of raw material price, cost of fuel/power etc. and decrease of Sales price compared to the last year.

(b) Export: The company had achieved an export turnover of Tk.3,845.15 million during the year ended 30th June 2023. Last year's export turnover was Tk. 4,044.43 million. The turnover had decreased by 4.93% over the last year due to lower market price and demand.

(c) Gross Profit/Loss: Gross Loss incurred during the year Tk. 273.45 million as against previous year Gross Profit Tk.442.68 million. Gross Loss incurred due to increase in cost of goods sold.

(d) Net Profit/(Loss): The company had incurred Net Loss of Tk.499.58 million compared to last year's Net Profit of Tk.242.02 million. During the reporting year Net Loss incurred due to decrease of sales price and increase in raw material price, Gas bill, Repair & maintenance expenses and other overhead cost.

1. (5) (v) Discussion on continuity of any extraordinary activities and their implications (gain or loss):

During the year extra-ordinary loss was Tk.10,392,237 which were incurred from foreign currency translation loss, loss on sale of assets after adjustment of interest received from Bank Accounts, which has been shown as Other Income/(Loss) in the Statement of Profit or Loss and other Comprehensive Income and in the note no.24.1 in the Notes of Account.

1. (5) (vi) Detailed discussion on related party transactions:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Separate agenda presented for sale of yarn (finished goods) to subsidiary/associate/sister companies exceeding sale of amounting 10% or above of total revenue or turnover for the immediate preceding financial year. Details of Related party transactions are depicted in Note no.33.1 in the Notes of Solo Accounts and Note No.40 of Consolidated Accounts.

1. (5) (vii) Statement of utilization of proceeds raised through public issues, right issues and/or any other instruments:

There were no public issues and/or right issues during the year.

1.(5) (viii) Explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.:

Initial Public Offering was made on the year 2010. There were no Repeat Public Offering, Rights Offer, Direct Listing, etc. in the history of the company.

1.(5)(ix) Explanation on any significant variance occurs between Quarterly Financial performance and Annual Financial Statements:

The company's earnings per share (EPS) in 1st quarter was Tk.0.16 per share, 2nd quarter was Tk. (1.02) per share, 3rd quarter was Tk. (2.31) per share and in annual financial statements it stood at Tk. (2.58) per share. Though the 1st quarter EPS was Tk.0.16 positive from the 2nd quarter to Annual Financial Statements EPS were decreased gradually due to decrease of sales price and increase of raw material price, Gas bill, repair and maintenance expenses and other overhead expenses.

1.(5) (x) Statement of remuneration paid to the directors including independent directors is stated below:

Name of Directors	Designation	Remuneration paid from 1st July 2022 to 30th June 2023 (Tk.)
Mr. A. F. M. Zubair	Chairman	Nil
Mr. A. Matin Chowdhury	Managing Director	1,400,000
Dr. Shamim Matin Chowdhury	Director	Nil
Ms. Saima Matin Chowdhury	Director	Nil
Mr. Azizur Rahim Chowdhury	Director	Nil
Mr. Mahir Rahman	Director	Nil
Mr. Muhammad Abul Hossain	Independent Director	Nil
Dr. Sultan Hafeez Rahman	Independent Director	Nil
Total		**1,400,000**

1.(5) (xi) to (xvii) Statement of Directors on Financial Reports:

The above reports are depicted in **Annexure-I.**

1.(5) (xviii) Explanation that significant deviations from the last year's operating results of the company:

During the year 2022-2023 the company's Operating Loss incurred Tk.452,871,938 as against last year Operating Profit was Tk. 275,452,969. The significant decrease in operating results due to decrease in sales price and increase in cost of goods sold on sales, gas price, repair & maintenance expenses, financial expenses and other overhead cost compared to the last year, resulting decrease in operating profit during the year 2022-2023.

1.(5) (xix) Key operating and financial data of last preceding 5 (five) years have been presented in summarized form in page no. 09

1.(5) (xx) Dividend:

During the year 2022-2023 due to net loss of Tk.499,577,188 and negative retained earnings stood at Tk.91,761,471 the Board of Directors recommended no dividend to the shareholders.

1.(5) (xxi) Board's statement to the effect that no bonus share or stock dividend has been or shall be declared as interim dividend:

No bonus share or stock dividend has been declared during the year 2022-2023 as interim dividend.

1.(5) (xxii) The total number of Board Meetings held during the year 2022-2023 and attendance by each director, stated in Annexure-I.

1.(5) (xxiii) Report on the pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June 2018, stated in Annexure-II.

1.(5) (xxiv) Appointment/re-appointment of the directors:

Brief resume and other required information of the directors who seek re-appointment in the ensuing AGM are stated in **Annexure-III.**

1.(5) (xxv) Management's Discussion and Analysis signed by CEO or MD presenting detailed analysis of the company's position and operations along with a brief discussion of changes in the financial statements:

Management's Discussion and analysis signed by CEO or MD are stated in **Annexure-V**

1.(5) (xxvi) Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3(3) are disclosed in Annexure-A.

1.(5) (xxvii) Report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 are disclosed in Annexure-B and Annexure-C.

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the years 2022-2023 & 2021-2022.

Description	2022-2023 (Tk.)	2021-2022 (Tk.)
Land and Land Development	19,899,326	164,686,000
Factory Building	53,700	2,036,345
Electrical installation	1,419,000	--
Plant & Machinery	--	--
Furniture & Fixtures	12,225	--
Office Equipment's	783,516	1,179,000
Total	**22,167,767**	**167,901,345**

SUBSIDIARY OPERATION:

Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited are subsidiaries and as such Directors Report along with, Auditors Report and Audited Accounts containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows have been included as part of this report.

(a) Salek Textile Limited (STL):

The Company (MSM) holds 97.925% share of Salek Textile Limited i.e. 47,259,700 shares of Tk.10.00 each amounting to Tk. 472,597,000.00 out of 48,260,870 shares of Tk.10.00 each amounting to Tk.482,608,700.00. To comply the condition No. 9 of capital raising consent order No.BSEC/CI/CPLC(Pvt)-333/2011/446 dated June 24, 2014 of Bangladesh Securities and Exchange Commission (BSEC) and Notification No. SEC/CMRRCD/2006-159/36/Admin/03-44 dated May 05, 2010 published in the Bangladesh Gazette dated 01-06-2010 the status of the Company was converted from Private Limited Company to Public Limited Company on 23rd August, 2014. Subsequently the par value of share was changed from Tk.100.00 per share to Tk.10.00 per share.

The production capacity of STL is 12,070,000 kgs yarn, 18,000,000 yards fabric per annum. The company made additional investment of Tk.111,523,493 during the year 2022-2023.

The Company's operating results as on 2022-2023 and 2021-2022 are given below:

Description	**2022-2023**	**2021-2022**
Production (Kg) Yarn	7,995,292	10,231,981
Production (Yards) Fabric	11,736,047	11,603,796
Sales Revenue (Tk.)	3,949,926,136	4,119,634,554
Gross Profit (Tk.)	5,227,269	544,927,827
Net Profit/Loss after tax (Tk.)	(379,462,191)	3,573,328
Gross Margin	0.13%	13.23%
Net Margin	(9.61%)	0.09%
EPS (Tk.)	(7.86)	0.07
EPS (Tk.) Continuing operation	(7.86)	3.01
NAV (Tk.) Per Share	46.14	54.00

The Company did not declare any dividend for the year 2022-2023 due to net loss.

(b) Newasia Synthetics Limited (NSL):

The Company (MSM) holds 99.293% share of the Newasia Synthetics Ltd. i.e. 6,553,338 shares of Tk.100.00 each amounting to Tk. 655,333,800.00 out of 6,600,000 shares of Tk.100.00 each amounting to Tk.660,000,000.00 as on 30th June, 2023. The company had increased its paid up capital from Tk.500,000,000.00 to Tk.660,000,000.00 on 20th December 2020. A Price Sensitive Information was disseminated on 24th November, 2020 regarding the matter. The project could not be implemented due to non-availability of Gas connection from Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the situation changes regarding the availability of gas connection. The Company made additional investment of Tk.1,450,000.00 during the year 2022-2023 under Land & Land Development. The Net Assets Value (NAV) per share of the company as on 30th June 2023 stood at Tk.298.94.

(c) J.M. Fabrics Limited (JMFL):

The Company (MSM) holds 99.998% share of J.M. Fabrics Limited i.e. 3,999,900 shares of Tk.100.00 each amounting to Tk. 399,990,000.00 out of 4,000,000 shares of Tk.100.00 each amounting to Tk.400,000,000.00. The authorized share capital of the company has been increased from Tk.500,000,000.00 to Tk.2,000,000,000.00 vide Special Resolution dated 20th February 2022. The Company is engaged in the production of 100% export-oriented Garments and Knit Fabric with a production capacity of 18 (eighteen) Metric Tons Dyed Fabric and 83 (eighty three) lines of Cutting & Sewing and Seamless operation having capacity of 8 (eight) modules with all necessary facilities, storage etc. During the year additional investment of Tk.413.16 million has been made. The investments made during the year 2022-2023 were as follows:

Particulars	**Taka**
Land and Land Development	88,767,366
Building and Civil Construction	4,854,975
Plant & Machinery	267,766,993
Other Assets	51,770,920
Total	**413,160,254**

The Company's operating results as on 2022-2023 and 2021-2022 are given below:

Description	**2022-2023**	**2021-2022**
Production (Pcs)	33,025,124	40,355,632
Sales Revenue (Tk.)	10,323,055,131	9,446,095,091
Gross Profit (Tk.)	848,767,042	660,017,240
Net Profit (Tk.)	654,832,261	477,666,364
Gross Margin	8.22%	6.99%
Net Margin	6.34%	5.06%
EPS (Tk.) Per Share	163.71	119.42
NAV (Tk.) Per Share	610.44	446.73

The Company did not declare any dividend for the year 2022-2023 in order to strengthen the financial position of the company.

FINANCIAL RESULTS:

The company's (MSM) operating financial results, as compared to the previous year are summarized as follows:

(Tk. in million)

Description	2022-2023	2021-2022
Sales	3,845.154	4,044.427
Cost of goods sold	4,118.604	3,601.749
Gross profit/Loss	(273.450)	442.678
Operating expenses	117.206	123.812
Financial expenses	62.216	43.413
Operating profit/Loss	(452.872)	275.453
Other Income	(10.392)	19.363
Net Operating Profit/(Loss)	(463.264)	294.816
Contribution to WPPF	--	14.039
Income Tax	36.313	38.758
Net profit/Loss (after tax)	(499.577)	242.019
Gross Margin	(7.11%)	10.95%
Net Margin	(12.99%)	5.98%
Earning per share –EPS (Tk.)	(2.58)	1.25
Return on Equity (ROE)	(11.21%)	4.70%
No. of shares outstanding	193,600,000	193,600,000
Face value per share (Tk.)	10	10
Consolidated Earning per share–EPS (Tk.)	(1.14)	3.72

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Retained Earnings brought forward from previous year	: Tk. 571,402,491.00
Less: Dividend Distribution for the year 2021-2022	: (Tk.193,600.000.00)
Balance surplus brought forward	**: Tk. 377,802,491.00**
Less: Net Loss (after tax) during the year 2022-2023	: Tk.(499,577,188.00)
Add: Transfer of excess depreciation of revalued assets	: Tk. 30,013,226.00
Total net free surplus/loss for appropriation	**:Tk. (91,761,471.00)**
Proposed Dividend for the year 2022-2023	**Nil**
Negative Retained Earnings be transferred to Balance Sheet	**Tk. (91,761,471.00)**

DECLARATION OF DIVIDEND:

In the line of proposed appropriation of profit, the Board of Directors did not propose and recommend any dividend to the shareholders for the year 2022-2023 due to net loss incurred Tk. 499,577,188 during the year. The Board noted that due to decrease of sales price and increase of raw material price, gas price, repair & maintenance expenses, financial expenses and other overhead cost the company incurred huge loss during the year 2022-2023.

CONSOLIDATION OF ACCOUNTS:

In terms of BSEC Regulations, the Company has consolidated the Accounts following the relevant codes of International Accounting Standard IASs/IFRSs adopted by Bangladesh. However, separate reports including the audited financial statements, auditors' and directors' report for all subsidiary companies are provided at the respective section of this report.

ELECTION OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 110 of the Articles of Association of the Company Dr. Shamim Matin Chowdhury, Director and Mr. A. F. M. Zubair, Director would retire by rotation and being eligible as per Article 112 of the Articles of Association of the Company they offered themselves for re-election. Brief resume and other information of the above mentioned directors as per clause 1.(5) (xxiv) of BSEC notification dated 3 June, 2018 are depicted in **ANNEXURE–III.**

APPOINTMENT OF STATUTORY AUDITORS:

The existing Auditors of the company M/s. Malek Siddiqui Wali, Chartered Accountants retires at this Annual General Meeting on completion of consecutive tenure of three years audit. As they are not eligible for re-appointment, in accordance with the provision of BSEC Order No. BSEC/CMRRCD/2006-158/208/Admin/81 dated 20 June 2018 and Regulation No. 15(2) & (3) of Stock Exchange (Listing) Regulations, 2015, a new Firm of Chartered Accountants have to be appointed as Auditors for the year 2023-2024.

M/s. Zoha Zaman Kabir Rashid & Co., Chartered Accountants (a panel auditor of BSEC), expressed their interest to be appointed as auditors of the company for the year 2023-2024. In recommendation of the Audit Committee, the Board recommended M/s. Zoha Zaman Kabir Rashid & Co., Chartered Accountants, Rupayan Karin Tower, Level-7, Suite-7A, 80, Kakrail, Dhaka-1000, Bangladesh for appointment as auditors of the Company of the year 2023-2024 with fixation of their remuneration.

APPOINTMENT OF CORPORATE GOVERNANCE COMPLIANCE AUDITORS:

M/s. Das Chowdhury Dutta & Co., Chartered Accountants, existing compliance auditors of the company being eligible offered themselves for re-appointment as corporate governance compliance auditors of the company for the year 2023-2024. As recommended, by the Audit Committee, the Board proposed the name of M/s. Das Chowdhury Dutta & Co., Chartered Accountants, Well Tower (1st Floor), Flat-A/1, 12/A, Purana Paltan Line, Dhaka for re-appointment as corporate governance compliance auditors of the Company of the year 2023-2024 with fixation of their remuneration.

APPROVAL OF SALE OF YARN (FINISHED GOODS) WITH SUBSIDIARY AND SISTER COMPANY:

The Company (MSM) had entered into contract for sale of its finished goods i.e. yarn to its subsidiary company J. M. Fabrics Limited and a sister company Knit Asia Limited. The shareholders approved the contract in the 32nd AGM held on 27th December, 2021. Under this contract during the year 2022-2023, yarn sales to Knit Asia Limited were 2,356,248 kgs. amounting to Tk.875,979,105 and to J. M. Fabrics Limited 1,734,196 kgs. amounting to Tk.676,891,038 following the market price of yarn in the Bangladesh export-oriented market, based on fair price from time to time. Both the transactions exceeded the limit of 10% (ten percent) of the total revenue or turnover for the immediately preceding financial year. The Board of Directors gave guarantees to the above transaction which occurred as per the regular terms and conditions of the trade and no conflict of interest had arisen regarding the transaction.

In Compliance with the BSEC Notification No. BSEC/CMRRCD/2009-193/10/Admin/118 dated 22 March 2021 the Shareholders are requested (excluding the vote of concerned or connected shareholders or directors or related party) to approve the above-mentioned sale of yarn to Knit Asia Limited and J.M. Fabrics Limited, which exceeded 10% (ten percent) or above of the total revenue/turnover for the immediately preceding financial year.

MANAGEMENT''S DISCUSSION & ANALYSIS

Management's Discussion and Analysis signed by the Managing Director presenting detailed analysis of the Company's position and operations along with a brief discussion of changes in the financial statements and other requirements of the Corporate Governance Code is disclosed in **Annexure-V** of this report.

CORPORATE GOVERNANCE COMPLIANCE REPORT IN ANNEXURE:

We are pleased to confirm that the company has complied with all necessary guidelines in accordance with the requirement of BSEC Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 3 June 2018. The Corporate Governance Compliance Report for 2022-2023 is attached **(Annexure-C)** in Annual Report along with the certificate of Compliance required under the said guidelines.

The company obtained a certificate from Das Chowdhury Dutta & Co., Chartered Accountants, regarding compliance of conditions of corporate governance codes of the Commission, which is enclosed in the Annual Report as **Annexure-B.**

ACKNOWLEDGEMENT:

The Board of Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Insurance Companies, Suppliers, BSEC, DSE, CSE, CDBL, RJSC and dedication by Workers and Employees of the company without whose active support the result achieved would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,

A. F. M. Zubair
Chairman

ANNEXURE –I

to the Directors' Report

The Directors also report that:

- Related Party Transactions are depicted in Note no. 33.1 in the Notes of Solo Accounts and Note No.40 of Consolidated Accounts.
- The Financial Statements prepared by the management of the Company present fairly its state of affairs, the result of its operations, cash flows and changes in equity.
- Proper books of account as required by the prevailing law have been maintained.
- Appropriate accounting policies have been followed in formulating the financial statements and accounting estimates were reasonable and prudent.
- The financial statement was prepared in accordance with IAS/IFRS as applicable in Bangladesh and any departure there from has been adequately disclosed.
- The internal control system is sound in design and is effectively implemented and monitored.
- The minority shareholders have been protected from abusive actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress.
- There is no significant doubt about the company's ability to continue as a going concern.
- Significant deviation from the operating result compared to the last year which is depicted in page no. 13 clause 1.(5) (xviii) above.
- Key operating and financial data of last five years have been presented in summarized form in page no.09
- No bonus share or stock dividend has been declared during the year 2022-2023 as interim dividend.
- The number of Board Meeting and the Attendance of Directors during the year 2022-2023 were as follows:

Name of Directors	Position	Meeting Held	Attended
Mr. A. F. M. Zubair	Chairman	09	05
Mr. A. Matin Chowdhury	Managing Director	09	09
Dr. Shamim Matin Chowdhury	Director	09	09
Ms. Saima Matin Chowdhury	Director	09	06
Mr. Azizur Rahim Chowdhury	Director	09	09
Mr. Moshiur Rahman	Director	09	08
Mr. Mahir Rahman *	Director	09	01
Dr. Sultan Hafeez Rahman	Independent Director	09	07
Mr. Muhammad Abul Hossain	Independent Director	09	07

- Mr. Mahir Rahman has been appointed as Director (Nominated Director of Paragon Poultry Ltd.) on 04-06-2023 in place of Mr. Moshiur Rahman.
- The pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-II.**
- Information of Directors who seek appointment/re-appointment as required by clause 1.(5) (xxiv) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-III.**
- Status of compliance with the conditions imposed by the Bangladesh Securities and Exchange Commission is enclosed as **Annexure –C.**

ANNEXURE –II

to the Directors' Report

Pattern of Shareholding as on June 30, 2023

Name of the Shareholders	Status	Shares held	%
i. Parent/Subsidiary/Associated Companies and other related parties	**Nil**	**Nil**	**Nil**
ii. Directors:			
Mr. A.F.M. Zubair	Chairman	8,470,000	4.38%
Mr. A. Matin Chowdhury	Managing Director	18,075,200	9.34%
Dr. Shamim Matin Chowdhury	Director	17,410,000	8.99%
Mr. Azizur Rahim Chowdhury	Director	18,585,600	9.60%
Ms. Saima Matin Chowdhury	Director	17,004,000	8.78%
Paragon Poultry Limited, Represented by Mr. Mahir Rahman	Director (Nominated by Paragon Poultry Limited)	12,100,000	6.25%
Mr. Muhammad Abul Hossain	Independent Director	Nil	Nil
Dr. Sultan Hafeez Rahman	Independent Director	48,400	0.02%
iii. Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit & Compliance and their Spouses and Minor Children:			
Mr. A. Matin Chowdhury	Chief Executive Officer	18,075,200	9.34%
Mr. Syed Saiful Haque	Company Secretary	Nil	Nil
Mr. B. K. Chaki	Chief Financial Officer	Nil	Nil
Md. Rakibul Islam	Head of Internal Audit & Compliance	Nil	Nil
Dr. Shamim Matin Chowdhury	Wife of Mr. A. Matin Chowdhury	17,410,000	8.99%
Mr. Shyan Zubair	Son of Mr. A. F. M. Zubair	3,872,000	2.00%
iv. Executives (Top 5 salaried executives other than those mentioned under (iii) :			
Mr. Ghaus Mohammad	Director, HR & Admin	Nil	Nil
Mr. Abu Hasnat	Executive Director	Nil	Nil
Mr. Arup Kumar Podder	Senior G M (Operation)	Nil	Nil
Mr. Nazrul Islam	GM (Production)	Nil	Nil
Mr. Sadiqur Rahman	AGM (Marketing)	Nil	Nil
v. Shareholders holding 10% or more voting interest in the Company:			
	Nil	Nil	

ANNEXURE-III

to the Directors' Report

Brief Resume of the Directors

Re-appointment of Directors:

Dr. Shamim Matin Chowdhury:

Dr. Shamim Matin Chowdhury is a Director of the Company since 1991. She has more than 41 (forty one) years' experience in the textile sector. She completed M.B.B.S from Dhaka Medical College and postgraduate studies from the U.K. Dr. Chowdhury is a famous Child and Adolescent Psychiatrist. She is the former Chief Consultant of Pabna Mental Hospital. She is also the Chairperson of Special Olympics in Bangladesh. She is the Managing Director of Rahim Textile Mills Limited (listed company), Director of Salek Textile Limited, Knit Asia Limited, J.M. Fabrics Limited, Hejaz Publications Limited, Fatehbagh Tea Company Limited and also the Director of Newasia Synthetics Limited. She is the Member of Audit Committee of Malek Spinning Mills Limited and Rahim Textile Mills Limited. She is also the Member of Nomination and Remuneration Committee of Malek Spinning Mills Limited and Rahim Textile Mills Limited.

Mr. A. F. M. Zubair:

Mr. A. F. M. Zubair is a Sponsor Director of the Company since 1989. He is a renowned and dynamic personality in the Textile Sector of Bangladesh. By profession Mr. Zubair is a Textile Engineer. He has done Post Graduate from Leeds University, U.K. He has vast knowledge in the Textile Sector in the country. He is the Chairman and Director of Malek Spinning Mills Limited and Salek Textile Limited and Director of Knit Asia Limited, J. M. Fabrics Limited, New Asia Synthetics Limited and Hejaz Publications Limited.

ANNEXURE-IV

to the Directors' Report

Explanation of Emphasis of Matter of Auditors' Report

With reference to Emphasis of Matter of Auditors, the company is incurred huge loss of Tk. 1.14 (Group) and Tk.2.58 (Sole) per share during the year in comparative with profit per share of Tk.3.72 (Group) and Tk.1.25 (Sole) in comparative year due to increase of cost of goods sold, gas price, repair & maintenance expenses, financial expenses and other overhead cost compared to the last year. On the other hand, decrease of sales price resulting reduction of sales and underutilization of production capacity during the year

ANNEXURE-V
to the Directors' Report

Management's Discussion and Analysis

Management's Discussion and Analysis of the company's position and operations along with a brief discussion of changes in the financial statements for the year ended June 30, 2023 as per condition no 1.5(xxv) of Corporate Governance Code dated June 03, 2018.

(a) The company has prepared and presented its financial statement as per IAS as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The consolidate financial statements have been prepared in consolidation with the audited accounts of the company and the audited accounts of Salek Textile Limited, Newasia Synthetics Limited and J. M. Fabrics Limited according to the relevant IFRS or IAS. The following IAS and IFRS applicable for the financial statements for the year under review:

IAS-1	Presentation of Financial Statement.
IAS-2	Inventories.
IAS-7	Statement of Cash Flows.
IAS-8	Accounting Policies, Changes in Accounting Estimates and Errors.
IAS-10	Events after the Balance Sheet Date.
IAS-12	Income Tax.
IAS-16	Property, Plant & Equipment.
IAS-19	Employee Benefits.
IAS-20	Accounting for Government Grants and Disclosure of Government Assistance.
IAS-21	The effect of changes in Foreign Exchange rate.
IAS-23	Borrowing Cost.
IAS-24	Related Party Disclosure.
IAS-27	Separate Financial Statements.
IAS-33	Earnings per share.
IAS-36	Impairment of Assets.
IAS-37	Provisions, Contingent Liabilities and Contingent Assets.
IAS-38	Intangible Assets.
IFRS-3	Business Combination.
IFRS-8	Operating Segments.
IFRS-10	Consolidated Financial Statements.
IFRS-15	Revenue from Contracts with Customers.
IFRS-16	Leases.

(b) The financial statements of the company under reporting have been prepared under historical cost convention, except Land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with Generally Accepted Accounting Principles and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of DSE and CSE and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB).The financial statements have been prepared in compliance with requirement of IAS as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) as applicable in Bangladesh. The financial statements, except cash flows statements, have been prepared using the accrual basis of accounting. Under this concept, the company recognizes items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

The financial statements have been prepared in assuming that the company is going concern and it has ability to continue as going concern for foreseeable future. Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS-27 preparation of separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

(c) Comparative analysis of financial performance or results and financial position as well as cash flows for current financial year with immediate preceding five years explaining reasons are as follows:

Figures in Million Taka

Particulars	Jul 22 to Jun 23		Jul 21 Jun 22		Jul 20 Jun 21		Jul 19 Jun 20		Jul 18 Jun 19	
	Consolidated	Standalone	Consolidated	Standalone	Consolidated (Restated)	Standalone	Consolidated	Standalone	Consolidated	Standalone
Turnover	17,422	3,845	16,756	4,044	13,054	2,976	9,765	2,584	10,352	2,780
Gross Profit	580	(273)	1,648	443	1,316	451	519	125	831	242
Net Profit before tax	26	(463)	1,020	281	778	294	(251)	(60)	202	73
Net Profit after tax	(228)	(500)	720	242	652	250	(332)	(73)	149	59
Shareholders' Equity	9,055	4,456	9,469	5,149	8,957	5,115	8,306	4,865	8,796	5,043
Total Assets	22,759	7,915	22,736	7,934	22,277	7,818	18,983	7,040	17,299	6,768
Total Current Assets	12,002	3,812	12,172	3,888	11,879	3,844	8,779	3,132	7,304	2,774
Total Current Liabilities	9,627	2,311	10,132	2,325	9,935	2,232	7,507	1,672	5,800	1,199
Current Ratio	1.25	1.65	1.20	1.67	1.20	1.72	1.17	1.87	1.26	2.31
Net Asset Value per share	46.77	23.01	48.91	26.59	46.27	26.42	42.90	25.13	45.13	26.05
Earnings per share	(1.14)	(2.58)	3.72	1.25	3.36	1.29	(1.68)	(0.38)	0.76	0.31
NOCFPS	1.96	(4.23)	0.10	2.19	2.00	1.75	1.74	(0.23)	2.17	0.06

The rated capacity of Malek Spinning Mills Ltd. (MSML) during the year 2017-2018 to 2022-2023 was unchanged and Turnover was more or less same, except the year 2019-2020 and 2021-2022. During the year 2019-2020 MSML sales/turnover had decreased due to adverse effect of COVID-19 but during the year 2021-2022 sales/turnover had substantially increased due to increase in average selling price of yarn. During the year 2022-2023 the Company incurred huge losses due to decrease of sales price as well as increase of raw material price, gas price, repair & maintenance expenses, financial expenses and other overhead cost compared to the previous year and adverse effect of Russia-Ukraine war. As a result, EPS has become negative. Due to increase of payment against raw materials purchased and other expenses NOCFPS of the Company decreased.

(d) Compare such financial performance or results and financial position as well as cash flows with the peer industry scenario:

Figures in Million Taka

Particulars	Malek Spinning Mills Ltd. June 30, 2023	Metro Spinning Ltd. June 30, 2022	Mozaffar Hossain Spinning Mills Ltd. June 30, 2022	Saiham Textile Mills Ltd. June 30, 2022
Revenue (Turnover)	3,845.15	968.85	2,897.70	2,660.36
Gross Profit	(273.45)	197.79	573.25	263.19
Operating Expenses	117.21	38.15	74.45	97.53
Financial Expenses	62.22	64.56	238.61	35.17
Net Profit before tax	(463.26)	100.77	242.30	160.15
Net Profit after tax	(499.58)	85.05	193.95	123.64
Net Profit in %	(12.99%)	8.78%	6.69%	4.65%
Earnings per share (EPS)	(2.58)	1.38	1.92	1.37
NOCFPS	(4.23)	(0.56)	2.16	2.12
Shares Outstanding	193,600,000	61,698,275	100,993,374	90,562,500
Shareholders' Equity	4,455.41	1,274.32	2,009.97	3,930.81
Total Assets	7,914.92	2,213.80	5,889.11	5,578.24
Total Liabilities	3,459.51	939.48	3,879.15	1,647.42
Current Assets	3,811.99	1,212.39	2,241.43	2,245.18
Current Liabilities	2,310.69	774.06	2,088.56	1,213.29

(e) Financial and Economic Scenario of Bangladesh and the Globe (in brief):

Global economy has been experiencing a turmoil of price hike and output fall due to the unprecedent COVID-19 pandemic followed by the war of Russia-Ukraine. While global economy had started recovering strongly from the COVID-19 pandemic, the prolonged war in Russia-Ukraine and supply restrictions caused by sanctions appeared to trigger the economic losses created by unprecedented pandemic COVID-19. A rise in the global commodity prices and sluggish economic activities by war induced supply chain disruption is being observed. Sluggish growth rates between advanced economics and emerging and developing economics will be divergent. Advanced economies are expected to see an especially pronounced growth slowdown, from 2.5 percent in 2022 to 0.5 percent in 2023 and 1.6 percent in 2024.

International organizations revised their forecasts for economic growth prospects and inflation. In the World Economic Outlook (WEO) April 2023, International Monetary Fund (IMF) projected that the global economy will grow by 2.8 percent in 2023 and 3.0 percent 2024. In the World Bank's Global economic prospect, the global economic growth is forecast to decline to 1.7 & 2.7 percent in 2023 and 2024 respectively, while growth was estimated 2.9 percent in 2022.

The Bangladesh economy has been showing sustainable recovery from the impact of the global coronavirus pandemic. The COVID-19 pandemic reduced the growth rate to 3.45 percent in FY 2019-20 from 7.88 percent growth of pre-pandemic year. However, GDP growth rebounded and stood at 6.94 percent in FY 2020-21 and 7.10 percent in FY 2021-22. But due to Russia-Ukraine crisis, the economic growth in FY 2022-23 has been hampered. According to the provisional estimate of BBS, the GDP growth of Bangladesh is expected to be 6.03 percent in FY 2022-23.

Inflation in FY 2020-21 stood at 6.15 percent. Like all others countries of the world, an upward trend of price level is being observed in Bangladesh as the economic damages created by COVID-19 pandemic which is triggered by war in Ukraine. The inflation rate is estimated to be 7.5 percent in FY 2022-23. The actual budget deficit for FY 2022-23 stood at 5.0 percent of GDP. The recent trends in weighted average lending and deposit rates show downtrend movement.

Although global trade has turned around after the effects of COVID-19 pandemic, the Russia-Ukraine conflict negatively impacted the world trade. As a result, food supply chains have been disrupted and Western sanctions on Russia have led to global trade instability. At the same time, the prices of petroleum, gas, electricity along with commodity prices are rising, which is also creating inflationary pressures on the economics. However, Bangladesh's export growth in on a positive trend and It is expected that the economy of Bangladesh will return to its previous high and steady growth trajectory shortly.

Government of Bangladesh has provided different supports under incentives packages to the industry sector to overcome the shock of COVID-19 as well as to revitalize. Special fund for export-oriented industries, working capital for the affected industries, working capital to SME's and credit guarantee skims for SME's etc. As a result, industry sector has rebounded. Like other developing countries, bio-diversity rich Bangladesh is combating against environmental degradation, a crucial challenge for Bangladesh. Efforts are continuing to integrate issues pertaining to environment with mainstream development policies to ensure economic growth and environmental sustainability.

The development projects like Padma Bridge, Metro-rail, Bus Rapid Transit, Dhaka Elevated Expressway, Karnaphuli Tunnel and some other mega-projects are contributing as the driving force of the economy and to GDP growth of the country. It is expected that the economy of Bangladesh will return to its previous high and steady growth trajectory shortly.

(f) Risk and concerns related to the financial statements and such risk and concerns mitigation plan:

i. Credit Risk:

Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks. Credit risk of the Company arises principally from trade debts, loans and advances and bank balances. The carrying amount of financial assets represents the maximum credit exposure.

ii. Liquidity Risk:

Liquidity risk is the risk that the company unable to meet its financial obligations as they fall due. The Company's approach to managing liquidity is to ensure, as far as possible that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management ensures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

iii. Market Risk:

Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objectives of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

iv. Price Risk:

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

v. Interest Risk:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest-bearing financial instrument.

vi. Currency Risk:

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and foreign currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

vii. Capital Risk Management:

The objective of the Company when managing capital, i.e. its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustment to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

(g) Future plan or projection or forecast for company's operation, performance and financial position:

The Company does not have any major policy change in immediate future.

A. Matin Chowdhury
Managing Director

Annexure-A

to the Directors' Report

[As per condition No.1 (5) (xxvi)]

Malek Spinning Mills Limited
Declaration by CEO and CFO

Date: October 23, 2023

The Board of Directors
Malek Spinning Mills Limited
117/A, Tejgaon Industrial Area
Dhaka-1208
Bangladesh

Subject: Declaration on Financial Statements for the year ended on 30th June 2023.

Dear Sirs,

Pursuant to the condition No. 1(5)(xxvi) imposed vide the Commission's Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 Dated 03 June 2018 under section 2CC of the Securities and Exchange Ordinance, 1969, we do hereby declare that:

1. The Financial Statements of Malek Spinning Mills Limited for the year ended on 30^{th} June 2023 have been prepared in compliance with International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in the Bangladesh and any departure there from has been adequately disclosed;
2. The estimates and judgments related to the financial statements were made on a prudent and reasonable basis, in order for the financial statements to reveal a true and fair view;
3. The form and substance of transactions and the Company's state of affairs have been reasonably and fairly presented in its financial statements;
4. To ensure above, the Company has taken proper and adequate care in installing a system of internal control and maintenance of accounting records;
5. Our internal auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed; and
6. The management's use of the going concern basis of accounting in preparing the financial statements is appropriate and there exists no material uncertainty related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern.

In this regard, we also certify that:-

(i) We have reviewed the financial statements for the year ended on 30th June 2023 and that to the best of our knowledge and belief:

  (a) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

  (b) these statements collectively present true and fair view of the Company's affairs and are in compliance with existing accounting standards and applicable laws.

(ii) There are, to the best of knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board of Directors or its members.

Sincerely yours,

(A. Matin Chowdhury)
Managing Director

(B. K. Chaki)
Chief Financial Officer

দাশ চৌধুরী দত্ত এন্ড কোং
DAS CHOWDHURY DUTTA & CO.
Chartered Accountants

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E-mail : dcdctg@outlook.com

Website : www.daschowdhurydutta.com

Annexure-B
to the Directors' Report

[Certificate as per condition No.1 (5) (xxvii)]

Report to the Shareholders of Malek Spinning Mills Limited on Compliance on the Corporate Governance Code

We have examined the compliance status to the Corporate Governance Code by **Malek Spinning Mills Limited** for the year ended on **30 June 2023.** This Code relates to the Notification No. **BSEC/CMRRCD/2006-158/207/Admin/80 dated 03 June 2018** of the Bangladesh Securities and Exchange Commission (BSEC).

Such compliance with the Corporate Governance Code is the responsibility of the Company. Our examination was limited to the procedures and implementation thereof as adopted by the Management in ensuring compliance with the conditions of the Corporate Governance Code.

This is a scrutiny and verification and an independent audit on compliance of the conditions of the Corporate Governance Code as well as the provisions of relevant Bangladesh Secretarial Standards (BSS) as adopted by Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Corporate Governance Code.

We state that we have obtained all the information and explanations, which we have required and after due scrutiny and verification thereof, we report that, in our opinion:

(a) The Company has complied with the conditions **except 3(1)(c)** of the Corporate Governance Code as stipulated in the above-mentioned Corporate Governance Code issued by the Commission and explanation is given in Annexure-C;

(b) The Company has complied with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) as required by this Code;

(c) Proper books and records have been kept by the company as required under the Companies Act, 1994, the securities laws and other relevant laws and

(d) The Governance of the company is satisfactory.

Dhaka, 15 Nov 2023

Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090
DVC:2311190500CC160055

Annexure-C

to the Directors' Report

[As per condition No. 1(5) (xxvii)]

Corporate Governance Compliance Report

Status of compliance with the conditions imposed by the Commission's Notification No. SEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018 issued under section 2CC of the Securities and Exchange Ordinance, 1969.

(Report under Condition No. 9)

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1	**Board of Directors:**			
1(1)	The total number of members of a company's Board of Directors (hereinafter referred to as "Board") shall not be less than 5 (five) and more than 20 (twenty).	√		
1(2)	**Independent Directors**			
1(2) (a)	At least one-fifth (1/5) of the total number of directors in the company's Board shall be independent directors; any fraction shall be considered to the next integer or whole number for calculating number of independent director(s);	√		
1(2)(b) (i)	who either does not hold any share in the company or holds less than one percent (1%) shares of the total paid-up shares of the company;	√		
1(2) (b) (ii)	who is not a sponsor of the company or is not connected with the company's any sponsor or director or nominated director or shareholder of the company or any of its associates, sister concerns, subsidiaries and parents or holding entities who holds one percent (1%) or more shares of the total paid-up shares of the company on the basis of family relationship and his or her family members also shall not hold above mentioned shares in the company;	√		
1(2) (b) (iii)	who has not been an executive of the company in immediately preceding 2 (two) financial years;	√		
1(2) (b) (iv)	who does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary or associated companies;	√		
1(2) (b) (v)	who is not a member or TREC (Trading Right Entitlement Certificate) holder, director or officer of any stock exchange;	√		
1(2) (b) (vi)	who is not a shareholder, director excepting independent director or officer of any member or TREC holder of stock exchange or an intermediary of the capital market;	√		
1(2) (b) (vii)	who is not a partner or an executive or was not a partner or an executive during the preceding 3(three) years of the concerned company's statutory audit firm or audit firm engaged in internal audit services or audit firm conducting special audit or professional certifying compliance of this Code;	√		
1(2) (b) (viii)	who is not independent director in more than 5 (five) listed companies;	√		
1(2) (b) (ix)	who has not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan or any advance to a bank or a Non-Bank Financial Institution (NBFI); and	√		
1(2) (b) (x)	who has not been convicted for a criminal offence involving moral turpitude;	√		
1(2) (c)	The independent director(s) shall be appointed by the Board and approved by the shareholders in the Annual General Meeting (AGM);	√		
1(2) (d)	The post of independent director(s) cannot remain vacant for more than 90 (ninety) days; and	√		
1(2) (e)	The tenure of office of an independent director shall be for a period of 3(three) years, which may be extended for 1(one) tenure only;	√		
1(3)	**Qualification of Independent Director:**			
1(3) (a)	Independent director shall be a knowledgeable individual with integrity who is able to ensure compliance with financial laws, regulatory requirements and corporate laws and can make meaningful contribution to the business;	√		
1(3) (b) (i)	Business Leader who is or was a promoter or director of an unlisted company having minimum paid-up capital of Tk.100.00 million or any listed company or a member of any national or international chamber of commerce or business association; or	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(3) (b) (ii)	Corporate Leader who is or was a top level executive not lower than Chief Executive Officer or Managing Director or Deputy Managing Director or Chief Financial Officer or Head of Finance or Accounts or Company Secretary or Head of Internal Audit and Compliance or Head of Legal Service or a candidate with equivalent position of an unlisted company having minimum paid-up capital of Tk.100.00 million or of a listed company; or	√		
1(3) (b) (iii)	Former official of government or statutory or autonomous body or regulatory body in the position not below 5th Grade of the national pay scale, who has at least educational background of bachelor degree in economics or commerce or business or law; or	√		
1(3) (b) (iv)	University Teacher who has educational background in Economics or Commerce or Business Studies or Law; or			Not Applicable
1(3) (b) (v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a Chartered Accountant or Cost and Management Accountant or Chartered Financial Analyst or Chartered Certified Accountant or Certified Public Accountant or Chartered Management Accountant or Chartered Secretary or equivalent qualification;			Not Applicable
1 (3) (c)	The independent director shall have at least 10 (ten) years of experiences in any field mentioned in clause (b);	√		
1 (3) (d)	In special cases, the above qualifications or experiences may be relaxed subject to prior approval of the Commission.			Not Applicable
1(4)	**Duality of Chairperson of the Board of Directors and Managing Director or Chief Executive Officer:**			
1 (4) (a)	The positions of the Chairperson of the Board and the Managing Director (MD) and/or Chief Executive Officer (CEO) of the company shall be filled by different individuals;	√		
1 (4) (b)	The Managing Director (MD) and/or Chief Executive Officer (CEO) of a listed company shall not hold the same position in another listed company	√		
1 (4) (c)	The Chairperson of the Board shall be elected from among the non-executive directors of the company;	√		
1 (4) (d)	The Board shall clearly define respective roles and responsibilities of the Chairperson and the Managing Director and/or Chief Executive Officer;	√		
1 (4) (e)	In the absence of the Chairperson of the Board, the remaining members may elect one of themselves from non-executive directors as Chairperson for that particular Board's meeting; the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
1(5)	**The Directors' Report to Shareholders**			
1 (5) (i)	An industry outlook and possible future developments in the industry;	√		
1 (5) (ii)	The segment-wise or product-wise performance;	√		
1 (5) (iii)	Risks and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any;	√		
1 (5) (iv)	A discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin, where applicable;	√		
1 (5) (v)	A discussion on continuity of any extraordinary activities and their implications (gain or loss);	√		
1 (5) (vi)	A detailed discussion on related party transactions along with a statement showing amount, nature of related party, nature of transactions and basis of transactions of all related party transactions;	√		
1 (5) (vii)	A statement of utilization of proceeds raised through public issues, rights issues and/or any other instruments;			Not Applicable
1 (5) (viii)	An explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.;			Not Applicable
1 (5) (ix)	An explanation on any significant variance that occurs between Quarterly Financial performances and Annual Financial Statements;	√		
1 (5) (x)	A statement of remuneration paid to the directors including independent directors;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1 (5) (xi)	A statement that the financial statements prepared by the management of the issuer company present fairly its state of affairs, the result of its operations, cash flows and changes in equity;	√		
1 (5) (xii)	A statement that proper books of account of the issuer company have been maintained;	√		
1 (5) (xiii)	A statement that appropriate accounting policies have been consistently applied in preparation of the financial statements and that the accounting estimates are based on reasonable and prudent judgment;	√		
1 (5) (xiv)	A statement that International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in Bangladesh, have been followed in preparation of the financial statements and any departure there from has been adequately disclosed;	√		
1 (5) (xv)	A statement that the system of internal control is sound in design and has been effectively implemented and monitored;	√		
1 (5) (xvi)	A statement that minority shareholders have been protected from abuse actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress;	√		
1 (5) (xvii)	A statement that there is no significant doubt upon the issuer company's ability to continue as a going concern, if the issuer company is not considered to be a going concern, the fact along with reasons there of shall be disclosed;	√		
1 (5) (xviii)	An explanation that significant deviations from the last year's operating results of the issuer company shall be highlighted and the reasons thereof shall be explained;	√		
1 (5) (xix)	A statement where key operating and financial data of at least preceding 5 (five) years shall be summarized;	√		
1 (5) (xx)	An explanation on the reasons if the issuer company has not declared dividend (cash or stock) for the year;	√		
1(5) (xxi)	Board's statement to the effect that no bonus share or stock dividend has been or shall be declared as interim dividend;	√		
1(5) (xxii)	The total number of Board meetings held during the year and attendance by each director;	√		
1(5) (xxiii) (a)	Parent or Subsidiary or Associated Companies and other related parties (name-wise details);	√		
1(5) (xxiii) (b)	Directors, Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit and Compliance and their spouses and minor children (name-wise details);	√		
1(5) (xxiii) (c)	Executives; and	√		
1(5) (xxiii) (d)	Shareholders holding ten percent (10%) or more voting interest in the company (name-wise details);	√		
1(5) (xxiv) (a)	a brief resume of the director;	√		
1(5) (xxiv) (b)	nature of his or her expertise in specific functional areas; and	√		
1(5) (xxiv) (c)	names of companies in which the person also holds the directorship and the membership of committees of the Board;	√		
1(5) (xxv) (a)	accounting policies and estimation for preparation of financial statements;	√		
1(5) (xxv) (b)	changes in accounting policies and estimation, if any, clearly describing the effect on financial performance or results and financial position as well as cash flows in absolute figure for such changes;	√		
1(5) (xxv) (c)	comparative analysis (including effects of inflation) of the financial performance or results and financial position as well as cash flows for current financial year with immediate preceding five years explaining reasons thereof;	√		
1(5) (xxv) (d)	compare such financial performance or results and financial position as well as cash flows with the peer industry scenario;	√		
1(5) (xxv) (e)	briefly explain the financial and economic scenario of the country and the globe;	√		
1(5) (xxv) (f)	risks and concerns issues related to the financial statements, explaining such risk and concerns mitigation plan of the company; and	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(5) (xxv) (g)	future plan or projection or forecast for company's operation, performance and financial position, with justification thereof, i.e. actual position shall be explained to the shareholders in the next AGM;	√		
1(5) (xxvi)	Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3 (3) shall be disclosed as per **Annexure-A;** and	√		
1(5) (xxvii)	The report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 shall be disclosed as per **Annexure-B** and **Annexure-C.**	√		
1(6)	**Meetings of the Board of Directors** The company shall conduct its Board meetings and record the minutes of the meetings as well as keep required books and records in line with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Code.	√		
1(7)	**Code of Conduct for the Chairperson, other Board members and Chief Executive Officer:**			
1(7) (a)	The Board shall lay down a code of conduct, based on the recommendation of the Nomination and Remuneration Committee (NRC) at condition No.6, for the Chairperson of the Board, other board members and Chief Executive Officer of the company;	√		
1(7) (b)	The code of conduct as determined by the NRC shall be posted on the website of the company including, among others, prudent conduct and behavior; confidentiality; conflict of interest; compliance with laws, rules and regulations; prohibition of insider trading; relationship with environment, employees, customers and suppliers; and independency.	√		
2	**Governance of Board of Directors of Subsidiary Company.-**			
2(a)	Provisions relating to the composition of the Board of the holding company shall be made applicable to the composition of the Board of the subsidiary company;	√		
2(b)	At least 1 (one) independent director on the Board of the holding company shall be a director on the Board of the subsidiary company;	√		
2(c)	The minutes of the Board meeting of the subsidiary company shall be placed for review at the following Board meeting of the holding comp-any;	√		
2(d)	The minutes of the respective Board meeting of the holding company shall state that they have reviewed the affairs of the subsidiary company also;	√		
2(e)	The Audit Committee of the holding company shall also review the financial statements, in particular the investments made by the subsidiary company.	√		
3	**Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HIAC) and Company Secretary (CS):**			
3(1) (a)	The Board shall appoint a Managing Director (MD) or Chief Executive Officer (CEO), a Company Secretary (CS), a Chief Financial Officer (CFO) and a Head of Internal Audit and Compliance (HIAC);	√		
3(1) (b)	The positions of the Managing Director (MD) or Chief Executive Officer (CEO), Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit and Compliance (HIAC) shall be filled by different individuals;	√		
3(1) (c)	The MD or CEO, CS, CFO and HIAC of a listed company shall not hold any executive position in any other company at the same time;		√	In progress for Compliance
3(1) (d)	The Board shall clearly define respective roles, responsibilities and duties of the CFO, the HIAC and the CS;	√		
3(1) (e)	The MD or CEO, CS, CFO and HIAC shall not be removed from their position without approval of the Board as well as immediate dissemination to the Commission and stock exchange (s).	√		
3(2)	**Requirement to attend Board of Directors' Meetings** The MD or CEO, CS, CFO and HIAC of the company shall attend the meetings of the Board: Provided that the CS, CFO and/or the HIAC shall not attend such part of a meeting of the Board which involves consideration of an agenda item relating to their personal matters.	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
3 (3)	**Duties of Managing Director (MD) or Chief Executive Officer (CEO) and chief financial officer (CFO)**			
3 (3) (a)	The MD or CEO and CFO shall certify to the Board that they have reviewed financial statements for the year and that to the best of their knowledge and belief:	√		
3(3) (a) (i)	these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading; and	√		
3(3) (a) (ii)	these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards and applicable laws;	√		
3(3) (b)	The MD or CEO and CFO shall also certify that there are, to the best of knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board or its members;	√		
3(3) (c)	The certification of the MD or CEO and CFO shall be disclosed in the Annual Report.	√		
4	**Board of Directors' Committee:**			
4(i)	Audit Committee; and	√		
4(ii)	Nomination and Remuneration Committee.	√		
5	**Audit Committee:**			
5(1)	**Responsibility to the Board of Directors.**			
5(1) (a)	The company shall have an Audit Committee as a sub-committee of the Board;	√		
5(1) (b)	The Audit Committee shall assist the Board in ensuring that the financial statements reflect true and fair view of the state of affairs of the company and in ensuring a good monitoring system within the business;	√		
5(1) (c)	The Audit Committee shall be responsible to the Board; the duties of the Audit Committee shall be clearly set forth in writing.	√		
5(2)	**Constitution of the Audit Committee**			
5(2) (a)	The Audit Committee shall be composed of at least 3 (three) members;	√		
5(2) (b)	The Board shall appoint members of the Audit Committee who shall be non-executive directors of the company excepting Chairperson of the Board and shall include at least 1 (one) independent director;	√		
5(2) (c)	All members of the Audit Committee should be "financially literate" and at least 1 (one) member shall have accounting or related financial management background and 10 (ten) years of such experience;	√		
5(2) (d)	When the term of service of any Committee member expires or there is any circumstances causing any Committee member to be unable to hold office before expiration of the term of service, thus making the number of the Committee members to be lower than the prescribed number of 3 (three) persons, the Board shall appoint the new Committee member to fill up the vacancy immediately or not later than 1 (one) month from the date of vacancy in the Committee to ensure continuity of the performance of work of the Audit Committee;	√		
5(2) (e)	The company secretary shall act as the secretary of the Committee;	√		
5(2) (f)	The quorum of the Audit Committee meeting shall not constitute without at least 1 (one) independent director.	√		
5(3)	**Chairperson of the Audit Committee**			
5(3) (a)	The Board shall select 1 (one) member of the Audit Committee to be Chairperson of the Audit Committee, who shall be an independent director;	√		
5(3) (b)	In the absence of the Chairperson of the Audit Committee, the remaining members may elect one of themselves as Chairperson for that particular meeting, in that case there shall be no problem of constituting a quorum as required under condition No. 5(4) (b) and the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
5(3) (c)	Chairperson of the Audit Committee shall remain present in the Annual General Meeting (AGM):	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
5(4)	**Meeting of the Audit Committee**			
5(4) (a)	The Audit Committee shall conduct at least its four meetings in a financial year:	√		
5(4) (b)	The quorum of the meeting of the Audit Committee shall be constituted in presence of either two members or two third of the members of the Audit Committee, whichever is higher, where presence of an independent director is a must.	√		
5(5)	**Role of Audit Committee**			
5(5) (a)	Oversee the financial reporting process;	√		
5(5) (b)	monitor choice of accounting policies and principles;	√		
5(5) (c)	monitor Internal Audit and Compliance process to ensure that it is adequately resourced, including approval of the Internal Audit and Compliance Plan and review of the Internal Audit and Compliance Report;	√		
5(5) (d)	oversee hiring and performance of external auditors;	√		
5(5) (e)	hold meeting with the external or statutory auditors for review of the annual financial statements before submission to the Board for approval or adoption;	√		
5(5) (f)	review along with the management, the annual financial statements before submission to the Board for approval;	√		
5(5) (g)	review along with the management, the quarterly and half yearly financial statements before submission to the Board for approval;	√		
5(5) (h)	review the adequacy of internal audit function;	√		
5(5) (i)	review the Management's Discussion and Analysis before disclosing in the Annual Report;	√		
5(5) (j)	review statement of all related party transactions submitted by the management;	√		
5(5) (k)	review Management Letters or Letter of Internal Control weakness issued by statutory auditors;	√		
5(5) (l)	oversee the determination of audit fees based on scope and magnitude, level of expertise deployed and time required for effective audit and evaluate the performance of external auditors; and	√		
5(5) (m)	oversee whether the proceeds raised through Initial Public Offering (IPO) or Repeat Public Offering (RPO) or Rights Share Offer have been utilized as per the purposes stated in relevant offer document or prospectus approved by the Commission;			Not Applicable
5(6)	**Reporting of the Audit Committee**			
5(6) (a)	**Reporting to the Board of Directors**			
5(6) (a) (i)	The Audit Committee shall report on its activities to the Board	√		
5(6) (a) (ii) (a)	report on conflicts of interests;	√		
5(6) (a) (ii)(b)	suspected or presumed fraud or irregularity or material defect identified in the internal audit and compliance process or in the financial statements;	√		
5(6) (a) (ii) (c)	suspected infringement of laws, regulatory compliances including securities related laws, rules and regulations; and	√		
5(6) (a) (ii)(d)	any other matter which the Audit Committee deems necessary shall be disclosed to the Board immediately;	√		
5(6) (b)	Reporting to the Authorities			Not Applicable
5(7)	Reporting to the Shareholders and General Investors	√		
6	**Nomination and Remuneration Committee (NRC):**			
6(1)	**Responsibility to the Board of Directors**			
6(1) (a)	The company shall have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board;	√		
6(1) (b)	The NRC shall assist the Board in formulation of the nomination criteria or policy for determining qualifications, positive attributes, experiences and independence of directors and top level executive as well as a policy for formal process of considering remuneration of directors, top level executive;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(1) (c)	The Terms of Reference (TOR) of the NRC shall be clearly set forth in writing covering the areas stated at the condition No.6(5)(b)	√		
6(2)	**Constitution of the NRC**			
6(2) (a)	The Committee shall comprise of at least three members including an independent director;	√		
6(2) (b)	All members of the Committee shall be non-executive directors;	√		
6(2) (c)	Members of the Committee shall be nominated and appointed by the Board;	√		
6(2) (d)	The Board shall have authority to remove and appoint any member of the Committee;	√		
6(2) (e)	In case of death, resignation, disqualification or removal of any member of the Committee or in any other cases of vacancies, the board shall fill the vacancy within 180 (one hundred eighty) days of occurring such vacancy in the Committee;	√		
6(2) (f)	The Chairperson of the Committee may appoint or co-opt any external expert and/or member(s) of staff to the Committee as adviser who shall be non-voting member, if the Chairperson feels that advice or suggestion from such external expert and/or member(s) of staff shall be required or valuable for the Committee;			Not Applicable
6(2) (g)	The company secretary shall act as the secretary of the Committee;	√		
6(2) (h)	The quorum of the NRC meeting shall not constitute without attendance of at least an independent director;	√		
6(2) (i)	No member of the NRC shall receive, either directly or indirectly, any remuneration for any advisory or consultancy role or otherwise, other than Director's fees or honorarium from the company.	√		
6(3)	**Chairperson of the NRC**			
6(3) (a)	The Board shall select 1 (one) member of the NRC to be Chairperson of the Committee, who shall be an independent director;	√		
6(3) (b)	In the absence of the Chairperson of the NRC, the remaining members may elect one of themselves as Chairperson for that particular meeting, the reason of absence of the regular Chairperson shall be duly recorded in the minutes;			Not Applicable
6(3) (c)	The Chairperson of the NRC shall attend the annual general meeting (AGM) to answer the queries of the shareholders:	√		
6(4)	**Meeting of the NRC**			
6(4) (a)	The NRC shall conduct at least one meeting in a financial year;	√		
6(4) (b)	The Chairperson of the NRC may convene any emergency meeting upon request by any member of the NRC;	√		
6(4) (c)	The quorum of the meeting of the NRC shall be constituted in presence of either two members or two third of the members of the Committee, whichever is higher, where presence of an independent director is must as required under condition No.6(2)(h);	√		
6(4) (d)	The proceedings of each meeting of the NRC shall duly be recorded in the minutes and such minutes shall be confirmed in the next meeting of the NRC.	√		
6(5)	**Role of the NRC**			
6(5) (a)	NRC shall be independent and responsible or accountable to the Board and to the shareholders;	√		
6(5) (b) (i) (a)	the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate suitable directors to run the company successfully;	√		
6(5) (b) (i) (b)	the relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and	√		
6(5) (b) (i) (c)	remuneration to directors, top level executive involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(5) (b) (ii)	devising a policy on Board's diversity taking into consideration age, gender, experience, ethnicity, educational background and nationality;	√		
6(5) (b) (iii)	identifying persons who are qualified to become directors and who may be appointed in top level executive position in accordance with the criteria laid down, and recommend their appointment and removal to the Board;	√		
6(5) (b) (iv)	formulating the criteria for evaluation of performance of independent directors and the Board;	√		
6(5) (b) (v)	identifying the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria; and	√		
6(5) (b) (vi)	developing, recommending and reviewing annually the company's human resources and training policies;	√		
6(5) (c)	The company shall disclose the nomination and remuneration policy and the evaluation criteria and activities of NRC during the year at a glance in its annual report.	√		
7	**External or Statutory Auditors:**			
7(1)	The issuer company shall not engage its external or statutory auditors to perform the following services of the company, namely:-			
7(1) (i)	appraisal or valuation services or fairness opinions;	√		
7(1) (ii)	financial information systems design and implementation;	√		
7(1) (iii)	book-keeping or other services related to the accounting records or financial statements;	√		
7(1) (iv)	broker-dealer services;	√		
7(1) (v)	actuarial services;	√		
7(1) (vi)	internal audit services or special audit services;	√		
7(1) (vii)	any service that the Audit Committee determines;	√		
7(1) (viii)	audit or certification services on compliance of corporate governance as required under condition No.9(1); and	√		
7(1) (ix)	any other service that creates conflict of interest.	√		
7(2)	No partner or employees of the external audit firms shall possess any share of the company they audit at least during the tenure of their audit assignment of that company; his or her family members also shall not hold any shares in the said company:	√		
7(3)	Representative of external or statutory auditors shall remain present in the Shareholders' Meeting (Annual General Meeting or Extraordinary General Meeting) to answer the queries of the shareholders.	√		
8	**Maintaining a website by the Company:**			
8(1)	The company shall have an official website linked with the website of the stock exchange.	√		
8(2)	The company shall keep the website functional from the date of listing.	√		
8(3)	The company shall make available the detailed disclosures on its website as required under the listing regulations of the concerned stock exchange(s).	√		
9	**Reporting and Compliance of Corporate Governance:**			
9(1)	The company shall obtain a certificate from a practicing Professional Accountant or Secretary (Chartered Accountant or Cost and Management Accountant or Chartered Secretary) other than its statutory auditors or audit firm on yearly basis regarding compliance of conditions of Corporate Governance Code of the Commission and shall such certificate shall be disclosed in the Annual Report.	√		
9(2)	The professional who will provide the certificate on compliance of this Corporate Governance Code shall be appointed by the shareholders in the AGM.	√		
9(3)	The directors of the company shall state, in accordance with the **Annexure-C** attached, in the directors' report whether the company has complied with these conditions or not.	√		

AUDIT COMMITTEE REPORT
For the Year 2022-2023

Malek Spinning Mills Limited having an Audit Committee as a sub-committee of the Board of Directors in order to assist the Board of Directors in ensuring and fulfilling its oversight responsibilities.

The Audit Committee comprised by following Members of the Board of Directors:

Dr. Sultan Hafeez Rahman, Independent Director	-Chairman
Dr. Shamim Matin Chowdhury, Director	-Member
Mr. Mahir Rahman, Director	-Member

Mr. Syed Saiful Haque, Company Secretary acts as the Secretary to the Committee.

Meetings of the Audit Committee:

- The Committee held four (04) meetings during the year.
- The Committee submits its report directly to the Board of Directors.
- Minutes of the Committee meeting are properly recorded.

The scope of Audit Committee was defined as under:

a. Review with the management and recommend to the Board to approve the quarterly and annual financial statements prepared for statutory purpose;

b. Monitor and oversee choice of accounting policies and principles, internal control, risk management process, auditing matter, hiring and performance of external auditors;

c. Meeting with the auditors for review of the annual financial statements before submission to the Board for approval;

d. Review the adequacy of internal audit function, Management's Discussion and Analysis before disclosing in the Annual Report;

e. Review statement of significant related party transactions submitted by the management;

f. Carry on a supervision role to safeguard the system of governance and independence of statutory auditors; and

g. Review and consider the report of internal auditors and statutory auditors' observations on internal control.

Activities carried out during the year 2022-2023:

- The Committee examined and reviewed the fairness of the quarterly and annual financial statements and recommended to the Board for consideration.
- Overseen, reviewed and approved the procedure and task of the internal audit, financial report preparation and the external audit reports.
- Reviewed the Related Party Transactions, Loans, Guarantees and Investments.
- Reviewed the financial statements in particular the investments made by the subsidiary company.
- Reviewed the performance of Statutory Auditors and Corporate Governance Compliance Auditors and made recommendation to the Board on the appointment of Statutory Auditors and Corporate Governance Compliance Auditors.

The Committee found adequate arrangement to present a true and fair view of the activities on the financial statements of the company and an appropriate monitoring system within the business and didn't find any material deviation, discrepancies or any adverse finding/observation in the areas of reporting.

Dr. Sultan Hafeez Rahman
Chairman
Audit Committee
Date: 25th October, 2023

[As per condition No. 6.(5) (c)]

Malek Spinning Mills Limited

Nomination and Remuneration Policy:

The Nomination and Remuneration Policy is prepared and adopted in compliance with Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission in view to formulate and recommend proper, fair, transparent and non-discriminatory nomination and remuneration for the Directors and Top-Level Executives of Malek Spinning Mills Limited.

The Nomination and Remuneration Policy of Directors and Top-Level Executives has been formulated by the Nomination and Remuneration Committee (NRC) and has been approved by the Board of Directors of Malek Spinning Mills Limited.

The Nomination and Remuneration Committee (NRC) has been re-constituted by the Board of Directors of the Company as a sub-committee to assist the Board under Condition No. 6 of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission. NRC is independent and responsible or accountable to the Board of Directors and the Shareholders of the Company.

The NRC consists of the following Non-Executive Directors of the Board:

Dr. Sultan Hafeez Rahman, Independent Director	-Chairman
Dr. Shamim Matin Chowdhury, Director	-Member
Mr. Mahir Rahman, Director	-Member

The Terms of Reference of the NRC have been defined and adopted by the Board of Directors of the Company.

Objective:

The objective of the NRC is to oversee, assist and guide the Board of Directors:

- To formulate the criteria for determining qualifications, positive attributes and independence of a Director and recommend policy to the Board, relating to the remuneration of Directors and Top-Level Executives.
- To devise policy on Board's diversity taking into consideration of age, gender, experience, ethnicity, educational background and nationality.
- To the appointment, fixation of remuneration and removal of Directors and Top Level Executives.
- To formulate the criteria in respect to evaluate performance of the Independent Director and the Board.
- To identify the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria.
- To develop, recommend and review the company's human resources and training policies.
- To recommend Code of Conduct for the Chairman and other Members of the Board and Managing Director.
- To implement and monitor policies and processes regarding principles of corporate governance.

Amendments to the Policy:

The Board preserves the rights to amend and review time to time the provisions of the policy depending on the legal and other requirements or for a bona fide purpose.

Evaluation of performance:

Evaluation of performance of Directors be carried out through completion of a preset confidential questionnaire and/or collective feedback or any other effective criteria adopted by the Board yearly or at such intervals of its work, function and performance as may be considered necessary in order to ascertain the effectiveness and to measure the contribution of the Directors as well as the Top Level Executives of the Company.

Activities of the NRC carried out during the reporting period:

The NRC carried out the following activities in line with Committee's Terms of Reference during the reporting period:

(a) Reviewed the Code of Conduct for the Chairman, other Members of the Board and Managing Director.

(b) Reviewed the Company's existing policy relating to the remuneration of Directors and Top Level Executives.

(c) Discussed and decided in regard to formulate the criteria of evaluation of performance of the Board and Independent Directors.

(d) Reviewed the Company's existing Human Resources and Training policies.

Malek Spinning Mills Limited
Dividend Distribution Policy

Introduction

Bangladesh Securities and Exchange Commission (BSEC) issued a Directive No.BSEC/CMRRCD/2021-386/03 dated 14 January, 2021 for listed companies to formulate its Dividend Distribution Policy and disclose the policy in the company's annual report and official website. In compliance to this directive, Malek Spinning Mills Limited ("Malek Spinning" or the "Company") publishes this statement as a guiding framework for the shareholders with regards to the Company's Dividend Policy.

This statement provides a brief outline of the legal and regulatory provisions relating to dividend, key issues in dividend considerations and the procedure for the declaration, approval and payment of dividend.

Relevant Laws and Regulations

Different legal and regulatory provisions have bearing on dividend decisions of the Company. The paragraphs below provide a brief overview of the provisions relating to dividend:

Companies Act

The Companies Act 1994, the primary legislation regulating the affairs of a company, gives power to the directors to recommend the dividend to be declared by the company which is to be approved by the shareholders in the Annual General Meeting (AGM). The shareholders however, cannot approve any dividend more than what has been recommended by the directors. It also authorizes the directors to pay from time to time, interim dividends to the shareholders if so appears to be justified by the profits of the company. The directors may, before recommending any dividend, set aside out of the profits of the company, such sums as they deem appropriate, as reserve or reserves which shall at the discretion of the directors be applied for meeting contingencies or for equalizing dividends or for any other purpose of the company appropriate for utilization of such profits or may employ such profits in the business of the company or otherwise as they think fit. The law further provides that dividends are to be paid out of profits of the year or any other undistributed profits.

Listing Regulations of Stock Exchanges

There has been a number of listing regulations that have direct or indirect impact on dividend decisions of the company. Shares of a company is traded under different trading categories depending on payment or non-payment of dividend by a company. According to the regulations, a company shall be traded in the "Z Category" (a category with a longer trading settlement time and other restrictive conditions) if it fails to declare cash dividend for two consecutive years. Moreover, a company may among other reasons, be de-listed from the stock exchange if it fails to pay cash/stock dividend for a consecutive period of five years. The listing regulations also require a company to declare in its annual general meeting the reasons, if any for partial or non-distribution of profits as dividend and the plan for utilization of the undistributed profits if there be any.

Income Tax Law

Bangladesh Income Tax law, provides for additional tax charges to a listed company that retains more than 70% of its net after-tax profit earned in any year. According to the said provisions if a company retains or transfers more than 70% of its after tax profit to reserve or any other fund, an additional 10% tax shall be payable on such retained or transferred fund. Moreover, in order to encourage cash dividend, the tax law requires that if in any income year, the stock dividend declared by a company exceeds the cash dividend, an additional 10% tax shall be imposed on the whole amount of stock dividend declared or distributed.

Key Considerations in dividend decisions

The company shall endeavor to maintain a consistent dividend over the year with appropriate consideration of factors relevant to such decisions. It is the Company's practice to declare dividend on annual basis based on annual financial performance. However, the Board may also declare interim dividend based on periodic financial results. Historically the Company declared dividend in either cash or stock or in judicious combination of cash and stock. The company intends to pursue the same policy in future depending on the operating and financial context prevailing at that time.

Multiple internal and external factors might affect Company's dividend decisions. While recommending dividend the Board of Directors shall consider among others:

- Company's current net earnings, accumulated distributable reserves/surplus and availability of free cash flow
- Potential growth opportunities and investment requirements; assessment of benefits of retention vs pay-out
- Legal and Regulatory compulsion and tax implication of retention and payout
- Any debt/loan covenants restricting dividend announcement
- Persuasion of a target capital structure
- Cost of external finance
- Policy on consistency of the dividend over reasonable and foreseeable future years

Additionally, the Board may consider other factors or circumstances to decide on distribution of dividend for a particular year.

Eligibility of shareholders for dividend

Dividend is declared on the face value of each Equity Share. Unless otherwise stated, all holders of Equity Share and DR (Depository Receipts) whose names appear on the register of the Company on the Record Date declared by the Company for entitlement of dividend, are eligible to get the dividend.

Timing of Dividend Announcement and Payment

Annual dividend decision is taken in the Board Meeting to be held within 120 days from the date of closing of the financial year. Such decisions are based on the results of the audited financial statements. The dividend recommendations made by the directors are notified to the shareholders through stock exchanges, website and public announcements.

Dividend recommended by the Directors are to be placed in the Annual General Meeting (AGM) of the Company for the Shareholders' approval. Dividend are transferred to the respective shareholders' account within 30 days from the date of its approval. Interim Dividend if any declared by the Company, are paid within 30 days from the Record Date fixed by the Company for the entitlement of such dividend.

Policy Review and Amendment

Apart from mandatory revision, modification or amendment as necessitated by the legal and regulatory requirements, the company shall review this policy on periodic basis and make necessary revision or amendment to keep the policy relevant and up to date. The Board of Directors of the company shall approve the revision and/or amendment as it deems fit.

Disclaimer

The above Policy Statement neither gives a guarantee of dividend to be declared by the Company nor does it constitute a commitment for any future dividend and thus be read as a general guidance on different dividend related issues. The policy upholds the Board's absolute/complete liberty to recommend any dividend in deviation of the policy.

Independent Auditor's Report
To the Shareholders of Malek Spinning Mills Limited
Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the Consolidated financial statements of **Malek Spinning Mills** Limited and its subsidiaries (the "Group") as well as the separate financial statements of Malek Spinning Mills Limited (the "Company") which comprise the Consolidated and separate Statement of financial position as at June 30, 2023, the Consolidated and separate Statement of Profit or Loss and Other Comprehensive Income, Consolidated and separate Statement of Changes in Equity and Consolidated and separate Statement of Cash Flows for the year then ended, and notes to the Consolidated and separate financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated and separate financial statements give true and fair view of the consolidated financial position of the Group and the separate financial position of the Company as at 30 June 2023, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994, the Securities and Exchange Rules 1987 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Matter

With reference to note 36, which describes that the company is incurred huge loss of Tk. 1.14/- (Group) and Tk. 2.58/- (sole) Per Share during the year in comparative with profit per share of Tk. 3.72/- (Group) and Tk.1.25/- (sole) in comparative year due to increase of cost and reduction of Sales & underutilization of Production capacity during the year.

Key Audit Matters

Risk	Our response
Revenue recognition	
At year end the Company reported total revenue of Tk. 3,845,154,105 and the Group, as a whole, reported total revenue of Tk. 17,421,828,947 Time of revenue recognition is matter. Considering the other inherent risk of the existence and the accuracy on revenue recognition, the revenue has been selected as key audit matter.	We have tested the design and operating effectiveness of key controls focusing on the following: • Policy of revenue recognition. • Issuance of VAT challan; • Segregation of duties in invoice creation and modification; and • Timing of revenue recognition. Our substantive procedures in relation to the revenue recognition comprises the following: • Obtaining supporting documentation for sales transactions recorded either side of year end as well as credit notes issued after the year end date to determine whether revenue was recognized in the correct period; • Critically assessing manual journals posted to revenue to identify unusual or irregular items; and • Finally assessed the appropriateness and presentation of disclosures against relevant accounting Standards.
Please see the note no. 26 & 20.1 in these financial statements.	

Risk	Our response
Valuation of inventory	
At reporting date, the balance of inventory was Tk. 2,169,776,435 and Tk. 5,922,483,361 respectively for the Company and the Group. Inventories are carried at the lower of cost and net realizable value. As a result, the Management has applied judgments in determining the appropriate values for slow-moving or obsolete items.	We challenged the appropriateness of management's assumptions applied in calculating the value of the inventory and related provisions by: • Evaluating the design and implementation of key inventory controls operating across the Company in respect of inventory management; • To attend the physical inventory counts and reconciling the count results to the inventory listings to test the completeness of data; • To review the inventory costing procedures and methodology. • Comparing the net realizable value, obtained through a detailed review of sales subsequent to the year-end, to the cost price of a sample of inventories and comparison to the associated provision to assess whether inventory provisions are complete; • Reviewing the historical accuracy of inventory provisioning, and the level of inventory write-offs during the year; and • Challenging the completeness of inventory provisions through assessing actual and forecast sales of inventory lines to assess whether provisions for slow- moving/obsolete stock are valid and complete.
Please see the note no. 6 & 4.1 in these financial statements.	
Measurement and recognition of deferred tax	
At reporting date, the balance of deferred tax liability was Tk. 255,878,473 and 531,150,923 respectively for the Company and the Group. The risk for the financial statements is that these provisions are not properly measured for all types of temporary difference as per IAS 12: Income Tax.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the recognition and measurement of deferred tax. We have assessed the appropriateness of the carrying amounts of net asset value as per tax base and accounting base. We have also assessed the rate of deferred for each temporary difference. Also, we examined the accounting treatment of deferred tax.
Please see the note no. 19 & 14.1 in these financial statements.	
Consolidation of the financial statements	
It is mentioned here that the Company has prepared and published consolidated financial statements of the group as whole by taking consideration of three subsidiary named Salek Textile Limited with 97.925% of controlling stake, Newasia Synthetics Limited with 99.293% of controlling stake and J.M Fabrics Limited with 99.998% stake. The key risk is that whether the consolidated financial statements of the company are prepared in compliance with IFRS 10: Consolidated Financial statements and IFRS 3: Business Combination and provide adequate disclosure in required standard.	We have obtained a good understanding of the structure of the group, the significance (ie materiality) of each component of the group, the mechanics of the consolidation process, and the risk of material misstatement presented by each of the company's financial statements. We have also established materiality level for the group in aggregate, and for the individually significant components. The types of audit procedures that was performed include: • Checking that figures taken into the consolidation have been accurately extracted from the financial statements of the components. • Evaluating the classifications of the components of the group – for example, whether the components have been correctly identified and treated as subsidiaries, associates. • Reviewing the disclosures necessary in the group financial statements, such as related party transactions and minority interests. ➢ Gathering evidence appropriate to the specific consolidation adjustments made necessary by financial reporting standards, including, for example: ➢ Cancellation of inter-company balances and transactions ➢ Provision for unrealised profits, if any, as a result of inter-company transactions fair value adjustments needed for assets and liabilities held by the component.

Other Information

The other information comprises all of the information in the Annual Report other than the consolidated financial statements and our auditor's report thereon. We have not been provided the Director's report and other information contained within the annual report except the consolidated financial statements to the date of our auditor's report. We expect to obtain the remaining reports of the Annual report after the date of our auditor's report. Management is responsible for the other information.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Our opinion on the consolidated financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as explained, and for such internal control as management determines is necessary to enable the preparation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error. The Companies Act, 1994 require the Management to ensure effective internal audit, internal control and risk management functions of the Company.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's consolidated financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the consolidated financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994 and the Securities and Exchange Rules 1987, we also report the following:

a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;

b) In our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of these books;

c) The Statement of financial position and statement of profit or loss and other comprehensive income dealt with by the report are in agreement with the books of accounts and returns; and

d) The expenditure incurred was for the purposes of the Company's business.

Malek Siddiqui Wali,
Chartered Accountants

Dated, Dhaka
November 1, 2023

Md. Waliullah, FCA
Enrolment No: 0247

Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 30TH JUNE 2023

Amount in Taka

Particulars	Notes	JUNE'23	JUNE'22
ASSETS :			
Non-Current Assets :			
Property, Plant and Equipment	4	10,468,925,269	10,431,049,296
Capital Work-in-Progress	5	287,958,040	132,668,837
		10,756,883,309	**10,563,718,133**
Current Assets :			
Inventories	6	5,922,483,361	5,567,022,901
Accounts Receivable	7	3,952,286,832	4,119,889,417
Fire Insurance Claimed Receivable	8	282,458,514	388,102,566
Advances, Deposits and Pre-payments	9	737,252,788	731,955,589
Non-current Asset held under disposal group	10	425,047,635	425,047,635
Cash and Cash Equivalents	11	682,309,689	939,878,150
		12,001,838,819	**12,171,896,258**
TOTAL ASSETS :		**22,758,722,128**	**22,735,614,391**
SHAREHOLDER'S EQUITY AND LIABILITIES:			
Equity attributable to owners of the company			
Share Capital	12	1,936,000,000	1,936,000,000
Share Premium	13	1,500,000,000	1,500,000,000
Tax Holiday Reserve	14	-	210,883,871
Re-valuation Surplus	15	3,379,069,326	3,421,680,601
Retained Earnings	16	2,240,297,428	2,400,387,901
		9,055,366,754	**9,468,952,373**
Non Controlling Interest	17	**47,721,116**	**55,602,550**
Total Equity :		**9,103,087,870**	**9,524,554,923**
Non Current Liabilities:			
Long Term Loan	18	3,497,071,022	2,576,158,816
Deferred Tax Liabilities	19	531,150,923	503,070,063
		4,028,221,945	**3,079,228,879**
Current Liabilities :			
Short Term Loan	20	3,360,865,534	3,999,704,938
Current Portion of Long Term Loan	21	946,801,603	822,031,729
Loan from Director	22	-	25,500,000
Acceptance Liabilities	23	4,067,283,070	4,216,088,096
Unclaimed Dividend	24	4,016,172	4,360,858
Creditors, Accruals & Provisions	25	1,248,445,934	1,064,144,968
		9,627,412,313	**10,131,830,589**
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		**22,758,722,128**	**22,735,614,391**
Net Assets Value Per Share (NAV)	39	**46.77**	**48.91**

Par Value Tk.10

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED

CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30TH JUNE 2023

Amount in Taka

Particulars	Notes	JUNE'23	JUNE'22
Sales	26	17,421,828,947	16,756,184,227
Cost of Goods Sold	27	(16,841,284,992)	(15,108,561,384)
Gross Profit :		**580,543,955**	**1,647,622,842**
Operating Expenses	28	(273,774,637)	(288,261,884)
Financial Expenses	29	(482,734,751)	(346,024,861)
Operating Profit/(Loss) :		**(175,965,434)**	**1,013,336,097**
Loss on Fire	30	-	(93,503,083)
Other Income/(Loss)	31	205,587,161	124,046,697
Net Operating Profit/(Loss) :		**29,621,727**	**1,043,879,712**
Contribution to WPPF	32	(3,206,756)	(23,786,992)
Profit/(Loss) before Tax :		**26,414,971**	**1,020,092,720**
Income Tax :		**(254,282,024)**	**(157,388,107)**
Current Tax	33	(207,534,657)	(124,038,511)
Prior year tax adjustment	33	(18,666,507)	-
Deferred Tax	34	(28,080,860)	(33,349,596)
Net Profit/(Loss) after tax		**(227,867,053)**	**862,704,613**
Discontinued Operation:			
Profit/(Loss) from discontinued operation		-	(141,919,686)
Other Comprehensive Income		-	-
Total Comprehensive Income		**(227,867,053)**	**720,784,927**
Profit attributable to:			
Owners of the company		(219,985,619)	720,716,346
Non-controlling interest	35	(7,881,434)	68,581
		(227,867,053)	**720,784,927**
Total comprehensive income attributable to:			
Owners of the company		(219,985,619)	720,716,346
Non-controlling interest	35	(7,881,434)	68,581
		(227,867,053)	**720,784,927**
Earnings Per Share (EPS)	36	**(1.14)**	**3.72**
Par Value Tk.10			
Number of Shares used to compute EPS		**193,600,000**	**193,600,000**

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

CHARTERED ACCOUNTANTS

FOR THE YEAR ENDED 30TH JUNE 2023

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1st July 2022	1,936,000,000	1,500,000,000	3,421,680,601	210,883,871	2,400,387,901	55,602,550	9,524,554,923
Total Comprehensive Income					(219,985,619)	(7,881,434)	(227,867,053)
Transfer of excess depreciation of Revalued Assets			(42,611,274)		42,611,274		-
Tax Holiday Reserve				(210,883,871)	210,883,871		-
Declared Cash Dividend for 2021-2022 financial year					(193,600,000)		(193,600,000)
As at 30th June 2023	**1,936,000,000**	**1,500,000,000**	**3,379,069,326**	**0**	**2,240,297,428**	**47,721,116**	**9,103,087,870**

FOR THE YEAR ENDED 30TH JUNE 2022

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1st July 2021	1,936,000,000	1,500,000,000	3,467,782,367	210,883,871	1,842,353,215	55,533,970	9,012,553,423
Total Comprehensive Income					720,716,346	68,581	720,784,927
Transfer of excess depreciation of Revalued Assets			(46,101,766)		46,101,766		-
Prior year tax adjustment					(15,183,426)		(15,183,426)
Declared Cash Dividend for 2020-2021 financial year					(193,600,000)		(193,600,000)
As at 30th June 2022	**1,936,000,000**	**1,500,000,000**	**3,421,680,601**	**210,883,871**	**2,400,387,901**	**55,602,550**	**9,524,554,923**

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED

CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2023

Amount in Taka

PARTICULARS	JUNE'23	JUNE'22
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	17,589,431,532	17,369,927,534
Other Income	216,445,206	122,939,813
Payment for Raw Materials, Indirect Materials and other expenses	(16,458,998,345)	(16,527,948,044)
Foreign currency exchange Gain/(Loss) realized	307,478	1,285,797
Payment to Employee against contribution to WPPF	-	(82,446,548)
Fire Insurance Claimed received on Raw Materials & Goods	4,681,424	4,681,424
Payment for Operating Expenses	(259,812,806)	(296,553,541)
Payment for Financial Expenses	(479,663,870)	(427,124,528)
Payment for Income Tax	(231,996,776)	(145,960,053)
Net Cash provided/(used) by Operating Activities	**380,393,842**	**18,801,854**
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(534,664,045)	(839,503,740)
Acquisition of Capital work in progress	(369,670,897)	-
Disposal of Fixed Assets	800,000	96,196,287
Fire Insurance Claimed received on Assets	100,962,628	100,962,628
Advance against Building & other construction	(11,671,249)	(60,572,534)
Net cash provided/(used) in Investing Activities	**(814,243,562)**	**(702,917,359)**
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	406,842,675	748,607,200
Loan from Directors	(25,500,000)	(8,500,000)
Refundable IPO Share Money transferred to CMS Fund	-	(11,669,885)
Dividend Paid	(192,184,705)	(191,970,816)
Dividend transferred to Capital Market Stabilization Fund	(1,766,587)	(36,832,284)
Interest Increased/(Decreased) in Dividend Account	6,606	334,620
Net cash provided/(used) in Financing Activities	**187,397,989**	**499,968,836**
Increase/(Decrease) in Cash and Cash Equivalents	**(246,451,731)**	**(184,146,669)**
Opening Cash & Cash Equivalents	939,878,150	1,103,686,839
Foreign Currency Bank deposit translation Gain/(Loss)	(11,116,730)	20,337,980
Closing Cash and Cash Equivalents	**682,309,689**	**939,878,150**
Net Operating Cash Flow Per Share (NOCFPS)	**1.96**	**0.10**
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

1. COMPANY AND ITS ACTIVITIES:

Malek Spinning Mills Limited was incorporated vide registered no. C-19018 as a Private Limited Company on 2nd November, 1989 under Companies Act 1913. It was converted into Public Ltd. Company in the year 2008. The share of the company is denominated from Tk.100/- to Tk.10/- per share as on 14th September, 2008. Its subsidiary companies are Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited. Titas Spinning & Denim Company Ltd. one of the subsidiary company has been Merged and Amalgamated with another subsidiary company Salek Textile Ltd. as per order of the Hon'ble High Court Division of the Supreme Court of Bangladesh dated 05.03.2014 in the Company Matter No. 248 of 2013. All of the companies are incorporated with registrar of joint stock companies and firms, Dhaka, except J.M. Fabrics Limited which is registered with RJSC Chittagong, Bangladesh under Companies Act 1994. Registered office of the Companies are at 117/A, Tejgaon I/A, Dhaka-1208, while Factories are situated at Shafipur, Kaliakoir, Bhawal Mirzapur, Gazipur & Mahna Bhabanipur, Gazipur respectively.

1.01. NATURE OF BUSINESS:

The Company has got the capacity of 63,624 spindles to spin high quality Cotton hosiery yarns by using modern machinery including state-of-the-art yarn testing laboratory. Annual production capacity of the company is 12,600,000 Kgs.

2. BASIS OF THE PREPARATION OF THESE FINANCIAL STATEMENTS:

2.01. Statement of compliance:

The financial statements of the company under reporting have been prepared under historical cost convention, except land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with generally accepted accounting principles and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of Dhaka Stock Exchange Ltd (DSE) & Chittagong Stock Exchange Ltd. (CSE) and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB).

2.02. Compliance with International Accounting Standards:

The financial statements have been prepared in compliance with requirement of IAS as adopted by The Institute of Chartered Accountants of Bangladesh (ICAB) and applicable in Bangladesh.

2.03. Risk and Uncertainties for use of Estimates in Preparation of Financial Statements:

The preparation of financial statements in conformity with the international accounting standards requires management to make estimates and assumption that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of affecting financial statements and revenues and expenses during the reported year. Actual results could differ from those estimates. Estimates are used for accounting of certain items such as long-term contracts; depreciation and employees benefit plans, taxes, reserves and contingencies.

2.04. Accrual basis accounting

The financial statements, except cash flows statements, have been prepared using the accural basis of accounting. Under this concept, the company recognises items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

2.05. Going concern

The financial statements have been prepared in assuming that the company is going concern and it has ability to continue as going concern for forseeable future.

2.06. Principal Accounting Policies:

Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS27 preparation separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

2.07. Basis of Consolidation:

The consolidated financial statements incorporate the financial statements of the company and entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other member of the group.

All intra group transaction, balances, income and expenses are eliminated in full on consolidation. Minority interests in the net assets of consolidated subsidiaries are identified separately from the group equity therein. The consolidated financial statements are prepared as per guidance of IFRS-10: Consolidated Financial Statements.

These consolidate financial statements have been prepared in consolidation with the audited accounts of the company and the audited accounts of Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited for the period ended 30th June, 2023, according to the relevant IFRS or IAS.

2.08 Percentage of Holding on Subsidiary Company:

Name of Company	Total No. Shares	Total Holding	Percentage of Holding
Salek Textile Ltd.	48,260,870	47,259,700	97.925%
Newasia Synthetics Ltd.	6,600,000	6,553,338	99.293%
J.M. Fabrics Ltd.	4,000,000	3,999,900	99.998%

2.09 Application of International Accounting Standards (IAS):

The following IAS are applicable for the financial statements for the year under review

IAS – 1 Presentation of Financial Statement.
IAS – 2 Inventories.
IAS – 7 Statement of Cash Flows.
IAS – 8 Accounting Policies, Changes in Accounting Estimates and Errors.
IAS – 10 Events after the Balance Sheet Date.
IAS – 12 Income Tax.
IAS – 16 Property, Plant & Equipment.
IAS – 19 Employee Benefits.
IAS – 20 Accounting for Government Grants and Disclosure of Government Assistance.
IAS – 21 The effect of changes in Foreign Exchange rate.
IAS – 23 Borrowing Cost.
IAS – 24 Related Party Disclosure.
IAS – 27 Separate Financial Statements.
IAS – 33 Earnings per share.
IAS – 36 Impairment of Assets.
IAS – 37 Provisions, Contingent Liabilities and Contingent Assets.
IAS – 38 Intangible Assets.
IFRS –3 Business Combination.
IFRS –8 Operating Segments
IFRS –10 Consolidated Financial Statements.
IFRS –15 Revenue from Contracts with Customers
IFRS –16 Leases.

3. Significant accounting policies:

3.01 Recognition of Property, Plant & Equipment and Depreciation:

Property, Plant & Equipment are stated at cost less accumulated depreciation in accordance with IAS-16 "Property, Plant & Equipment". Cost represents cost of acquisition or construction and include purchase price and other directly attributable cost of bringing the assets to working conditions for its intended use. Revaluation of Land, Building, Plant & Machineries were made by registered renowned Company Asian Surveyors Ltd. as on 30.06.2012. Depreciation on all fixed assets except J.M. Fabrics Limited is computed using the reducing balance method in amount sufficient to write-off depreciable assets over their estimated useful life. Depreciation on fixed assets of J.M. Fabrics Limited is computed using straight line method. Depreciation on Current year addition is charged as and when the assets are ready for operation.

The annual depreciation rates applicable to the principal categories are:

Building	3.37% - 5%
Plant & Machinery	5% - 10.85%
Generator	10% - 15%
Furniture & Fixture	10% - 20%
Motor Vehicles	10% - 20%
Office Equipment	15% - 20%
Electrical Installation	10% - 19.75%
Gas Line Installation	15%
Fire Installation	15%
Loose Tools	10% - 15%

3.02 Inventories:

Inventories comprise of Raw Materials, Raw Materials in Transit, Work-In-Process, Finished Goods and Stores and Spare Parts. They are stated in accordance with the Para of 21 & 25 of IAS-2 "Inventories". Basis of valuation is as under:

a) Raw Material in hand (imported) lower of cost and net realizable value (NRV).
b) Raw Material in hand (local) lower cost (weighted average) and NRV.
c) Raw Material in transit Cost incurred to date accumulated to balance sheet date of course cost incurred to date is less than or equal to fair value.
d) Work-in-process lower of cost (weighted average) and NRV (market value less cost to finish).

e) Finished Goods lower of cost and NRV.

f) Waste NRV.

Cost in relation to work-in-process and finished goods represents annual average manufacturing cost which consists of prime cost and apportionate manufacturing overheads.

Net realizable value signifies the estimated selling price in the ordinary course of business less estimated cost of completion and estimated cost necessary to be incurred to affect such sale.

3.03 Accounts Receivable:

Accounts Receivable represents the amounts due from export sales both to local and foreign buyers. All transaction related to export sales is performed through letter of credit, they are secured and collectible. The credit party, under confirmed LC of sold goods is between 90 days to 130 days. Receivable are recognised, when goods are sold to customers and subsequently measured at amortise cost.

3.04 Cash and Cash Equivalents:

According to IAS-7 'Statement of Cash flows' cash comprises of cash-in-hand and demand deposits. IAS-1 'Presentation of Financial Statements' provides that cash and cash equivalents are not restricted in use. Considering the provisions of IAS-7 and IAS-1, Cash in hand and Bank balances have been considered as cash and cash equivalents.

3.05 Creditors and Accruals:

Liabilities are recognized under accrual basis accounting, amounts to be paid in the future for goods and services received. After final recognition the creditors and accruals are accounted for under amortised cost.

3.06 Income Tax:

a) Current Tax: The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported is the statement of Profit or Loss and other Comprehensive income because it excludes items of income or expenses that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted on date of Statement of Financial Position.

b) Deferred Tax: The Company has recognized deferred tax using balance sheet method in compliance with the provisions of IAS-12 "Income Taxes". The company's policy of recognition of deferred tax assets/liabilities is based on temporary difference (Taxable or deductible) between the carrying amount (Book Value) of assets and liabilities for Financial Reporting purpose and its tax base, and accordingly, deferred tax income/expenses has been considered to determine net profit after tax and earnings per share (EPS).

3.07 Statement of Cash Flows:

Statement of Cash Flows is prepared in accordance with IAS-7 under direct method as outlined in the "Securities and Exchange Rules 1987".

3.08 Contingent Liabilities and Assets:

Current or possible obligations or assets arising from past events and whose existence is due to the occurrence or non-occurrence of one or more uncertain events which are not within the control of the group.

3.09 Reporting Period:

Financial statements of the company cover from 1st July 2022 to 30th June 2023.

3.10 Reporting Currency and Level of Precision:

The figures in the financial statements represent Bangladesh Currency (Taka), which have been rounded off to the nearest Taka except where indicates otherwise.

3.11 Comparative Information:

Comparative information have been disclosed in respect of previous year 2021-2022 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current year 2022-2023 financial statements. Figures of the previous year have been rearranged whenever considered necessary to ensure comparability with the current year.

3.12 Foreign Currency Transaction:

Transactions in foreign currencies are translated into Bangladeshi taka in accordance with IAS-21 "The Effects of Changes in Foreign Exchange Rate." Foreign Currencies are converted into taka at the rates ruling on the transaction dates. Monetary assets and liabilities are converted at the rates prevailing at the balance sheet date, non-monitory assets and liabilities are reported using the exchange rate at the date of transaction. Exchange currency difference if any in the comprehensive income.

3.13 Revenue Recognition:

The Company recognizes revenue when risk and rewards associated with ownership has been transferred to buyer, which satisfied all the condition for the revenue recognition as provided in IFRS-15 'Revenue from Contracts with Customers.'

3.14 Accounting for Government Grants and Disclosure of Government Assistance:

Cash Incentive recognize as per IAS-20 as other income.

3.15 Responsibility for Preparation and Presentation of Financial Statements:

The Board of Directors is responsible for the preparation and presentation of Financial Statements under Section 183 of the Companies Act 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements' issued by the International Accounting Standards Board (IASB).

3.16 Components of the Financial Statements:

According to the International Accounting Standard IAS-1 'Presentation of Financial Statements' the complete set of Financial Statements includes the following components:

(i) Statement of Financial Position as at 30th June 2023.

(ii) Statement of Profit or Loss and other Comprehensive Income for the period from 1st July 2022 to 30th June 2023.

(iii) Statement of Cash flows for the period from 1st July 2022 to 30th June 2023.

(iv) Statement of changes in Equity for the period from 1st July 2022 to 30th June 2023.

(v) Accounting Policies and Explanatory Notes.

3.17 Earnings per Share:

Earnings per share (EPS) is calculated in accordance with the International Accounting Standard IAS-33 "Earnings per share".

3.18 Basic Earnings per Share:

Basic Earnings per share is calculated by dividing the net profit or loss for the year attributable to ordinary shareholders by the number of ordinary shares outstanding during the year.

3.19 Share Premium:

The balance in share premium account shall be utilized in accordance with provisions of the Companies Act 1994 and as directed by the Bangladesh Securities and Exchange Commission in this respect.

3.20 Impairment of Assets:

The company reviews the recoverable amount of its assets at each reporting date. If there exist any indication that the carrying amount of assets exceeds the recoverable amount, the company recognizes such impairment loss in accordance with IAS-36 "Impairment of Assets".

3.21 Credit Facility Not Availed:

There was no credit facility available to the company under any contract, other than trade credit available in the ordinary course of business.

3.22 Segment Reporting:

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills Ltd. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning and Fabrics unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

3.23 General Comments & Observations:

a) Previous year's figures is regrouped/reclassified wherever considered necessary to confirm to current year's presentation. There has no such effect during year. Figures have been rounded off to the nearest taka, as the currency represented in this financial statement.

b) All shares have been fully called and paid up.

c) There was no preference share issued by the company.

d) The company has not incurred any expenditure in foreign currency against royalties and technical fees.

e) Auditors are paid only statutory audit fees.

f) No foreign exchange remitted to the relevant shareholders during the year.

g) No amount of money was expended by the company for compensating any members of the Board for special service rendered.

h) No brokerage was paid against sales during the year.

i) There was no bank guarantee issued by the company on behalf of directors.

3.24 Contribution to Worker's Profit Participation Fund:

The contribution for Worker's Profit Participation Fund is provided in the Accounts but approved while approving the Accounts in the Annual General Meeting and payable accordingly. The company is making provision of WPPF at the rate of 5% of company's operating profit as per the Labour Law Act-2006 (amendment 2013).

3.25 Effect of exchange rate changes on cash and cash equivalent:

We have shown the effect of currency Exchange Rate Changes separately in the Cash Flows Statement.

Amount in Taka

4. CONSOLIDATED PROPERTY, PLANT AND EQUIPMENT:

	JUNE'23	JUNE'22
COST:		
Opening Balance	11,247,335,462	10,931,215,044
Addition during the year	548,301,514	1,234,121,370
	11,795,636,976	**12,165,336,414**
Sales/Adjustment during the year	1,842,000	250,420,152
Closing Balance	**11,793,794,976**	**11,914,916,262**
Accumulated Depreciation:		
Opening Balance	4,428,842,269	4,342,061,520
Depreciation during the year	451,895,134	478,118,409
Adjustments during the year	993,206	148,804,496
Closing Balance	**4,879,744,197**	**4,671,375,433**
Less: Non-current Asset held under disposal group	-	425,047,635
Written Down Value at cost:	**6,914,050,780**	**6,818,493,194**
REVALUATION:		
Opening Balance	4,800,928,324	4,800,928,324
Addition of Revaluated Assets	-	-
Adjustment during the year	-	-
Total Revaluated Assets:	**4,800,928,324**	**4,800,928,324**
Accumulated Depreciation:		
Opening Balance	1,188,372,222	1,125,745,989
Depreciation during the year	57,681,612	62,626,233
Closing Balance	**1,246,053,834**	**1,188,372,222**
Written Down Value of Revaluated Assets:	**3,554,874,490**	**3,612,556,102**
Total Written Down Value:	**10,468,925,269**	**10,431,049,296**

Allocation of depreciation charges for the year has been made in the accounts as follows:

	JUNE'23	JUNE'22
Factory Overhead	498,321,798	529,171,587
Administrative Overhead	11,254,948	11,573,055
	509,576,747	**540,744,642**

Details of Fixed Assets and Depreciation are shown in the **Annexure-1**

5. CONSOLIDATED CAPITAL WORK-IN-PROGRESS:

	JUNE'23	JUNE'22
	287,958,040	**132,668,837**
Opening Balance	132,668,837	133,494,119
Addition for the year	452,470,897	877,626,358
Less: Transferred to Assets Schedule	297,181,695	878,451,639
Closing Balance	**287,958,040**	**132,668,837**

6. CONSOLIDATED INVENTORIES :

	JUNE'23	JUNE'22
Raw Materials	2,378,098,379	2,221,736,637
Stock-in-Transit	962,541,046	489,926,404
Work-in-Process	879,995,439	956,024,040
Finished Goods	1,377,426,630	1,543,041,613
Stores & Accessories:	324,421,866	356,294,207
Total:	**5,922,483,361**	**5,567,022,901**

(i) The inventory counting was taken place at the year end in the presence of company management and auditors.

(ii) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.

7. CONSOLIDATED ACCOUNTS RECEIVABLE :

	JUNE'23	JUNE'22
i) Malek Spinning Mills Limited	1,160,557,789	1,322,218,851
ii) Salek Textile Limited	1,513,343,562	1,579,705,211
iii) J.M. Fabrics Limited	1,454,226,775	1,441,818,808
	4,128,128,126	**4,343,742,870**
Less: Inter Company Receivable	175,841,294	223,853,453
Total:	**3,952,286,832**	**4,119,889,417**

(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.

(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days).

(iii) Aging of the Receivables:

	JUNE'23	JUNE'22
Invoiced at 90 days L.C tenor:	417,796,241	431,476,019
Invoiced at 120 days L.C tenor:	3,534,490,591	3,688,413,398
Invoiced at 121 - 180 days L.C tenor:	-	-
Invoiced at 181 - 360 days L.C tenor:	-	-
Invoiced at above 360 days L.C tenor:	-	-
Total:	**3,952,286,832**	**4,119,889,417**

CHARTERED ACCOUNTANTS

	Amount in Taka	
	JUNE'23	JUNE'22
8. CONSOLIDATED FIRE INSURANCE CLAIMED RECEIVABLE:		
(Contingent Asset)		
Fire Insurance claimed receivable (Raw Materials & Finish Goods)	277,346,120	282,027,544
Fire Insurance claimed receivable (Fixed Assets)	5,112,394	106,075,022
	282,458,514	**388,102,566**

Please see the note no. 44 of these financial statements for detail of contingent assets.

9. CONSOLIDATED ADVANCE, DEPOSIT & PRE-PAYMENTS:	JUNE'23	JUNE'22
Advance against materials suppliers & Others	270,437,093	260,878,731
Advance against Building & other construction	72,243,783	60,572,534
Security Deposit to REB	178,875	178,875
Security Deposit to Titas Gas T&D Co.	31,276,376	44,422,276
Advance against Income Tax (Note: 9-A)	339,835,403	343,023,188
Security Deposit to CDBL	500,000	500,000
Security deposit to Peoples Insurance Company Ltd.	-	500,000
Security deposit to Asia Pacific General Insurance Company Ltd.	-	500,000
Security deposit to Palli Bidyut Samity	3,000,000	3,000,000
Advance to M/S Maznu Traders(For Land purchase)	73,073	73,073
Advance to WASO Engineers & Consultants (BD) Ltd.	1,100,000	600,000
Security Deposit against LC margin/ Bank Guarantee	1,308,185	1,283,645
Advance to M/S MR Traders (Land purchase-Ashugonj)	17,300,000	15,400,000
Advance to Mr. Abdus Salam(Land)	-	1,023,266
Total:	**737,252,788**	**731,955,589**

9-A. CONSOLIDATED ADVANCE INCOME TAX:	JUNE'23	JUNE'22
Opening Balance	343,023,188	335,112,275
Advance Income Tax paid (Against Export Proceeds)	184,728,588	87,245,031
Advance Income Tax paid (Against Import)	653,905	548,906
Advance Income Tax paid (Against Interest Income)	437,812	356,718
Advance Income Tax paid (Against Cash Incentive)	21,559,455	11,941,398
Advance Income Tax paid (Against current year Income)	-	10,000,000
Advance Income Tax paid (Against prior year Income)	23,810,490	35,000,000
Advance Income Tax paid (Against Vehicle)	806,527	868,000
Total AIT paid for the year:	**231,996,776**	**145,960,053**
Payment/Adjustment for prior year Income	235,184,562	138,049,140
Total:	**339,835,403**	**343,023,188**

a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.
b) In the opinion of Directors, all current assets, investments, loans and advance have on realization in the ordinary course of business, a value at least equal to the amount at which they are stated in the Financial Position.

MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:	JUNE'23	JUNE'22
(i) Realizable/Adjustable within 1 year:	621,655,042	605,386,843
(ii) Realizable/Adjustable after 1 year:	115,597,746	126,568,746
Total:	**737,252,788**	**731,955,589**

	JUNE'23	JUNE'22
10 NON-CURRENT ASSET UNDER DISPOSAL GROUP:	**425,047,635**	**425,047,635**

11. CONSOLIDATED CASH AND CASH EQUIVALENTS:	JUNE'23	JUNE'22
Cash in Hand:	**3,266,107**	**1,185,542**
Cash at Banks :		
AB Bank Ltd. A/C: 4005-767482-430 (MSML)	257,642	256,269
Brac Bank A/C: 15051001762043001 (MSML)	41,256	42,333
Brac Bank A/C: 1501201762043001 (MSML)	1,948,155	2,023,085
Brac Bank- A/C: 101-762043002 (MSML)	1,481,295	-
Brac Bank A/C: 201-762-0430004 (MSML)	1,259,069	-
The City Bank Ltd.- CD A/C: (JMFL)	3,618,884	8,884,009
The City Bank Ltd.- A/C:1000241001079 (JMFL)	144,359,791	109,251,180
The City Bank Ltd.- A/C:5121408289001 (JMFL)	15,770,613	10,217,202
Dhaka Bank Ltd A/C: 207.100.6276 (STL)	3,304,533	1,861,196
Dhaka Bank A/C:0032 (STL)	556,072	4,743,705
Dhaka Bank Ltd A/C: 207.100.6643 (NSL)	291,165	6,463,704
Dhaka Bank Ltd. A/C: 207-150000000806(MSML)	586,777	2,337,773
Dhaka Bank Ltd.- A/C:207130000000013 (MSML)	19,731,744	40,089,437
Dutch Bangla Bank Ltd. A/C:2271100012931 (MSML)	99,545	29,014
Dutch Bangla Bank Ltd. A/C:2271100012947 (STL)	211,269	164,532
Dutch Bangla Bank Ltd. CD A/C: (JMFL)	120,617	1,079,628
Eastern Bank A/C: 5745 (NSL)	-	85,771
Eastern Bank Ltd.- A/C: 101-0100611 (MSML)	169,543	80,594,285
Eastern Bank A/C: 0311738 (STL)	904,368	15,693,729
Eastern Bank A/C: 01011060020990 (STL)	1,780	138,395
Eastern Bank Ltd. A/C:1043100255781(STL)	5,045,453	417,898

MSH CHARTERED ACCOUNTANTS

	Amount in Taka	
	JUNE'23	**JUNE'22**
Eastern Bank- A/C: 4755, 0251, 0140(MSML)	1,206,312	1,208,424
Eastern Bank Ltd.- A/C: 101-1230000068 (MSML)	62	634
HSBC Bank- A/C:001-007475-012 (MSML)	5,000	-
HSBC Bank- A/C: 091 (STL)	71,108	-
HSBC Bank- A/C: 047 (STL)	189,648	41,234
HSBC Ltd.- A/C: 001-007475-091	4,710,779	-
Meghna Bank Ltd. A/C: 0017(STL)	84,504,645	4,901,660
Meghna Bank Ltd.- A/C:1039(STL)	101,151	83,115
Meghna Bank Ltd.- A/C:0007(STL)	36,706	26,215
Islami Bank- A/C: 010049410(STL)	-	24,204
Islami Bank- A/C: 0100222810(STL)	-	1,514
Islami Bank- A/C: 3301(STL)	-	1,685,739
Meghna Bank A/C: 11028400000001(MSML)	-	50,777,488
One Bank Ltd,- A/C: 16426008 (MSML)	-	656,428
One Bank Ltd.- A/C: 0011020009261(MSML)	887	18,375
One Bank- A/C:0010426091(MSML)	4,301,162	37,625,650
Pubali Bank- A/C: 3311-901-12209 (STL)	-	3,237,705
Shahjalal Islami Bank A/C: 11100000252 8 (MSML)	8,868	8,868
Trust Bank A/C: 0003-0210006613 (MSML)	25,054	396,701
Trust Bank Ltd.- A/C: 0003-0210009816 (STL)	-	13,676,219
Trust Bank Ltd.- A/C: 5025000082(MSML)	172,928	53,150,261
Trust Bank Ltd - A/C: 5025000028(STL)	31,423,120	50,671,035
Trust Bank Ltd.- A/C: 003-0320001302(STL)	11,454,693	45,853,858
Trust Bank Ltd.-A/C: 003-5101000526(STL)	20,924	67,561
Trust Bank Ltd. A/C: 003-0210011330 (NSL)	529,448	530,638
Eastern Bank Ltd. A/C:6405(JMFL)	184,574	240,452
Eastern Bank Ltd. A/C:33013 (JMFL)	64	50
HSBC Ltd. A/C:64055 (JMFL)	78,610	100,000
Prime Bank Ltd.- CD A/C (JMFL)	36,876	11,776,846
Prime Bank Ltd.- FC A/C (JMFL)	59,193,722	65,444,486
Prime Bank Ltd.- ERQ A/C (JMFL)	42,724,862	6,344,670
UCBL- A/C:2881 (JMFL)	217,809,608	272,369,262
UCBL- A/C: 3770 (JMFL)	18,580,790	3,244,602
UCBL- A/C:0028 (JMFL)	1,912,411	30,155,574
Cash at Bank Total:	**679,043,582**	**938,692,608**
Total:	**682,309,689**	**939,878,150**

Cash balance was physically counted at the year ended and Bank balances were reconciled and found in order.

	JUNE'23	JUNE'22
12. CONSOLIDATED SHARE CAPITAL:	**1,936,000,000**	**1,936,000,000**
It represents 19,36,00,000 ordinary shares of Tk.10 each.		
13. CONSOLIDATED SHARE PREMIUM:	**1,500,000,000**	**1,500,000,000**
It represents premium of 100,000,000 ordinary shares of Tk.15 each.		
14. CONSOLIDATED TAX HOLIDAY RESERVE:		
Opening Balance	210,883,871	210,883,871
Less: Transferred to Retained Earnings	210,883,871	-
Closing Balance	**-**	**210,883,871**
15. CONSOLIDATED RE-VALUATION SURPLUS:		
Opening Balance	3,421,680,601	3,467,782,367
Less: Transfer to Retained Earnings of excess depreciation	42,611,274	46,101,766
Net Written Down Value:	**3,379,069,326**	**3,421,680,601**

Detail of Re-valuation Surplus of Fixed Assets is given in the annexed **Annexure-1**

Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:

Depreciation of revalued asset	100%	50,066,970
Deferred tax adjustment	12% & 15%	7,455,696
Deferred tax adjusted balance of excess depreciation:	**85.11%**	**42,611,274**

Company Tax Rate for Textile sector 15% and RMG sector 12%.

	JUNE'23	JUNE'22
16. CONSOLIDATED RETAINED EARNINGS:		
Opening Balance	2,400,387,901	1,842,353,215
Add: Net Profit/(Loss) during the year	(219,985,619)	720,716,346
	2,180,402,282	**2,563,069,561**
Add: Transfer of excess depreciation of revaluated assets	42,611,274	46,101,766
Add: Tax Holiday Reserve	210,883,871	-
Less: Declared Cash Dividend	193,600,000	193,600,000
Less: Prior year tax adjustment	-	15,183,426
Total:	**2,240,297,428**	**2,400,387,901**

CHARTERED ACCOUNTANTS

		Amount in Taka	
		JUNE'23	JUNE'22
17. NON CONTROLLING INTEREST:			
Non Controlling Interest details as follows:			
Paid-up Capital-			
(i) Salek Textile Ltd.	2.0745%	10,011,700	10,011,700
(ii) Newasia Synthetics Ltd.	0.7070%	4,666,200	4,666,200
(iii) J.M Fabrics Ltd.	0.0025%	10,000	10,000
Total:	-	**14,687,900**	**14,687,900**
Retained Earnings-			
(i) Salek Textile Ltd.	2.0745%	16,576,442	19,749,730
(ii) Newasia Synthetics Ltd.	0.7070%	(202,704)	(176,828)
(iii) J.M Fabrics Ltd.	0.0025%	47,640	31,229
Total:		**16,421,378**	**19,604,131**
Tax Holiday reserve-			
(i) Salek Textile Ltd.	2.0745%	-	4,470,368
Total:		**-**	**4,470,368**
Revaluation Surplus-			
(i) Salek Textile Ltd.	2.0745%	7,122,966	7,351,240
(ii) Newasia Synthetics Ltd.	0.7070%	9,485,468	9,485,468
(iii) J.M Fabrics Ltd.	0.0025%	3,404	3,444
Total:		**16,611,838**	**16,840,151**
Total Non Controlling Interest:		**47,721,116**	**55,602,550**

This represents non controlling interest of Salek Textile Limited, Newasia Synthetics Limited, J.M. Fabrics Limited

18. CONSOLIDATED LONG TERM LOAN:

	JUNE'23	JUNE'22
Eastern Bank Limited	7,660,764	-
Dhaka Bank Limited	405,078,640	43,513,269
Trust Bank Limited	1,646,633,122	1,391,677,070
Meghna Bank Ltd.	374,987,994	220,829,205
HSBC Limited	158,112,592	244,874,697
Brac Bank Limited	29,869,195	14,540,000
One Bank Limited	201,686,914	224,041,457
The City Bank Ltd.	493,750,396	269,136,048
IDLC Finance Ltd.	442,137,995	80,399,785
Prime Bank Ltd.	352,884,003	488,389,106
United Commercial Bank Ltd.	331,071,011	420,789,908
	4,443,872,625	**3,398,190,545**
Less: Current Portion of Long Term Loan Note: 21	946,801,603	822,031,729
Total Long Term Loan:	**3,497,071,022**	**2,576,158,816**

19. DEFERRED TAX LIABILITIES:

	JUNE'23	JUNE'22
Opening Balance	503,070,063	479,117,771
Add: Provision for the year	28,080,860	23,952,292
Total:	**531,150,923**	**503,070,063**

Deferred Tax Calculation:

Particulars	Accounts Base (WDV)	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	6,914,050,780	5,403,093,268	1,510,957,512	1,189,874,138
WDV of Revaluation Surplus of Fixed Assets	3,554,874,490	1,341,650,365	2,213,224,125	2,270,905,737
Total	**10,468,925,269**	**6,744,743,633**	**3,724,181,636**	**3,460,779,875**
Deferred tax rate			12% - 15%	12% - 15%
Closing Deferred Tax Liability			**531,150,923**	**503,070,063**

20. CONSOLIDATED SHORT TERM LOAN:

	JUNE'23	JUNE'22
Import Loan & Working Capital:		
Dhaka Bank Ltd.	439,731,946	200,000,000
Dutch-Bangla Bank Ltd.	-	202,550,000
HSBC Ltd.	219,500,000	219,500,000
Meghna Bank Ltd.	-	221,574,944
Trust Bank Ltd.	-	45,130,184
Prime Bank Ltd.	294,330,421	226,265,004
The City Bank Ltd.	471,219,261	474,921,221
United Commercial Bank Ltd.	701,408,705	1,426,394,456
Sub-total:	**2,126,190,333**	**3,016,335,809**

CHARTERED ACCOUNTANTS

	Amount in Taka	
	JUNE'23	JUNE'22
Bank Overdraft:		
Eastern Bank Ltd A/C: 01012050000180, 011, 4789 (MSML)	54,798,165	81,382,872
Eastern Bank Ltd A/C: 01012040000780 (STL)	19,893,410	27,007,015
Dhaka Bank Ltd A/C: 207.175.23 (MSML)	16,731,673	1,432,270
Brac Bank Ltd. A/C: 1501201762043002 (MSML)	38,724,704	1,045,757
Prime Bank Ltd. (JM)	3,707,213	-
Pubali Bank Ltd.(STL)	277,787	-
Trust Bank Ltd. A/C: 0210009816 (STL)	19,192,324	-
Trust Bank Ltd. A/C: 0136000171 (STL)	40,909,504	15,733,863
Meghna Bank Ltd.(STL)	51,324,782	51,084,070
One Bank Ltd A/C: 16426 008 (MSML)	20,458,232	-
TBL A/C:003- 0136000153 (MSML)	30,682,780	28,297,463
HSBC A/C : 001-007475-011(MSML)	16,715,328	10,396,877
HSBC A/C: 001-241389-011 (STL)	31,878,792	33,765,900
Sub-total:	**345,294,694**	**250,146,087**
Liability for Bill discount:		
Dhaka Bank Ltd.	27,417,096	148,356,238
Eastern Bank Ltd	546,673,303	413,549,121
HSBC Ltd.	76,124,263	-
Brac Bank Ltd.	162,270,005	-
Trust Bank Ltd.	76,895,840	171,317,684
Sub-total:	**889,380,506**	**733,223,043**
Total:	**3,360,865,534**	**3,999,704,938**

The above Import Loan and Overdraft loans are secured against hypothecation of Stocks and Book Debts.

Particulars	EBL	DBL	HSBC	OBL
Saction facility (Overdraft)	65,000,000	30,000,000	50,000,000	20,000,000
Interest paid this year (OD)	4,648,130	2,072,085	2,424,380	1,020,720
Repayment Terms	N/A	N/A	N/A	N/A
Installment Size	N/A	N/A	N/A	N/A
Tenor	1 year renewable	1 year renewable	1 year renewable	1 year renewable
Interest Rate	9.5% - 10%	9.5% - 10%	9.5% - 10%	9.5% - 10%
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

Particulars	TBL	BRAC	MBL
Saction facility (Overdraft)	70,000,000	50,000,000	50,000,000
Interest paid this year (OD)	5,856,407	1,176,818	5,065,782
Repayment Terms	N/A	N/A	N/A
Installment Size	N/A	N/A	N/A
Tenor	1 year renewable	1 year renewable	1 year renewable
Interest Rate	9.5% - 10%	9.5% - 10%	9.5% - 10%
Security	Pari-passue security of Stock & Book Debts sharing agreement.		

21. CONSOLIDATED CURRENT PORTION OF LONG TERM LOAN :

	JUNE'23	JUNE'22
Dhaka Bank Ltd.	39,121,379	2,333,333
Brac Bank Ltd.	1,454,500	-
HSBC Ltd.	75,466,003	86,762,102
Meghna Bank Ltd.	95,513,509	94,177,868
One Bank Ltd.	95,058,172	81,202,847
Trust Bank Ltd.	300,810,696	218,338,585
The City Bank Ltd.	67,637,603	28,881,535
IDLC Finance Ltd.	48,907,822	37,818,070
Prime Bank Ltd.	92,001,477	144,194,597
United Commercial Bank Ltd.	130,830,442	128,322,792
Total:	**946,801,603**	**822,031,729**

According to International Accounting Standard (IAS) 1 "Preparation of Financial Statements", Current portion of Long Term Loan that are due for settlement within twelve month after the balance sheet date are current liabilities, therefore, the above amount has been shown in current liabilities.

	JUNE'23	JUNE'22
22. CONSOLIDATED LOAN FROM DIRECTOR:	-	**25,500,000**

23. CONSOLIDATED ACCEPTANCE LIABILITIES:

	JUNE'23	JUNE'22
Raw Materials:		
Eastern Bank Limited	851,316,282	403,326,386
HSBC Ltd.	81,969,241	69,584,999
The City Bank Ltd.	351,589,394	449,493,068
One Bank Ltd.	350,390,547	487,904,673

	Amount in Taka	
	JUNE'23	JUNE'22
Brac Bank Ltd.	113,624,627	418,166,353
Meghna Bank Ltd.	51,485,878	25,900,350
Trust Bank Ltd	375,057,859	541,636,796
Prime Bank Ltd.	256,393,857	377,147,288
United Commercial Bank Ltd.	1,063,301,016	572,517,811
Dhaka Bank Limited	379,106,248	476,618,024
Sub-total:	**3,874,234,949**	**3,822,295,748**
Machinery:		
The City Bank Ltd.	110,248,122	156,898,993
Trust Bank Ltd	-	236,893,355
Sub-total:	**110,248,122**	**393,792,348**
Capital Work-in-progress	**82,800,000**	**-**
Total:	**4,067,283,070**	**4,216,088,096**

24. UNCLAIMED DIVIDEND WITH INTEREST:

	JUNE'23	JUNE'22
24. UNCLAIMED DIVIDEND WITH INTEREST:	**4,016,172**	**4,360,858**
Bankwise Details as follows:		
Brac Bank (Principal):	3,125,719	1,706,865
Brac Bank (Interest):	303,675	316,220
Dhaka Bank (Principal):	-	1,770,146
Dhaka Bank (Interest):	586,777	567,627
Total-	**4,016,172**	**4,360,858**

25. CONSOLIDATED CREDITORS, ACCRUALS & PROVISIONS:

	JUNE'23	JUNE'22
Gas Bill Payable	85,331,492	48,053,784
Electricity Bill Payable	2,075,825	1,511,623
Audit Fee Payable	520,950	451,950
Tax Deduction at Source	9,554,059	8,727,635
Vat Deduction at Source	3,811,061	1,801,758
Income Tax Payable (Note: 25-A)	286,162,583	295,145,981
Salary, Wages & Other Allowance Payable	216,850,580	184,281,960
Salary & Allowance Payable	9,209,353	5,845,372
P.F Contribution Payable- Fact.	2,254,834	-
P.F Contribution Payable- HO	253,694	-
Contribution to WPPF Payable	48,044,333	44,837,577
Director's Remuneration Payable	-	979,792
Payable for Goods Suppliers & Others	271,769,042	263,281,865
Payable for Waste Cotton Purchase	468,415,356	378,970,289
Interest accrued (Note: 25-B)	18,815,292	52,890,058
Refundable IPO Share money (NRB Accounts)	1,218,777	1,218,777
	1,424,287,231	**1,287,998,421**
Less: Inter Company Payable	175,841,294	223,853,453
Total:	**1,248,445,934**	**1,064,144,968**

a) Payable for Goods Supplies and others represents regular suppliers of packing materials, Bearing, belts, fuel & lubricants, stationery items and others.

b) Factory Salary and Wages payable for the month of 30th June 2023.

25-A. CONSOLIDATED TAX PAYABLE:

	JUNE'23	JUNE'22
Opening Balance	295,145,981	314,830,022
Provision for the year (Current Tax): (Note: 33)	207,534,657	126,405,135
Prior year tax adjustment: (Note: 33)	18,666,507	-
	521,347,145	**441,235,157**
Payment/Adjustment for prior year balance:	235,184,562	146,089,176
Total Payment/Adjustment for last year Income:	**235,184,562**	**146,089,176**
Total Payable-	**286,162,583**	**295,145,981**

25-B. INTEREST ACCRUED:

	JUNE'23	JUNE'22
Dhaka Bank Limited	660,009	3,802,504
Eastern Bank Limited	1,915	-
United Commercial Bank Ltd.	3,294,532	2,895,119
One Bank Limited	14,858,836	46,192,435
Total:	**18,815,292**	**52,890,058**

26. CONSOLIDATED SALES:

	JUNE'23	JUNE'22
Export Sales	18,118,135,372	18,764,662,331
Less: Inter Co. Sales	696,306,425	853,972,025
Total:	**17,421,828,947**	**17,910,690,306**
Less: Revenue from discontinued operation	-	1,154,506,079
Sales from continuing operation:	**17,421,828,947**	**16,756,184,227**

	Amount in Taka	
	JUNE'23	JUNE'22
27. CONSOLIDATED COST OF GOODS SOLD:		
Raw Material Consumed (Note: 27-A)	12,626,192,452	12,955,568,106
Direct Expenses (Note: 27-B)	2,575,692,889	2,367,345,640
Factory Overhead (Note: 27-C)	2,094,062,493	1,784,298,082
Total Manufacturing Cost	**17,295,947,834**	**17,107,211,828**
Add: Work-in-Process- Opening	956,024,040	1,353,604,778
Cost of Goods available for use	**18,251,971,874**	**18,460,816,607**
Less: Work-in-Process- Closing	879,995,439	956,024,040
Cost of Production	**17,371,976,435**	**17,504,792,566**
Add: Finished Goods- Opening	1,543,041,613	1,491,398,445
Cost of Goods Available for Sales	**18,915,018,048**	**18,996,191,012**
Less: Finished Goods- Closing	1,377,426,630	1,543,041,613
Less: Finished Goods Closing- Inter Company	696,306,425	853,972,025
Less: Goods destroyed by fire	-	277,346,120
Cost of Goods Sold:	**16,841,284,992**	**16,321,831,253**
Less: Cost of Goods Sold from discontinued operations	-	1,213,269,869
Cost of Goods Sold from continuing operation:	**16,841,284,992**	**15,108,561,384**
27-A. CONSOLIDATED RAW MATERIALS CONSUMED:		
Opening Inventory of Raw Materials	2,221,736,637	1,622,063,187
Add: Purchase of Raw Materials	12,782,554,194	13,555,241,556
Less: Closing Stock of Raw Materials	2,378,098,379	2,221,736,637
Total Raw Materials Consumption:	**12,626,192,452**	**12,955,568,106**
27-B. CONSOLIDATED DIRECT LABOUR:	**2,575,692,889**	**2,367,345,640**
27-C. CONSOLIDATED FACTORY OVERHEAD:		
Factory Salary and Allowances	272,820,313	293,169,163
Overtime Wages for Worker	14,216,366	21,166,374
Festival Bonus	33,944,288	46,987,217
Electricity Charges	31,221,383	10,472,319
Gas Charges	637,747,457	410,450,660
Gardening Expenses	35,115	22,031
Repairs & Maintenance	135,538,355	79,782,372
Repairs & Maintenance (Fire Loss Recovery)	-	11,788,275
Complience Expenses	4,333,887	-
Air Freight, Courier charges	51,265	63,530
Packing Materials	62,923,416	59,626,588
Fuel, Oil & Lubricant	110,851,871	35,848,550
Fire Insurance Premium	17,979,128	19,625,144
Group Insurance Premium	220,850	302,570
Stores & Accessories consumption	194,080,660	147,107,563
Entertainment	21,195,135	20,930,154
Telephone, Mobile & Fax	3,611,081	3,487,240
Stationery expenses	7,252,930	7,444,116
Other Carrying Charges	1,182,910	6,444,308
Factory Office Expenses others	2,424,821	2,202,347
C&F and others expenses	-	1,447,605
Lab test & Inspection charges	17,475,147	19,128,595
Security Service charges	801,104	872,222
Loss on Discontinuation of Lease Asset {Note: 27.C(i)}	-	28,992,187
Vehicles Maintenance	11,262,054	13,636,979
Medical Expenses	3,121,302	1,503,063
Uniform & Leverage	249,339	104,594
Central Fund expenses for RMG sector	3,047,036	2,842,900
Miscellaneous	2,075,209	3,444,855
Conveyances	4,329,635	4,367,783
Accommodation Facility for worker	1,748,638	1,865,192
Depreciation	498,321,798	529,171,587
Total:	**2,094,062,493**	**1,784,298,082**
27.C(i) LOSS ON DISCONTINUATION OF LEASE ASSETS:		
Lease Liability	-	99,797,834
Less: Written down value RUA	-	95,866,287
Less: Deferred Tax Asset	-	1,947,786
Less: Advance against Factory Rent	-	30,975,948
Loss on Lease Assets:	**-**	**(28,992,187)**

CHARTERED ACCOUNTANTS

Amount in Taka

28. CONSOLIDATED OPERATING EXPENSES:

	JUNE'23	JUNE'22
Salaries & Allowances	102,772,781	120,793,660
Festival Bonus	6,747,507	10,692,384
Director's Remuneration	8,750,000	15,000,000
Fees, Forms & Others	12,063,769	12,673,355
Audit Fees	520,950	757,275
Printing & Stationery	2,298,705	1,718,123
Telephone, Mobile & Internet Expenses	2,436,505	2,601,043
Postage, Stamp & Curier expenses	311,439	649,321
Vehicle Maintenance	14,987,930	12,615,227
Miscellaneous Expenses	29,326,435	29,470,514
Office Rent	34,838,069	35,096,580
Rates & Taxes	-	355,776
Carriage Outward, Selling & Distribution, C&F, Sample expense	14,991,097	18,189,521
Employee Car allowance	-	435,000
Travelling & Conveyance	3,056,244	2,967,794
Entertainments	2,808,836	2,265,864
Office Expenses	513,408	-
Advertisement/ Publicity Expenses	520,365	493,771
AGM Expenses	617,526	881,086
Marketing Expenses	10,436,079	10,098,453
Security Service Charges	12,400	106,880
Uniform & Leverage Security	33,893	17,706
VAT Expenses	1,909,000	840,650
Repairs & Maintenance	10,686,959	9,584,705
Medical Expenses	23,551	6,500
Subscription Expenses	1,277,596	437,596
Software Maintenance Expenditure	431,145	517,241
Credit Rating Charges	147,500	161,250
Depreciation	11,254,948	11,573,055
Total:	**273,774,637**	**301,000,330**
Less: Expenses related with discontinued operation	-	12,738,446
Operating expenses from continuing operation:	**273,774,637**	**288,261,884**

29. CONSOLIDATED FINANCIAL EXPENSES :

	JUNE'23	JUNE'22
EASTERN BANK LTD.:		
Interest on Short Term Loan	231,156	1,195,032
Interest on Overdraft	4,648,130	1,274,364
Bank Charges & Commission	2,776,868	1,228,717
Export L/C Negotiation Commission	4,093,038	4,290,705
Interest on Bill Discount	32,157,589	5,327,977
Total: -	**43,906,780**	**13,316,796**
HSBC LTD.:		
Interest on Long Term Loan	11,061,104	19,980,150
Interest on Short Term Loan	20,020,906	8,878,323
Interest on Overdraft	2,424,380	2,583,800
Bank Charges & Commission	1,607,771	1,284,269
Export L/C Negotiation Commission	936,930	36,587
Interest on Bill Discount	1,218,614	-
Total:	**37,269,705**	**32,763,130**
DHAKA BANK LTD. :		
Interest on Long Term Loan	8,454,307	1,523,845
Interest on Short Term Loan	19,461,149	9,266,473
Interest on Overdraft	2,072,085	1,372,518
Bank Charges & Commission	902,357	1,998,219
Export L/C Negotiation Commission	1,785,360	3,499,811
Interest on Bill Discount	10,833,358	5,829,538
Total:	**43,508,616**	**23,490,405**
MEGHNA BANK LTD.:		
Interest on Short Term Loan	1,557,179	20,949,723
Interest on Long Term Loan	31,607,554	16,864,242
Bank Charges and Commission	650,585	1,728,504
Export L/C Negotiation Commission	797,980	727,742
Interest on Overdraft	5,065,782	4,131,173
Interest on Bill Discount	798,003	323,965
Total-	**40,477,082**	**44,725,349**

	Amount in Taka	
	JUNE'23	JUNE'22
ONE BANK LTD. :		
Interest on Long Term Loan	6,887,462	19,165,770
Interest on Short Term Loan	270,974	651,049
Interest on Overdraft	1,020,720	3,085,390
Bank Charges & Commission	2,212,505	938,312
Export L/C Negotiation Commission	203,145	46,531
Total:	**10,594,806**	**23,887,052**
TRUST BANK LTD. :		
Interest on Long Term Loan	140,976,181	135,170,967
Interest on Short Term Loan	81,137	734,138
Bank Charges & Commission	1,787,147	1,933,624
Export L/C Negotiation Commission	4,612,555	4,393,650
Interest on Overdraft	5,856,407	3,178,920
Interest on Bill Discount	9,464,592	3,284,263
Total:	**162,778,019**	**148,695,562**
ISLAMI BANK BANGLADESH LTD.:		
Bank Charges & Commission	7,265	4,995
Total:	**7,265**	**4,995**
DUTCH BANGLA BANK LTD. :		
Interest on Short Term Loan	5,316,771	13,628,790
Bank Charges & Commission	121,792	139,850
Total:	**5,438,563**	**13,768,640**
AB BANK LTD :		
Bank Charges & Commission	690	-
Total:	**690**	**-**
BRAC BANK LTD. :		
Interest on Long Term Loan	21,716	-
Interest on Overdraft	1,176,818	16,851
Interest on Bill Discount	862,494	-
Export Bill Negotiation Commission	289,917	-
Bank Charges and Commission	205,574	39,089
Total:	**2,556,518**	**55,940**
THE CITY BANK LTD. :		
Bank Charges and Commission	8,745,064	4,318,875
Interest on Long Term Loan	26,580,312	5,247,973
Interest on Short Term Loan	11,445,189	16,180,095
Total:	**46,770,565**	**25,746,943**
PUBALI BANK LTD. :		
Bank Charges & Commission	18,750	18,381
Total:	**18,750**	**18,381**
IDLC FINANCE LTD. :		
Bank Charges and Commission	212,000	40,000
Interest on Long Term Loan	5,081,310	7,849,684
Total:	**5,293,310**	**7,889,684**
PRIME BANK LTD.		
Interest on Long Term Loan	21,884,609	35,355,605
Interest on Short Term Loan	10,184,894	9,567,241
Bank Charges and Commission	1,498,104	1,045,307
Total:	**33,567,607**	**45,968,153**
UCBL. :		
Interest on Short Term Loan	21,193,212	22,871,915
Interest on Term Loan	27,788,249	39,670,854
Bank Charges & Commission	1,565,014	809,110
Total:	**50,546,475**	**63,351,879**
TOTAL FINANCIAL EXPENSES:	**482,734,751**	**443,682,909**
Less: Financial expenses related with discontinued operations	-	97,658,048
Financial expenses from continuing operation:	**482,734,751**	**346,024,861**

30. LOSS ON FIRE:

Loss on Fire of Fixed Assets (Note-30.A)	-	(44,519,123)
Loss on Fire of Goods (Note-30.B)	-	(48,983,960)
	-	**(93,503,083)**

30(A). LOSS ON FIRE OF FIXED ASSETS:

Fire Insurance claimed ensured by Insurance Co.	-	207,037,650
Written down value	-	251,556,773
Loss on fire of Fixed Assets	**-**	**(44,519,123)**

	Amount in Taka JUNE'23	JUNE'22
30(B). LOSS ON FIRE OF GOODS:		
Fire Insurance claimed ensured by Insurance Co.	-	286,708,968
Goods destroyed by fire	-	335,692,928
Loss on fire of Goods	**-**	**(48,983,960)**
31. OTHER INCOME/(LOSS) AND UN-REALISED GAIN/(LOSS):		
CASH INCENTIVE:	**214,402,452**	**119,413,981**
OTHER INCOME/(LOSS) AND UN-REALISED GAIN/(LOSS):		
Interest Income from STD A/C with AB Bank Ltd.	1,172	-
Interest Income from STD A/C with BRAC Bank Ltd.	105	108
Interest Income from STD A/C with Eastern Bank Ltd.	4	9,656
Interest Received from FDR A/C-Islami Bank	19,746	82,698
Interest Received from CD A/C-Meghna Bank	1,704	2,208,741
Interest Received from FDR A/C-Meghna Bank	937,339	880,542
Interest Received from SND A/C, Trust Bank Ltd.	436,297	259,592
Interest Received from SND A/C, UCBL	646,388	84,495
	2,042,754	**3,525,832**
Foreign currency exchange Gain/(Loss) against Import LC payment	-	(732,644)
Foreign currency exchange Gain/(Loss) against export realization	307,478	2,018,441
Foreign Currency Bank deposit translation Gain/(Loss)	(11,116,730)	20,337,980
Gain/(Loss) on Sale or Discontinuation of Assets	(48,794)	(306,975)
	(10,858,046)	**21,316,802**
Other Income/(Loss):	**(8,815,291)**	**24,842,634**
Total Non-operating Income/(Loss):	**205,587,161**	**144,256,615**
Less: Other Income/(Loss) from discontinued operation	-	20,209,918
Other Income/(Loss) from continuing operation:	**205,587,161**	**124,046,697**
32. CONSOLIDATED WORKER'S PROFIT PARTICIPATION FUND:		
Provision for Contribution to WPPF(MSML)	-	14,038,864
Provision for Contribution to WPPF(STL)	3,206,756	9,748,128
Total:	**3,206,756**	**23,786,992**
33. CONSOLIDATED CURRENT TAX EXPENSES:		
On Operating Income:		
Malek Spinning Mills Ltd.	41,346,049	44,342,271
Salek Textile Ltd.	40,149,778	22,400,288
J.M Fabrics Ltd.	103,232,760	46,149,290
Sub-total:	**184,728,587**	**112,891,849**
On Cash Incentive:		
Salek Textile Ltd.	7,773,195	3,910,098
J.M Fabrics Ltd.	13,786,260	8,031,300
Sub-total:	**21,559,455**	**11,941,398**
On Other Income:		
Malek Spinning Mills Ltd.	177,965	228,812
Salek Textile Ltd.	125,880	733,215
J.M Fabrics Ltd.	942,769	609,860
Sub-total:	**1,246,615**	**1,571,888**
Total:	**207,534,657**	**126,405,135**
Less: Current Tax from discontinued operation	-	2,366,624
Current Tax from Continuing Operation:	**207,534,657**	**124,038,511**
Prior year tax adjustment	18,666,507	-
Grand Total:	**226,201,164**	**124,038,511**
34. CONSOLIDATED DEFERRED TAX:		
Malek Spinning Mills Limited	(6,240,555)	(5,812,783)
Salek Textile Limited	15,362,258	21,809,596
J.M Fabrics Limited	18,959,157	7,955,479
Total:	**28,080,860**	**23,952,292**
Less: Deferred Tax adjustment from discontinued operation	-	(9,397,304)
Deferred Tax from Continuing Operation:	**28,080,860**	**33,349,596**
35. NON CONTROLLING INTEREST:		
On Net Profit/(Loss) after tax:		
Salek Textile Limited 2.0745%	(7,871,929)	74,129
Newasia Synthetics Limited 0.7070%	(25,876)	(17,489)
J.M. Fabrics Limited 0.0025%	16,371	11,942
	(7,881,434)	**68,581**

CHARTERED ACCOUNTANTS

Amount in Taka

		JUNE'23	JUNE'22
On Revaluation Reserve:			
Salek Textile Limited	2.0745%	-	-
Newasia Synthetics Limited	0.7070%	-	-
J.M. Fabrics Limited	0.0025%	-	-
		-	-
On Paid-up Capital:			
Salek Textile Limited	2.0745%	-	-
Newasia Synthetics Limited	0.7070%	-	-
J.M. Fabrics Limited	0.0025%	-	-
		-	-
Total:		**(7,881,434)**	**68,581**

36. CONSOLIDATED BASIC EARNINGS PER SHARE (EPS):

(a) Consolidated Net Profit/(Loss) after tax	(227,867,053)	720,784,927
(b) Less: Non Controlling Interest	(7,881,434)	68,581
Consolidated Net Profit/(Loss): (a-b)	**(219,985,619)**	**720,716,346**
(c) Number of total share	193,600,000	193,600,000
Basic Earnings per Share (EPS): [(a-b)/c]	**(1.14)**	**3.72**

37. CASH FLOW FROM OPERATING ACTIVITIES ON INDIRECT METHOD:

PARTICULARS	JUN'23	JUN'22
Operating Profit/(Loss)	(175,965,434)	844,175,814
Depreciation	509,576,747	540,744,642
Other Income/(Loss)	216,445,206	122,939,813
Foreign currency exchange Gain/(Loss)	307,478	1,285,797
Accounts Receivable (Increase)/Decrease	167,602,585	(540,762,771)
Inventories (Increase)/Decrease	(355,460,460)	290,097,309
Advance, Deposit & Prepaid expenses (Increase)/Decrease	3,186,264	70,156,200
Accounts Payable Increase/(Decrease)	242,016,809	(1,086,109,773)
Payment to Employee against contribution to WPPF	-	(82,446,548)
Fire Insurance Claimed received on Raw Material & Finish Goods	4,681,424	4,681,424
Payment for Income Tax	(231,996,776)	(145,960,053)
Net Cash provided/(used) by Operating Activities	**380,393,842**	**18,801,854**

38. NET OPERATING CASH FLOW PER SHARE (NOCFPS):

Calculation of Net Operating Cash Flow per Share (NOCFPS):		JUN'23	JUN'22
NOCFPS	a) Net Cash provided/(used) by Operating Activities	380,393,842	18,801,854
	b) Number of total Shares	193,600,000	193,600,000
Net Operating Cash Flow Per Share (NOCFPS) { a/b }		**1.96**	**0.10**

Net Operating Cash Flow per Share significantly Increased due to as follows:

a) Collection against turnover are increased Tk. 219.50 million for the financial year 2022-2023 compared to the last financial year 2021-2022 and other income increased Tk. 93.50 million for the financial year 2022-2023 compared to the last financial year 2021-2022.

b) Payment to Material suppliers and other supplier is decreased Tk. 68.95 million, payment for operating expenses decreased Tk. 36.74 million, payment for financial expenses increased Tk. 52.54 million, payment for income tax increased Tk. 86.04 million for the financial year 2022-2023 compared to the last financial year 2021-2022.

CASH FLOW FROM OPERATING ACTIVITIES :	JUN'23	JUN'22	DEFERENCE
Collection from Turnover & Bills Receivable	17,589,431,532	17,369,927,534	219,503,998
Other Income	216,445,206	122,939,813	93,505,393
Payment for Raw Materials, Indirect Materials and other expenses	(16,458,998,345)	(16,527,948,044)	68,949,699
Foreign currency exchange Gain/(Loss) realized	307,478	1,285,797	(978,319)
Payment to Employee against contribution to WPPF	-	(82,446,548)	82,446,548
Fire Insurance Claimed received on Raw Material & Finish Goods	4,681,424	4,681,424	-
Payment for Operating Expenses	(259,812,806)	(296,553,541)	36,740,735
Payment for Financial Expenses	(479,663,870)	(427,124,528)	(52,539,342)
Payment for Income Tax	(231,996,776)	(145,960,053)	(86,036,724)
Net Cash provided by Operating Activities	**380,393,842**	**18,801,854**	**361,591,988**

39. NET ASSET VALUE (NAV) PER SHARE:

		JUN'23	JUN'22
NAV	a) Equity attributable to owners of the company	9,055,366,754	9,468,952,373
calculation	b) Number of total Shares	193,600,000	193,600,000
Net Assets Value Per Share (NAV) { a/b }		**46.77**	**48.91**

Amount in Taka

JUNE'23 JUNE'22

40. RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2023 were as follows:

Related Party	Nature of Relationship	Nature of Transaction	Transaction during this period		Balance as at 30.06.2023	Balance as at 30.06.2022
			Dr. (Sales or Advance)	Cr. (Realised)		
Knit Asia Limited	Common Director	Sales	875,979,105	956,185,906	5,289,872	85,496,673
Salek Textile Limited	Subsidiary	Sales	19,415,387	18,461,587	50,487,958	49,534,158
J.M. Fabrics Limited	Subsidiary	Sales	676,891,038	725,856,997	125,353,336	174,319,295
New Asia Limited	Common Director	Service charge	4,049,411	4,723,395	(496,541)	177,443
Hejaz Publication Ltd.	Common Director	Office Rent	10,644,689	10,644,689	-	-

41. KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2022-2023		2021-2022	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	1,400,000	12,644,061	2,700,000	12,644,061
i) Basic	840,000	6,629,788	1,440,000	6,629,788
ii) House Rent	420,000	1,988,936	400,000	1,988,936
iii) Conveyance	64,000	120,000	96,000	120,000
iv) Medical Allowance	76,000	662,979	144,000	662,979
v) Incentive Bonus	-	1,647,944	320,000	1,647,944
vi) Festival Bonus	-	1,594,414	300,000	1,594,414
Number of Person:	1	4	1	4

b) Post-employment benefits: Company provide contributory Provident fund and Worker's Profit Participation Fund to the employee.

c) Other long-term benefits: Company provide Gratuity Benefit to the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

42. DISCUSSION ON SIGNIFICANT DEVIATION OF COST OF GOODS SOLD, EXPORT, GROSS PROFIT MARGIN, NET PROFIT MARGIN AND EARNINGS PER SHARE (EPS):

(a) Cost of Goods Sold: The cost of goods sold was 96.67% on sales during the financial year 2022-2023 compared to 90.17% for the financial year 2021-2022 on sales, a significant increased of COGS 6.50% this financial year was due to increase of Raw Materials price and decrease of Sales price for this financial year compared to the financial year 2021-2022.

(b) Export or Turnover: The company had achieved an export turnover of Tk.17,421.83 million during the financial year 2022-2023. Last financial year 2021-2022 turnover was Tk.16,756.18 million. The turnover had increased by 3.97% this financial year compared to last financial year 2021-2022 due to increase of Sales quantity and Sales price in this financial year 2022-2023.

(c) Gross Profit: Gross Profit earned during the financial year 2022-2023 by 3.33% on sales as compared to 9.83% during the financial year 2021-2022. It was decreased by 6.50% on sales due to cost of goods sold percentage on sales was increased this financial year 2022-2023 compared to the last year financial year 2021-2022.

(d) Net Profit/(Loss): The company had incurred a Net Loss of Tk.227.87 million during the financial year 2022-2023 compared to the last financial year 2021-2022 was Net Profit Tk.720.78 million. Net Loss incurred this financial year 2022-23 due to decrease significant amount of Gross Profit on Sales.

(e) Earnings Per Share (EPS): EPS is decreased from Tk. 3.72 to Tk. (1.14) during the financial year compared to the financial year 2021-2022 due to incurred net loss this financial year Tk.227.87 million compared to the financial year 2021-2022 net profit Tk. 720.78 million.

43. INVESTMENT IN SUBSIDIARY COMPANY:

	JUNE'23	JUNE'22
Salek Textile Limited (3,900,100 Shares @Tk,100 and 825,870 Share of Tk.460 each including Premium Tk.360)	769,910,000	769,910,000
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)	655,333,800	655,333,800
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)	399,990,000	399,990,000
Total:	**1,825,233,800**	**1,825,233,800**

Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.

44. CONTINGENT ASSET DISCLOSURE:

(i) During the financial year 2021-2022, a fire incident has been happened in the factory premises of Malek Spinning Mills Limited. As a result, some of goods (inventory) of TK 277,346,120 and some Property, Factory Building of TK 5,112,394 (WDV) has been destroyed by fire. Whole of these assets (Inventory and Property, Factory Building) are under comprehensive insurance coverage with Pioneer Insurance Company Limited. Till date of reporting, we did not yet to receive final surveyor report from the authority.

MALEK SPINNING MILLS LIMITED

CONSOLIDATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2023

ANNEXURE : 1

SL	PARTICULARS	COST				RATE	DEPRECIATION				WRITTEN DOWN VALUE AS AT 30.06.2023
		As at 01.07.2022	Addition	Adjustment	As at 30.06.2023		As at 01.07.2022	This year	Adjustment	As at 30.06.2023	
A.	**Malek Spinning Mills Ltd., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.**										
1	Land and Land Development	1,781,041,533	110,116,692	-	1,891,158,225	0%	-	-	-	-	1,891,158,225
2	Factory Building	1,785,704,738	18,445,768	-	1,804,150,506	3.37%-5%	612,941,463	49,817,091	-	662,758,554	1,141,391,952
3	Plant and Machinery	6,716,201,745	373,988,516	-	7,090,190,261	5%-10.85%	3,184,379,827	342,487,000	-	3,526,866,827	3,563,323,434
4	Equipment/Electrical Installation	390,976,303	20,780,242	-	411,756,545	10%-19.75%	259,879,965	30,922,650	-	290,802,615	120,953,930
5	Tubewell and Water Pump	10,525,308	1,418,000	-	11,943,308	15%	9,259,999	245,521	-	9,505,520	2,437,788
6	Furniture and Fixtures	84,171,441	15,928,822	-	100,100,263	10%-20%	36,066,604	7,394,090	-	43,460,694	56,639,570
7	Office Equipments	50,330,903	2,631,966	-	52,962,869	15%-20%	22,938,072	4,276,681	-	27,214,754	25,748,115
8	Gas Line Installation	64,522,282	-	-	64,522,282	15%	38,758,539	3,864,561	-	42,623,100	21,899,182
9	Cargo Lift	-	-	-	-	10%	-	-	-	-	-
9	Loose Tools and Equipment	26,828,013	8,350	-	26,836,363	10%-15%	13,663,835	1,975,566	-	15,639,401	11,196,962
10	Motor Vehicle	114,453,166	-	1,842,000	112,611,166	10%-20%	60,894,409	7,014,382	993,206	66,915,585	45,695,581
11	Telephone (PABX) Installation	801,975	-	-	801,975	15%	700,664	15,197	-	715,861	86,114
12	Crockaries and Cutlaries	50,777	-	-	50,777	15%	48,096	402	-	48,498	2,279
13	Generator	221,474,179	-	-	221,474,179	10%-15%	189,071,054	3,879,989	-	192,951,042	28,523,137
14	Fire Installation	253,100	4,983,158	-	5,236,258	15%	239,742	2,004	-	241,746	4,994,512
	Total (A) as at 30.06.2023	**11,247,335,462**	**548,301,514**	**1,842,000**	**11,793,794,976**		**4,428,842,269**	**451,895,134**	**993,206**	**4,879,744,197**	**6,914,050,780**
	Total (A) as at 30.06.2022	**10,058,043,830**	**1,233,230,550**	**43,938,918**	**11,247,335,462**		**4,034,274,842**	**432,756,976**	**38,189,549**	**4,428,842,269**	**6,818,493,194**

CONSOLIDATED REVALUATED ASSETS SCHEDULE AS AT 30TH JUNE 2023

SL	PARTICULARS	RE-VALUED COST				RATE	DEPRECIATION				WRITTEN DOWN VALUE AS AT 30.06.2023
		As at 01.07.2022	Addition	Adjustment	As at 30.06.2023		As at 01.07.2022	This year	Adjustment	As at 30.06.2023	
B.	**Malek Spinning Mills Ltd., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.**										
1	Land and Land Development	2,859,354,760	-	-	2,859,354,760	0%	-	-	-	-	2,859,354,760
2	Factory Building	348,907,426	-	-	348,907,426	3.37%-5%	155,914,112	9,635,850	-	165,549,962	183,357,464
3	Machinery	1,448,114,243	-	-	1,448,114,243	7.5%-10%	929,128,111	43,671,734	-	972,799,845	475,314,398
4	Generator	144,551,895	-	-	144,551,895	10%-15%	103,330,000	4,374,027	-	107,704,027	36,847,867
	Total (B) as at 30.06.2023	**4,800,928,324**	**-**	**-**	**4,800,928,324**	**-**	**1,188,372,222**	**57,681,612**	**-**	**1,246,053,834**	**3,554,874,490**
	Total (B) as at 30.06.2022	**4,800,928,324**	**-**	**-**	**4,800,928,324**	**-**	**1,125,745,989**	**62,626,233**	**-**	**1,188,372,222**	**3,612,556,102**
	Total (A+B) as at 30.06.2023	**16,048,263,786**	**548,301,514**	**1,842,000**	**16,594,723,300**		**5,617,214,490**	**509,576,747**	**993,206**	**6,125,798,031**	**10,468,925,269**
	Total (A+B) as at 30.06.2022	**14,858,972,154**	**1,233,230,550**	**43,938,918**	**16,048,263,786**		**5,160,020,831**	**495,383,209**	**38,189,549**	**5,617,214,490**	**10,431,049,296**

Depreciation Charges to:

Factory Overhead:	**498,321,798**
Operating Expenses:	**11,254,948**
Tk.	**509,576,747**

MALEK SPINNING MILLS LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2023

Amount in Taka

Particulars	Notes	JUNE'23	JUNE'22
ASSETS :			
Non-Current Assets:			
Property, Plant and Equipment	1.1	2,158,803,410	2,221,166,626
Capital Work-in-Progress	2.1	118,884,029	-
Investment in Subsidiary Company	3.1	1,825,233,800	1,825,233,800
		4,102,921,239	**4,046,400,426**
Current Assets :			
Inventories	4.1	2,169,776,435	1,806,592,665
Accounts Receivable	5.1	1,160,557,789	1,322,218,851
Fire Insurance Claimed Receivable	6.1	282,458,514	282,458,514
Advances, Deposits and Pre-payments	7.1	163,172,766	206,952,225
Cash and Cash Equivalents	8.1	36,029,886	269,352,642
		3,811,995,390	**3,887,574,897**
TOTAL ASSETS :		**7,914,916,629**	**7,933,975,323**
SHAREHOLDER'S EQUITY AND LIABILITIES :			
Shareholder's Equity :			
Share Capital	9.1	1,936,000,000	1,936,000,000
Share Premium	10.1	1,500,000,000	1,500,000,000
Re-valuation Surplus	11.1	1,111,168,717	1,141,181,944
Retained Earnings	12.1	(91,761,471)	571,402,491
		4,455,407,246	**5,148,584,435**
Non-Current Liabilities:			
Long Term Loan	13.1	892,941,026	198,558,546
Deferred Tax Liabilities	14.1	255,878,473	262,119,028
		1,148,819,499	**460,677,574**
Current Liabilities :			
Short Term Loan	15.1	654,980,795	548,732,648
Current Portion of Long Term Loan	16.1	143,693,723	83,536,180
Acceptance Liabilities	17.1	1,337,353,714	1,437,173,780
Unclaimed Dividend with Interest	18.1	4,016,172	4,360,858
Creditors, Accruals & Provisions	19.1	170,645,480	250,909,848
		2,310,689,884	**2,324,713,314**
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		**7,914,916,629**	**7,933,975,323**
Net Assets Value Per Share (NAV)	29.1	**23.01**	**26.59**
Par Value Tk.10			

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2023

Amount in Taka

Particulars	Notes	JUNE'23	JUNE'22
Sales	20.1	3,845,154,105	4,044,426,607
Cost of Goods Sold	21.1	(4,118,604,462)	(3,601,748,831)
Gross Profit/(Loss) :		**(273,450,357)**	**442,677,776**
Operating Expenses	22.1	(117,205,762)	(123,811,665)
Financial Expenses	23.1	(62,215,820)	(43,413,142)
Operating Profit/(Loss) :		**(452,871,938)**	**275,452,969**
Other Income/(Loss)	24.1	(10,392,237)	19,363,181
Net Operating Profit/(Loss) :		**(463,264,175)**	**294,816,151**
Contribution to WPPF	25.1	-	(14,038,864)
Profit/(Loss) before Tax :		**(463,264,175)**	**280,777,286**
Income Tax :		**(36,313,013)**	**(38,758,300)**
Current Tax	26.1	(41,524,014)	(44,571,083)
Prior year tax adjustment	26.1	(1,029,554)	-
Deferred Tax	27.1	6,240,555	5,812,783
Net Profit/(Loss) after Tax		**(499,577,188)**	**242,018,986**
Other Comprehensive Income		-	-
Total Comprehensive Income		**(499,577,188)**	**242,018,986**
Earnings Per Share (EPS)	28.1	**(2.58)**	**1.25**
Par Value Tk.10			
Number of Shares used to compute EPS		**193,600,000**	**193,600,000**

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED

STATEMENT OF CHANGES IN EQUITY

MSW CHARTERED ACCOUNTANTS

FOR THE YEAR ENDED 30TH JUNE 2023

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2022	1,936,000,000	1,500,000,000	1,141,181,944	571,402,491	5,148,584,435
Net Profit/(Loss) during the year				(499,577,188)	(499,577,188)
Transfer of excess depreciation of Revalued Assets			(30,013,226)	30,013,226	-
Declared Cash Dividend for 2021-2022 financial year				(193,600,000)	(193,600,000)
As at 30th June 2023	**1,936,000,000**	**1,500,000,000**	**1,111,168,717**	**(91,761,471)**	**4,455,407,246**

FOR THE YEAR ENDED 30TH JUNE 2022

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2021	1,936,000,000	1,500,000,000	1,173,581,963	505,766,912	5,115,348,875
Net Profit/(Loss) during the year				242,018,986	242,018,986
Transfer of excess depreciation of Revalued Assets			(32,400,019)	32,400,019	-
Prior year tax adjustment				(15,183,426)	(15,183,426)
Declared Cash Dividend for 2020-2021 financial year				(193,600,000)	(193,600,000)
As at 30th June 2022	**1,936,000,000**	**1,500,000,000**	**1,141,181,944**	**571,402,491**	**5,148,584,435**

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury
Managing Director

Azizur Rahim Chowdhury
Director

B.K. Chaki
Chief Financial Officer

Syed Saiful Haque
Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
November 1, 2023
Data Verification Code (DVC) No. 2311010247AS385455

MALEK SPINNING MILLS LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2023

CHARTERED ACCOUNTANTS

Amount in Taka

PARTICULARS	JUNE'23	JUNE'22
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Accounts Receivable	4,006,815,167	3,971,835,303
Payment for Raw Materials, Indirect Materials and other expenses	(4,587,417,971)	(3,260,362,183)
Foreign currency exchange Gain/(Loss) realized	-	253,756
Other Income	938,620	890,306
Payment to Employee against contribution to WPPF	-	(71,329,886)
Payment for Operating Expenses	(112,377,008)	(119,097,075)
Payment for Financial Expenses	(62,215,820)	(33,541,808)
Payment for Income Tax	(65,504,120)	(65,284,508)
Net Cash provided/(used) by Operating Activities	**(819,761,132)**	**423,363,904**
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(22,167,767)	(167,901,345)
Acquisition of Capital work in progress	(36,084,029)	-
Disposal of Fixed Assets	800,000	-
Advance against Building & other construction	(11,671,249)	(60,572,534)
Net cash used in Investing Activities	**(69,123,045)**	**(228,473,879)**
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	860,788,169	69,963,822
Refundable IPO Share Money transferred to CMS Fund	-	(11,669,885)
Dividend Paid	(192,184,705)	(191,970,816)
Dividend transferred to Capital Market Stabilization Fund	(1,766,587)	(36,832,284)
Interest Increased/(Decreased) in Dividend Account	6,606	334,620
Net Cash provided/(used) by Financing Activities	**666,843,483**	**(170,174,542)**
Increase/(Decrease) in Cash and Cash Equivalents	**(222,040,694)**	**24,715,483**
Opening Cash & Cash Equivalents	269,352,642	226,418,040
Foreign Currency Bank deposit translation Gain/(Loss)	(11,282,063)	18,219,120
Closing Cash and Cash Equivalents	**36,029,886**	**269,352,642**
Net Operating Cash Flow Per Share (NOCFPS)	**(4.23)**	**2.19**
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur Rahim Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Dhaka
November 1, 2023

Md. Waliullah, FCA
Enroll no.: 0247

Data Verification Code (DVC) No. 2311010247AS385455

CHARTERED ACCOUNTANTS

Amount in Taka

1.1 PROPERTY, PLANT AND EQUIPMENT:

	JUNE'23	JUNE'22
COST:		
Opening Balance	2,374,028,018	2,226,076,673
Addition during the year	22,167,767	167,901,345
	2,396,195,785	**2,393,978,018**
Sales/Adjustment during the year	1,842,000	19,950,000
Closing Balance	**2,394,353,785**	**2,374,028,018**
Accumulated Depreciation:		
Opening Balance	1,495,955,663	1,458,954,394
Depreciation during the year	48,372,512	51,838,875
Adjustment during the year	993,206	14,837,606
Closing Balance	**1,543,334,968**	**1,495,955,663**
Written Down Value at cost:	**851,018,817**	**878,072,355**
REVALUATION:		
Opening Balance	2,135,640,246	2,135,640,246
Addition of Revaluated Assets	-	-
Adjustment during the year	-	-
Total Revaluated Assets	**2,135,640,246**	**2,135,640,246**
Accumulated Depreciation:		
Opening Balance	792,545,975	754,428,305
Depreciation during the year	35,309,678	38,117,669
Adjustment during the year	-	-
Closing Balance	**827,855,653**	**792,545,975**
Written Down Value of Revaluated Assets:	**1,307,784,593**	**1,343,094,271**
Total Written Down Value:	**2,158,803,410**	**2,221,166,626**

Allocation of depreciation charges for the year has been made in the accounts as follows:

	JUNE'23	JUNE'22
i) Factory Overhead	79,736,582	85,487,888
ii) Administrative Overhead	3,945,608	4,468,657
Total	**83,682,190**	**89,956,545**

Land, Building, Plant & Machinery are registered Mortgage (Pari Passu charges among the existing lender Bank, Eastern Bank Ltd., HSBC, Dhaka Bank Ltd., One Bank Ltd., Trust Bank Ltd. & Brac Bank Ltd.) Details of Fixed Assets and Depreciation are shown in the **Annexure- 1.1**

2.1 CAPITAL WORK-IN-PROGRESS:

	JUNE'23	JUNE'22
Opening Balance	-	-
Addition during the year	118,884,029	-
Less: Transferred to Assets Schedule	-	-
Closing Balance	**118,884,029**	**-**

3.1 INVESTMENT IN SHARE OF SUBSIDIARY COMPANY:

		JUNE'23	JUNE'22
Salek Textile Limited (3,900,100 Shares @Tk,100 and 825,870 Share of Tk.460 each including Premium Tk.360)	42%	769,910,000	769,910,000
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)	36%	655,333,800	655,333,800
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)	22%	399,990,000	399,990,000
Total:		**1,825,233,800**	**1,825,233,800**

Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.

4.1 INVENTORIES:

	JUNE'23	JUNE'22
Raw Materials	918,284,049	782,736,983
Stock-in-Transit	155,718,566	101,829,967
Work-in-Process	33,179,846	36,827,685
Finished Goods	889,560,068	713,674,546
Stores & Accessories: (Note: 4.1-A)	173,033,906	171,523,484
Total:	**2,169,776,435**	**1,806,592,665**

(i) The inventory counting was taken place at the year end in the presence of company management.

(ii) Inventories were hyphothecated to Dhaka Bank Ltd., HSBC Ltd., Eastern Bank Ltd., Trust Bank Ltd., One Bank Ltd. & Brac Bank Ltd. as security of workings capital loan.

(iii) LC value in transit Tk.148,654,779 and LC opening and other charges in transit: Tk.7,063,787.

(iv) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.

4.1-A STORES & ACCESSORIES:

	JUNE'23	JUNE'22
Stores & Spares {Note: 4.1-A(i)}	155,259,158	138,824,460
Repairs and Maintenance Material {Note: 4.1-A(ii)}	6,308,536	18,630,799
Packing Material {Note: 4.1-A(iii)}	10,385,686	11,509,488
Fuel, Oil and Lubricant {Note: 4.1-A(iv)}	1,080,526	2,558,737
Total:	**173,033,906**	**171,523,484**

MALEK SPINNING MILLS LIMITED
NOTES TO THE FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2023

CHARTERED ACCOUNTANTS

	Amount in Taka JUNE'23	JUNE'22
4.1-A(i) STORES & SPARES:		
Opening Balance	138,824,460	136,616,509
Add: Purchase during the year	56,055,995	43,779,508
Less: Consumption & Adjustment	39,621,297	41,571,558
Closing Balance	**155,259,158**	**138,824,460**
4.1-A(ii) REPAIRS AND MAINTENANCE MATERIALS:		
Opening Balance	18,630,799	24,131,313
Add: Purchase during the year	15,236,898	21,792,525
Less: Consumption & Adjustment	27,559,161	27,293,039
Closing Balance	**6,308,536**	**18,630,799**
4.1-A(iii) PACKING MATERIALS:		
Opening Balance	11,509,488	8,628,125
Add: Purchase during the year	25,421,525	28,643,986
Less: Consumption & Adjustment	26,545,327	25,762,623
Closing Balance	**10,385,686**	**11,509,488**
4.1-A(iv) FUEL, OIL AND LUBRICANT:		
Opening Balance	2,558,737	3,424,633
Add: Purchase during the year	8,597,243	10,733,607
Less: Consumption & Adjustment	10,075,454	11,599,503
Closing Balance	**1,080,526**	**2,558,737**
5.1 ACCOUNTS RECEIVABLE:	**1,160,557,789**	**1,322,218,851**

(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.

(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days at the date of acceptance).

(iii) Aging of the Receivables:

	JUNE'23	JUNE'22
Invoiced at 90 days L.C tenor:	119,815,986	135,606,765
Invoiced at 120 days L.C tenor:	1,040,741,803	1,186,612,086
Invoiced at 121 - 180 days L.C tenor:	-	-
Invoiced at 181 - 360 days L.C tenor:	-	-
Invoiced at above 360 days L.C tenor:	-	-
Total:	**1,160,557,789**	**1,322,218,851**

Diclosure as per Company Act-1994, Para (cho 4.5), Schedule-11

	JUNE'23	JUNE'22
(iv) Receivable from other company:	979,426,623	1,012,868,725
Receivable from related party:-		
Knit Asia Ltd:	5,289,872	85,496,673
Salek Textile Ltd.:	50,487,958	49,534,158
J.M. Fabrics Ltd.:	125,353,336	174,319,295
Total: -	**1,160,557,789**	**1,322,218,851**

	JUNE'23	JUNE'22
6.1 FIRE INSURANCE CLAIMED RECEIVABLE (Contingent Asset):		
Fire Insurance claimed receivable (Raw Materials & Finish Goods)	277,346,120	277,346,120
Fire Insurance claimed receivable (Fixed Assets)	5,112,394	5,112,394
	282,458,514	**282,458,514**

Please see the note no. 35.1 of these financial statements for detail of contingent assets.

	JUNE'23	JUNE'22
7.1 ADVANCES, DEPOSITS & PRE-PAYMENTS:		
Advance against materials suppliers and others	37,429,937	36,419,142
Advance against Building & other construction	72,243,783	60,572,534
Security Deposit to REB	178,875	178,875
Security Deposit to Titas Gas T&D Co.	11,064,011	11,064,011
Advance Income Tax (Note-7.1-A)	41,756,160	98,217,663
Security Deposit to CDBL	500,000	500,000
Total:	**163,172,766**	**206,952,225**
7.1-A. ADVANCE INCOME TAX:		
Opening Balance	98,217,663	72,747,485
Advance Income Tax paid (Against Export Proceeds)	41,346,049	19,916,478
Advance Income Tax paid (Against Vehicle)	299,027	279,000
Advance Income Tax paid (Against current year Income)	-	10,000,000
Advance Income Tax paid (Against prior year Income)	23,747,960	35,000,000
Advance Income Tax paid (Against Interest Income)	111,084	89,030
Total AIT paid for the year:	**65,504,120**	**65,284,508**
Payment/Adjustment for prior year Income	121,965,623	39,814,330
Closing Balance	**41,756,160**	**98,217,663**

a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.

b) In the opinion of Directors, all current assets, investments, loans and advance have on realization in the ordinary course of business, a value at least equal to the amount at which they are stated in the Financial Position.

(c) There is no amount due from Directors or officers of the Company.

CHARTERED ACCOUNTANTS

Amount in Taka

	JUNE'23	JUNE'22
MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:		
(i) Realizable/Adjustable within 1 year:	79,186,097	134,636,805
(ii) Realizable/Adjustable after 1 year:	83,986,669	72,315,420
Total:	**163,172,766**	**206,952,225**

8.1 CASH AND CASH EQUIVALENTS:

	JUNE'23	JUNE'22
Cash in Hand:	**23,807**	**137,619**
Cash at Banks:		
AB Bank Ltd.- A/C: 4005-767482-430	257,642	256,269
BRAC Bank- A/C: 1505101762043001	41,256	42,333
BRAC Bank- A/C: 1501201762043001	1,948,155	2,023,085
BRAC Bank- A/C: 101762043002	1,481,295	-
BRAC Bank- A/C: 2017620430004	1,259,069	-
Dhaka Bank Ltd.- A/C: 207-150000000806	586,777	2,337,773
Dhaka Bank Ltd.- A/C: 207-130000000013	19,731,744	40,089,437
Dutch-Bangla Bank- A/C: 227.110.0012931	99,545	29,014
Eastern Bank Ltd.- A/C: 101-0100611	169,543	80,594,285
Eastern Bank Ltd.- A/C: 4755, 0251,0140	1,206,312	1,208,424
Eastern Bank Ltd.- A/C: 101-1230000068:	62	634
HSBC Ltd.- A/C: 001-007475-091	4,710,779	-
HSBC Ltd.- A/C: 001-007475-012	5,000	-
Meghna Bank Ltd. A/C: 110128400000001	-	50,777,488
One Bank Ltd.- A/C: 0010016426008	-	656,428
One Bank Ltd.- A/C: 0011020009261	887	18,375
One Bank Ltd.- A/C: 0016426-091	4,301,162	37,625,650
Shahjalal Islami Bank Ltd.- A/C: 4005 11100002528	8,868	8,868
Trust Bank Ltd.- A/C: 0003-0210006613	25,054	396,701
Trust Bank Ltd.- A/C: 003-5025000082	172,928	53,150,261
Sub-total:	**36,006,078**	**269,215,023**
Total:	**36,029,886**	**269,352,642**

a) Cash balance was physically counted at the year ended and Bank balances were reconciled and found in order.

b) Export proceeds are realised in the Margin A/C and is utilized for Payment of Deferred L/C.

9.1 SHARE CAPITAL:

	JUNE'23	JUNE'22
9.1(A) AUTHORISED CAPITAL:	**3,000,000,000**	**3,000,000,000**
300,000,000 Shares @ Tk. 10/- each		
9.1(B) ISSUED, SUBSCRIBED AND PAID-UP CAPITAL:	**1,936,000,000**	**1,936,000,000**
193,600,000 Ordinary Shares @ Tk.10/- each issued and paid-up.		

9.1(B).(i) Yearwise break-up of Paid-up Capital:

Year	Status	% of Bonus Share	Addition of Share	Paid-up Share	Paid-up Capital (Tk)
2009- 2010	After IPO			160,000,000	1,600,000,000
2010- 2011	Bonus	10%	16,000,000	176,000,000	1,760,000,000
2011- 2012	Bonus	10%	17,600,000	193,600,000	1,936,000,000

9.1(B).(ii) Share Holding Composition of Malek Spinning Mills Ltd. as at 30.06.2023 are as follows:

Shareholder's Group	No. of Shares held	% of Shares	No. of Shareholders
Sponsors & Directors	91,644,800	47.337%	6
Government	-	0.000%	0
Institutions	27,912,051	14.417%	176
Foreign Shareholders	-	0.000%	0
General Public	74,043,149	38.245%	15380
Total	**193,600,000**	**100%**	**15,562**

9.1(B).(iii) Classification of shareholders by holding:

Distribution schedule of each class of equity security setting out the number of holders and percentage as at 30.06.2023

Range of Holdings	No. of Holders	Holdings	Percentage
Less than 500 shares	4,568	866,404	0.45%
500 to 5,000 shares	8,904	12,371,298	6.39%
5,001 to 10,000 shares	881	6,817,539	3.52%
10,001 to 20,000 shares	539	7,967,101	4.12%
20,001 to 30,000 shares	227	5,694,580	2.94%
30,001 to 40,000 shares	102	3,578,425	1.85%
40,001 to 50,000 shares	78	3,644,396	1.88%
50,001 to 100,000 shares	150	10,944,549	5.65%
100,001 to 1,000,000 shares	98	24,137,589	12.47%
Over 1,000,000 shares	15	117,578,119	60.73%
Total	**15,562**	**193,600,000**	**100%**

	JUNE'23	JUNE'22
10.1 SHARE PREMIUM:	**1,500,000,000**	**1,500,000,000**

This represents issuance of 10,000,000 ordinary shares in September 2008 for Tk.25 each including premium of Tk. 15/- each in compliance with The Securities and Exchange Commission (SEC) consent No.SEC/CI/CPLC (PVT.)-95/06/337 dated on 30.06.2008 and further Placement issuance of 50,000,000 ordinary shares in October 2009 for Tk.25/- each including premium of Tk.15 each in compliance with The Securities and Exchange Commission (SEC) consent No. SEC/CI/CPLC(PVT.)-95/ dated on June 03, 2009 and further issuance of IPO of 40,000,000 ordinary shares on July 2010 for Tk. 25/- each including Premium of Tk. 15/- each in compliance with the Securities and Exchange Commission (SEC) consent No. SEC/CI/IPO-118/2010/462 dated April 15, 2010.

	Amount in Taka JUNE'23	JUNE'22
11.1 RE-VALUATION SURPLUS:		
Opening Balance	1,141,181,944	1,173,581,963
Less: Transfer to Retained Earnings **85%** of excess depreciation	30,013,226	32,400,019
Written Down Value:	**1,111,168,717**	**1,141,181,944**

Details of Re-valuation Surplus of Fixed Assets is given in the **Annexure-1.1**

Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:

Depreciation of revalued asset	100%	35,309,678
Deferred tax adjustment	15%	5,296,452
Deferred tax adjusted balance of excess depreciation:	**85%**	**30,013,226**

a) **Name of Revaluer:** ASIAN SURVEYORS LTD.
b) **Last date of Revaluation:** 30.06.2012
c) **Methodology use for revaluation:**

(i) **Valuation of Land:** Surveyors Physically examined the land and surroundings. The present value of the land have been taken into consideration according to the location, importance and convenience of the locality in terms of industrial, commercial and other related factors.

(ii) **Valuation of building:** Surveyors taken into consideration the nature and quality of construction of the buildings, examined the present condition of the buildings as well as nature of maintenance. Relevant papers, documents and records were scrutinized and verified. Considering all allied factors they determined the correct present value.

(iii) **Valuation of Machineries:** The value of the machineries of the project were assessed as a running concern. They have taken into account the practical utility of a machine in terms of present performance of the particular machine in working out the present value. They also taken into consideration erection or installation cost and other related details to determine the present value of the machineries. Copies of invoice and other related documents were scrutinised and verified accurately.

d) **Total revaluation amount:** Revaluation amount as on 30.06.2012 is Tk. 2,148,818,646

e) **Independency of valuation:** The surveyor and valuer was independent from the company and its management and employees.

	JUNE'23	JUNE'22
12.1 RETAINED EARNINGS:		
Opening Balance	571,402,491	505,766,912
Add: Net Profit/(Loss) during the year	(499,577,188)	242,018,986
Add: Transfer **85%** of excess depreciation of revaluated assets	30,013,226	32,400,019
Less: Prior year tax adjustment	-	15,183,426
Less: Declared Cash Dividend	193,600,000	193,600,000
Total:	**(91,761,471)**	**571,402,491**
13.1 LONG TERM LOAN:		
Dhaka Bank Limited	405,078,640	43,513,269
Brac Bank Limited	29,869,195	14,540,000
IDLC Finance Limited	400,000,000	-
One Bank Limited	201,686,914	224,041,457
Total	**1,036,634,749**	**282,094,726**
Less: Current Portion of Long Term Loan (Note-16.1)	143,693,723	83,536,180
Total Long Term Loan:	**892,941,026**	**198,558,546**

13.1(i) Other information:

Particulars	**JUNE' 2023**		**JUNE' 2022**	
	IDLC	**OBL**	**IDLC**	**OBL**
Opening Loan facility	-	224,041,457	-	285,364,487
Addition Loan	400,000,000	-	-	-
Interest Charged	-	6,887,462	-	19,165,770
Loan Repayment:	-	22,354,543	-	61,323,030
Loan Balance:	400,000,000	201,686,914	-	224,041,457
Repayment Terms	Quarterly Installment	Quarterly Installment	Quarterly Installment	Quarterly Installment
Installment Size	-	20,677,164	-	20,677,164
Tenor	5 years 5 years	5 years	5 years	5 years
Interest Rate	9.5% - 10% 9.5% - 10%	9.5% - 10%	8% - 9%	8% - 9%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.		Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.	

Particulars	**JUNE' 2023**		**JUNE' 2022**	
	DBL	**BRAC**	**DBL**	**BRAC**
Opening Loan facility	43,513,269	14,540,000	-	-
Addition Loan	362,575,715	15,329,195	42,000,000	14,540,000
Interest Charged	8,454,307	21,716	1,523,845	-
Loan Repayment:	1,010,344	-	-	-
Loan Balance:	405,078,640	29,869,195	42,000,000	14,540,000
Repayment Terms	Monthly Installment	Quarterly Installment	Monthly Installment	Quarterly Installment
Installment Size	506,024	727,000	506,024	727,000
Tenor	7 years	5 years	7 years	5 years
Interest Rate	9.5% - 10%	9.5% - 10%	8% - 9%	8% - 9%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.		Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.	

CHARTERED ACCOUNTANTS

Amount in Taka

14.1 DEFERRED TAX LIABILITIES:

	JUNE'23	JUNE'22
Opening Balance	262,119,028	267,931,811
Add: Provision for the year	(6,240,555)	(5,812,783)
Total Liabilities:	**255,878,473**	**262,119,028**

Deferred Tax Calculation:

Particulars	Accounts Base (WDV)	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	851,018,817	452,946,922	398,071,894	404,365,918
WDV of Revaluation Surplus of Fixed Assets	1,307,784,593	-	1,307,784,593	1,343,094,271
Total	**2,158,803,410**	**452,946,922**	**1,705,856,487**	**1,747,460,189**
Deferred tax rate			15%	15%
Deferred Tax Liability			**255,878,473**	**262,119,028**

15.1 SHORT TERM LOAN:

	JUNE'23	JUNE'22
Bank Overdraft:		
Eastern Bank Ltd. A/C:180, 011, 4789	54,798,165	81,382,872
Dhaka Bank Ltd. A/C: 207.175.23	16,731,673	1,432,270
Brac Bank Ltd. A/C: 1501201762043002	38,724,704	1,045,757
One Bank Ltd. A/C: 0010016426008	20,458,232	-
HSBC Ltd. A/C: 001-007475-011	16,715,328	10,396,877
TBL A/C:003- 0136000153	30,682,780	28,297,463
Sub-total:	**178,110,883**	**122,555,239**
Liability for Bill discount:		
Dhaka Bank Ltd.	27,417,096	26,771,585
Eastern Bank Ltd.	287,182,811	399,405,824
Brac Bank Ltd.	162,270,005	-
Sub-total:	**476,869,912**	**426,177,409**
Total:	**654,980,795**	**548,732,648**

The above Short Term loans are secured against hypothecation of Stocks and Book Debts.

Particulars	EBL	OBL	DBL	HSBC
Saction facility (W.C.)				
Saction facility (Overdraft)	45,000,000	20,000,000	30,000,000	20,000,000
Interest paid this year (OD)	3,012,095	1,020,720	2,072,085	796,001
Repayment Terms (W.C.)				
Repayment Terms (OD)	N/A	N/A	N/A	N/A
Installment Size (W.C.)				
Installment Size (OD)	N/A	N/A	N/A	N/A
Tenor	One year renewable	One year renewable	One year renewable	One year renewable
Interest Rate	9.5% - 10%	9.5% - 10%	9.5% - 10%	9.5% - 10%
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

Particulars	TBL	BRAC
Saction facility (W.C.)		
Saction facility (Overdraft)	30,000,000	50,000,000
Interest paid this year (OD)	2,565,317	1,176,818
Repayment Terms (W.C.)		
Repayment Terms (OD)	N/A	N/A
Installment Size (W.C.)		
Installment Size (OD)	N/A	N/A
Tenor	One year renewable	One year renewable
Interest Rate	9.5% - 10%	9.5% - 10%
Security	Pari-passue security of Stock & Book Debts sharing agreement.	

16.1 CURRENT PORTION OF LONG TERM LOAN:

	JUNE'23	JUNE'22
Dhaka Bank Limited	39,121,379	2,333,333
Brac Bank Limited	1,454,500	-
IDLC Finance Limited	8,059,672	-
One Bank Limited	95,058,172	81,202,847
Total:	**143,693,723**	**83,536,180**

17.1 ACCEPTANCE LIABILITIES:

	JUNE'23	JUNE'22
Raw Cotton:		
Eastern Bank Limited	337,338,178	271,076,572
Dhaka Bank Limited	236,688,126	91,219,900
Brac Bank Limited	113,624,627	418,166,353
One Bank Limited	350,390,547	487,904,673
Trust Bank Limited	134,542,996	168,806,282
HSBC Limited	81,969,241	-
	1,254,553,714	**1,437,173,780**
Capital Work-in-progress:	**82,800,000**	**-**
Total:	**1,337,353,714**	**1,437,173,780**

Acceptance liability represents the deferred payment of L/C for Imported Raw Materials for the period of 180 Days.

	Amount in Taka	
	JUNE'23	**JUNE'22**
18.1 UNCLAIMED DIVIDEND WITH INTEREST:	**4,016,172**	**4,360,858**
Bankwise Details as follows:		
Brac Bank (Principal):	3,125,719	1,706,865
Brac Bank (Interest):	303,675	316,220
Dhaka Bank (Principal):	-	1,770,146
Dhaka Bank (Interest):	586,777	567,627
Total-	**4,016,172**	**4,360,858**

19.1 CREDITORS, ACCRUALS & PROVISIONS:

	JUNE'23	JUNE'22
Gas Bill Payable	46,546,923	22,894,781
Electricity Bill Payable	71,845	56,991
Audit Fees Payable	212,750	201,250
Salary, Wages & Other Allowance Payable	10,219,022	15,653,174
Salary & Allowance Payable	4,301,752	3,431,767
P.F Contribution Payable- Fact.	1,157,394	-
P.F Contribution Payable- HO	174,786	-
Tax Deduction at Source Payable	2,010,817	1,409,572
Vat Deduction at Source Payable	2,490,294	1,025,188
Income Tax Payable (Note:19.1-A)	41,524,014	120,936,069
Contribution to WPPF Payable	27,792,037	27,792,037
Directors Remuneration Payable	-	173,125
Payable for Goods Supplies & Others	18,066,232	9,914,105
Accrued Interest (Note:19.1-B)	14,858,836	46,203,011
Refundable IPO Share money (NRB Accounts) (Note-19.1-C)	1,218,777	1,218,777
Total:	**170,645,480**	**250,909,848**

a) Payable for Goods Supplies and others represents regular suppliers of packing materials, Bearing, belts, fuel & lubricants, stationery items and others.

b) Factory Salary, Wages and Other Allowance, Head Office Salary & Allowance, Director Remuneraion payable for the month of 30th June 2023.

c) Assesment of Income Tax is settled by NBR up to 2021-2022 financial year and Income Tax payable is adjusted with the advance income tax.

19.1-A. INCOME TAX PAYABLE:

	JUNE'23	JUNE'22
Opening Balance	120,936,069	100,995,890
Provision for the year (Current Tax): (Note-26.1)	41,524,014	44,571,083
Prior year tax adjustment: (Note- 26.1)	1,029,554	-
	163,489,637	**145,566,973**
Payment/Adjustment for prior year balance:	121,965,623	24,630,904
Total Payment/Adjustment for prior year income:	**121,965,623**	**24,630,904**
Total Payable-	**41,524,014**	**120,936,069**

19.1-B. ACCRUED INTEREST:

	JUNE'23	JUNE'22
Dhaka Bank Ltd	-	10,576
One Bank Ltd.	14,858,836	46,192,435
Total:	**14,858,836**	**46,203,011**

19.1-C. REFUNDABLE IPO SHARE MONEY:

	JUNE'23	JUNE'22
Eastern Bank Ltd. NRB A/C (US$, Pound, EURO):	1,218,777	1,218,777
Total-	**1,218,777**	**1,218,777**

20.1 SALES:

	JUNE'23	JUNE'22
Sales to other Customer	2,272,868,575	2,238,640,069
Sales to Related Party	1,572,285,530	1,805,786,538
Total Sale	**3,845,154,105**	**4,044,426,607**

For the financial year 2022-2023 Finished Yarn sales 10,548,887 Kg.

21.1 COST OF GOODS SOLD:

	Quantity in Kg			
	2022-23	2021-22	JUNE'23	JUNE'22
Raw Material Consumed (Note:21.1-A)	11,744,838	13,850,024	3,547,770,603	3,135,569,822
Direct Labour (Note:21.1-B)			128,406,147	125,147,946
Factory Overhead (Note:21.1-C)			614,665,395	510,989,128
Total Manufacturing Cost			**4,290,842,145**	**3,771,706,896**
Add: Work-in-Process- Opening	127,620	178,596	36,827,685	36,886,861
Cost of Goods available for use			**4,327,669,830**	**3,808,593,757**
Less: Work-in-Process- Closing	130,744	127,620	33,179,846	36,827,685
Cost of Production			**4,294,489,984**	**3,771,766,072**
Add: Finished Goods- Opening	1,760,427	2,622,684	713,674,546	821,003,426
Cost of Goods Available for Sales			**5,008,164,530**	**4,592,769,498**
Less: Finished Goods- Closing	2,821,288	1,760,427	889,560,068	713,674,546
Less: Goods destroyed by fire			-	277,346,120
Cost of Goods Sold:			**4,118,604,462**	**3,601,748,831**

CHARTERED ACCOUNTANTS

	Amount in Taka JUNE'23	JUNE'22
21.1-(A) RAW MATERIALS CONSUMED:		
Opening Inventory Raw Materials	782,736,983	273,998,501
Add: Purchase during the year	3,683,317,669	3,644,308,304
Less: Closing Inventory of Raw Materials	918,284,049	782,736,983
Raw Materials Consumed	**3,547,770,603**	**3,135,569,822**
21.1-(B) DIRECT LABOUR:	**128,406,147**	**125,147,946**
21.1-(C) FACTORY OVERHEAD:		
Factory Salary and Allowances	70,189,386	72,193,400
Overtime Wages for Worker	1,009,461	5,780,846
Festival Bonus Factory	18,860,622	26,183,888
Electricity Charges	3,494,225	822,895
Gas Charges	298,418,992	183,416,806
Repairs & Maintenance	59,254,459	35,864,767
Repairs & Maintenance (Fire Loss Recovery)	-	11,788,275
Complience Expenses	550,093	-
Gardening Expenses	11,200	13,055
Packing Materials	26,551,287	25,766,423
Fuel,Oil & Lubricant	10,075,454	11,599,503
Fire Insurance Premium	5,377,813	4,647,868
Group Insurance Premium	94,950	151,400
Stores & Accessories consumption	34,562,872	41,571,558
Entertainment Factory	607,004	564,885
Telephone, Mobile, Internet & Fax exp.	371,365	328,197
Stationery Charges	734,705	700,904
Other Carrying Charges	51,650	42,900
Factory Office Expenses other	29,931	28,627
Vehicles Maintenance	2,520,385	2,226,932
Conveyances Factory Employee	-	13,835
Accommodation Facility for worker	713,630	721,450
Medical Expenses	99,533	104,181
Uniform & Leverage	27,490	31,900
Miscellaneous Exp.	1,322,306	936,745
Depreciation	79,736,582	85,487,888
Total Factory Overhead-	**614,665,395**	**510,989,128**
22.1 OPERATING EXPENSES:		
Salaries & Allowances	47,318,729	65,730,678
Festival Bonus	3,942,525	5,863,874
Director's Remuneration	1,400,000	2,400,000
Fees, Forms & Others	4,949,999	4,754,232
Audit Fees	212,750	301,875
Stationery expenses	712,664	626,823
Telephone,Mobile & Internet Expenses	1,003,659	1,255,893
Postage, Stamp & Curier expenses	7,615	14,835
Vehicle Maintenance	9,852,805	8,023,689
Miscellaneous Expenses	12,926,431	2,894,561
Office Rent	10,644,689	10,606,272
Carriage Outwards, Selling & Distribution exp.	6,120,350	5,205,050
Entertainment	1,368,100	1,279,559
Advertisement & Publicity Expenses	517,267	487,575
AGM Expenses	617,526	881,086
Security Service Charges	12,400	98,880
Employee Car allowance	-	375,000
Travelling & Conveyance	1,704,075	2,032,987
Uniform & Leveries Security	21,320	11,400
VAT Expenses	1,909,000	-
Repairs & Maintenance	6,723,104	5,837,815
Subscription Expenses	1,156,396	386,396
Medical Expenses	-	6,500
Credit Rating Charges	93,750	107,500
Software Maintenance Expenditure	45,000	160,528
Depreciation	3,945,608	4,468,657
Total Operating expenses:	**117,205,762**	**123,811,665**
23.1 FINANCIAL EXPENSES:		
EASTERN BANK LTD.:		
Interest on Overdraft	3,012,095	1,029,663
Bank Charges & Commission	856,355	824,017
Export L/C Negotiation Commission	3,582,072	2,849,411
Interest on Bill Discount	24,257,566	4,798,321
Total:	**31,708,088**	**9,501,413**

MALEK SPINNING MILLS LIMITED

NOTES TO THE FINANCIAL STATEMENT

FOR THE YEAR ENDED 30TH JUNE 2023

	Amount in Taka JUNE'23	JUNE'22
HSBC LTD.:		
Bank Charges & Commission	454,787	114,244
Export L/C Negotiation Commission	554,338	26,178
Interest on Overdraft	796,001	1,261,141
Interest on Bill Discount	1,131,822	-
Total:	**2,936,948**	**1,401,563**
DHAKA BANK LTD.:		
Interest on Long Term Loan	8,454,307	1,523,845
Interest on Overdraft	2,072,085	1,372,518
Bank Charges and Commission	285,231	1,422,417
Export L/C Negotiation Commission	636,182	1,694,243
Interest on Bill Discount	262,524	452,682
Total:	**11,710,328**	**6,465,706**
MEGHNA BANK LTD.:		
Bank Charges and Commission	50,000	15,000
Total-	**50,000**	**15,000**
ONE BANK LTD.:		
Interest on Long Term Loan	6,887,462	19,165,770
Interest on Short Term Loan	270,974	651,049
Interest on Overdraft	1,020,720	3,085,390
Bank Charges & Commission	2,212,505	938,312
Export L/C Negotiation Commission	203,145	46,531
Total:	**10,594,806**	**23,887,052**
TRUST BANK LTD.:		
Interest on Short Term Loan	-	365,542
Bank Charges and Commission	27,089	53,836
Interest on Overdraft	2,565,317	1,650,708
Total:	**2,592,406**	**2,070,086**
DUTCH-BANGLA BANK LTD.		
Bank Charges and Commission	66,035	16,382
Total:	**66,035**	**16,382**
AB BANK LTD.		
Bank Charges and Commission	690	
Total:	**690**	**-**
BRAC BANK LTD.		
Interest on Long Term Loan	21,716	-
Interest on Overdraft	1,176,818	16,851
Interest on Bill Discount	862,494	-
Export L/C Negotiation Commission	289,917	-
Bank Charges and Commission	205,574	39,089
Total:	**2,556,518**	**55,940**
Total Financial Expenses-	**62,215,820**	**43,413,142**

24.1 OTHER INCOME/(LOSS):

	JUNE'23	JUNE'22
CASH INCENTIVE:	-	-
OTHER INCOME/(LOSS):		
Interest Received from AB Bank Ltd., STD A/C (4005-767482-430)	1,172 -	
Interest Received from BRAC Bank Ltd., STD A/C (1505101 762043001)	105	108
Interest Received from Eastern Bank Ltd., STD A/C (101-1230000068)	4	9,656
Interest Received from Meghna Bank Ltd., FDR A/C (1101-28400000001)	937,339	880,542
	938,620	**890,306**
Foreign currency exchange Gain/(Loss) against Import LC payment	-	(501,670)
Foreign currency exchange Gain/(Loss) against export realization	-	755,426
Foreign Currency Bank deposit translation Gain/(Loss)	(11,282,063)	18,219,120
Gain/(Loss) on Sale of Assets {Note: 24.1(A)}	(48,794)	-
	(11,330,856)	**18,472,875**
Other Income/(Loss):	**(10,392,237)**	**19,363,181**
Total Non-operating Income/(Loss):	**(10,392,237)**	**19,363,181**

24.1(A). GAIN/(LOSS) ON SALE OF ASSETS:

	JUNE'23	JUNE'22
Sales Price	800,000	-
Less: Written down value of Motor Vehicle:	848,794	-
Total Gain/(Loss) on Sale of Assets:	**(48,794)**	**-**

25.1 WORKER'S PROFIT PARTICIPATION FUND:

	JUNE'23	JUNE'22
Contribution to WPPF for the year	-	14,038,864
	-	**14,038,864**

This represents 5% of net profit before tax of the company and is payable to workers as per provision defined in the Labour Law Act-2006 (amendment 2013).

Amount in Taka

26.1 CURRENT TAX EXPENSES:

	Income	JUNE'23 Tax	JUNE'22 Tax
i) On Operating Income 15%	(411,173,927)	41,346,049	44,342,271
ii) On Other Income 20%	889,826	177,965	228,812
Sub-Total	**(410,284,101)**	**41,524,014**	**44,571,083**
Prior year tax adjustment		1,029,554	-
Total	**(410,284,101)**	**42,553,568**	**44,571,083**

Taxable Operating Income Calculation:

Operating Profit/(Loss)	(452,871,938)
Less: Contribution to WPPF	-
Net Operating Profit/(Loss) before Tax	**(452,871,938)**
Add: Accounting Depreciation	83,682,190
Less: Tax Depreciation	41,984,178
Taxable Operating Income:	**(411,173,927)**

(i) Depreciation of Revaluated Fixed Assets is considered.
(ii) Minimum Tax provision for this financial year is 1% AIT deducted amount on Export Proceed Realisation.
(iii) Foreign currency Bank deposit translation Gain/(Loss) is considered for tax calculation.

27.1 DEFERRED TAX: **(6,240,555)** **(5,812,783)**

Details calculation of deferred tax is shown in the note no. 14.1

28.1 BASIC EARNINGS PER SHARE (EPS):

		JUNE'23	JUNE'22
EPS calculation	(a) Earning attributable to ordinary shareholders	(499,577,188)	242,018,986
	(b) Weighted average number of Shares	193,600,000	193,600,000
Basic Earnings per Share (a / b):		**(2.58)**	**1.25**

EPS is decreased the financial year 2022-2023 because the company had incurred a Net Loss this financial year due to (a) Sales price is decreased compared to previous year and as a result Sales Volume also decreased. (b) Percentage of COGS is increased compared to previous year due to increased of Raw Material price, Gas bill, Repair & Maintenance expenses and other overhead cost this year. (c) As such EPS for the year is decreased compared to previous year.

29.1 NET ASSET VALUE (NAV) PER SHARE:

		JUN'23	JUN'22
NAV calculation	a) Equity attributable to owners of the company	4,455,407,246	5,148,584,435
	b) Number of Shares outstanding the year end	193,600,000	193,600,000
Net Assets Value Per Share (NAV) { a / b }:		**23.01**	**26.59**

30.1 CASH FLOW FROM OPERATING ACTIVITIES (INDIRECT METHOD):

	JUN'23	JUN'22
Operating Profit/(Loss)	(452,871,938)	275,452,969
Depreciation	83,682,190	89,956,545
Other Income/(Loss)	938,620	890,306
Foreign currency exchange Gain/(Loss)	-	253,756
Accounts Receivable (Increase)/Decrease	161,661,062	(72,591,304)
Inventories (Increase)/Decrease	(363,183,770)	113,201,357
Advance, Deposit & Prepaid expenses (Increase)/Decrease	(1,010,796)	50,020,572
Accounts Payable Increase/(Decrease)	(183,472,379)	102,794,098
Payment to Employee against contribution to WPPF	-	(71,329,886)
Payment for Income Tax	(65,504,120)	(65,284,508)
Net Cash provided/(used) by Operating Activities	**(819,761,132)**	**423,363,904**

31.1 CALCULATION OF NET OPERATING CASH FLOW PER SHARE (NOCFPS):

		JUN'23	JUN'22
NOCFPS calculation	a) Net Cash provided/(used) by Operating Activities	(819,761,132)	423,363,904
	b) Number of Shares outstanding the year end	193,600,000	193,600,000
Net Operating Cash Flow Per Share (NOCFPS) { a/b }:		**(4.23)**	**2.19**

Net Operating Cash Flow Per Shares (NOCFPS) is decreased due to increased of payment against raw materials purchase, financial expenses, income tax payment at the financial year 2022-2023 compared to the financial year 2021-2022.

32.1 CONTINGENT LIABILITIES:

There is no Letter of Credit is outstanding due to the goods not shipped and no liabilities has made against the same as at 30th June 2023.

Serial No.	L/C No.	L/C Date	Amount(US$)
1			
2			

33.1 RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2023 were as follows:

Amount in Taka
JUNE'23 JUNE'22

Related Party	Nature of Relationship	Nature of Transaction	Transaction during the year		Balance as at 30.06.2023	Balance as at 30.06.2022
			Dr. (Sales or Advance)	Cr. (Realised)		
Knit Asia Limited	Common Director	Sales	875,979,105	956,185,906	5,289,872	85,496,673
Salek Textile Limited	Subsidiary	Sales	19,415,387	18,461,587	50,487,958	49,534,158
J.M. Fabrics Limited	Subsidiary	Sales	676,891,038	725,856,997	125,353,336	174,319,295
New Asia Limited	Common Director	Service charge	4,049,411	4,723,395	(496,541)	177,443
Hejaz Publication Limited	Common Director	Office Rent	10,644,689	10,644,689	-	-

34.1 PRODUCTION CAPACITY:

Production capacity of Malek Spinning Mills Ltd. is 35,000kg per day and annual production capacity is 12,600,000Kg During the year produced 9,395,870 Kg and Capacity utilized 74.57%.

Particulars	%	Quantity in Kg (2022-23)	%	Quantity in Kg (2021-22)
Capacity	100	12,600,000	100	12,600,000
Production	74.57	9,395,870	87.94	11,080,019
Shortfall		**3,204,130**		**1,519,981**

35.1 CONTINGENT ASSET DISCLOSURE:

During the financial year 2021-2022, a fire incident has been happened in the factory premises. As a result, some of goods (inventory) of TK 277,346,120 and some Property, Factory Building of TK 5,112,394 (WDV) has been destroyed by fire. Whole of these assets (Inventory and Property, Factory Building) are under comprehensive insurance coverage with Pioneer Insurance Company Limited. Till date of reporting, we did not yet to receive final surveyor report from the authority.

36.1 WPPF:

Provision for contribution to WPPF was made as per Section-234 of Labour Law-2013. The due amount is under process of payment.

37.1 EVENTS AFTER THE REPORTING PERIOD:

The board of directors of the company has approved the financial statements as on 26th October 2023 and recommended no dividend for the financial year ended June 2023.

Except the fact stated above, no circumstances have arisen that to be disclosed as note or adjusted in the financial statements.

38.1 ATTENDANCE STATUS OF BOARD MEETING OF DIRECTORS:

During the year 2022-2023 nine Board Meetings were held. The attendance status of all the meetings is as follows:

Name of Directors	Position	Meeting Held	Attended
1) Mr. A.F.M Zubair	Chairman	9	5
2) Mr. A. Matin Chowdhury	Managing Director	9	9
3) Dr. Shamim Matin Chowdhury	Director	9	9
4) Mr. Azizur Rahim Chowdhury	Director	9	9
5) Ms. Saima Matin Chowdhury	Director	9	6
6) Mr. Moshiur Rahman	Director	9	8
7) Mr. Mahir Rahman	Director	9	1
8) Dr. Sultan Hafeez Rahman	Independent Director	9	7
9) Muhammad Abul Hossain	Independent Director	9	7

39.1 EMPLOYEES SALARY STATUS & POSITION (AS PER 30TH JUNE 2023)

Salary Range	Officer & Staff		Worker	Total Employee
	Head Office	Factory		
Below 5,200	-	-	-	-
Above 5,200	66	100	1,020	1,186
Total	**66**	**100**	**1,020**	**1,186**

40.1 BENEFITS TO DIRECTORS:

Mr. A. Matin Chowdhury	2022-2023	2021-2022
i) Basic	840,000	1,440,000
ii) House Rent	420,000	720,000
iii) Conveyance	64,000	96,000
iv) Medical Allowance	76,000	144,000
v) Incentive Bonus	-	-
vi) Festival Bonus	-	300,000
Total:	**1,400,000**	**2,700,000**

41.1 PURCHASE IN FOREIGN CURRENCY:

Particlulars	2022-23		2021-2022	
	In Foreign Currency	In BDT	In Foreign Currency	In BDT
Raw Cotton	$ 38,367,892	3,683,317,669	$ 42,028,697	3,644,308,304
Spare Parts	$ 583,917	56,055,995	$ 504,896	43,779,508
Capital Machinery	$ -	-	$ -	-
Total	**$ 38,951,809**	**3,739,373,664**	**$ 42,533,593**	**3,688,087,812**

42.1 KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

CHARTERED ACCOUNTANTS

Amount in Taka
JUNE'23 JUNE'22

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2022-2023		2021-2022	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	1,400,000	12,644,061	2,700,000	12,644,061
i) Basic	840,000	6,629,788	1,440,000	6,629,788
ii) House Rent	420,000	1,988,936	400,000	1,988,936
iii) Conveyance	64,000	120,000	96,000	120,000
iv) Medical Allowance	76,000	662,979	144,000	662,979
v) Incentive Bonus	-	1,647,944	320,000	1,647,944
vi) Festival Bonus	-	1,594,414	300,000	1,594,414
Number of Person:	1	4	1	4

b) Post-employment benefits: Company provide contributory Provident fund and other benefits.

c) Other long-term benefits: Company provide the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

43.1 FINANCIAL RISK MANAGEMENT:

The Board of Directors has overall responsibility for the establishment and oversight of the Company's financial risk management. The responsibility also includes developing and monitoring the Company's risk management policy. To assist the Board in discharging its oversight responsibility, management has been made responsible for identifying, monitoring and managing the company's financial risk exposure. The Company's exposure to the risks associated with the financial instruments and the risk management policies and procedures and summarized as follows.

CREDIT RISK: Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks.

Credit risk of the Company arises principally from trade debts, loans and advances, and bank balances. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date is as follows:

	2022-2023	2021-2022
Consolidated Accounts Receivable:	3,952,286,832	4,119,889,417
Consolidated Loans and Advances:	737,252,788	731,955,589
Consolidated Bank Balances:	679,043,582	938,692,608
	5,368,583,202	**5,790,537,614**

LIQUIDITY RISK: Liquidity risk is the risk that the company unable to meet its financial obligations as the fall due. The Company's approach to managing liquidity is to ensure, as far as possible' that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management ensures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

MARKET RISK: Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

PRICE RISK: Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

INTEREST RISK: Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest bearing financial instrument.

CURRENCY RISK: Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and Foreign Currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

CAPITAL RISK MANAGEMENT: The objective of the Company when managing capital, i.e., its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

MALEK SPINNING MILLS LIMITED
FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2023

Annexure: 1.1

	Particulars	Cost				Rate	Depreciation				Written down value as at 30.06.2023
		As at 01.07.2022	Addition	Adjustment	As at 30.06.2023		As at 01.07.2022	This year	Adjustment	As at 30.06.2023	
(A)-											
1	Land and Land Development	249,333,187	19,899,326		269,232,513	0%	-	-		-	269,232,513
2	Factory Building	348,100,398	53,700		348,154,098	5%	247,467,574	5,031,641		252,499,215	95,654,883
3	Plant and Machinery	1,514,599,303	-		1,514,599,303	7.5%	1,048,664,261	34,945,128		1,083,609,389	430,989,914
4	Electrical Installation	47,925,076	1,419,000		49,344,076	15%	45,055,344	483,672		45,539,017	3,805,059
5	Tubewell and Water Pump	2,463,406	-		2,463,406	15%	2,371,064	13,851		2,384,915	78,491
6	Furniture and Fixtures	3,471,554	12,225		3,483,779	10%	2,752,310	72,149		2,824,459	659,320
7	Office Equipments	35,027,692	783,516		35,811,208	15%	14,740,196	3,086,454		17,826,650	17,984,558
8	Gas Line Installation	10,618,384	-		10,618,384	15%	9,533,709	162,701		9,696,410	921,974
9	Loose Tools and Equipment	24,501,813	-		24,501,813	15%	12,322,175	1,826,946		14,149,121	10,352,692
10	Motor Vehicle	25,644,992	-	1,842,000	23,802,992	20%	20,368,734	781,162	993,206	20,156,689	3,646,303
11	Telephone (PABX) Installation	501,000	-		501,000	15%	464,728	5,441		470,169	30,831
12	Crockaries and Cutlaries	50,777	-		50,777	15%	48,096	402		48,498	2,279
13	Generator	111,537,336	-		111,537,336	10%	91,927,730	1,960,961		93,888,691	17,648,645
14	Fire Installation	253,100	-		253,100	15%	239,742	2,004		241,746	11,354
	Total (A) as at 30.06.2023	**2,374,028,018**	**22,167,767**	**1,842,000**	**2,394,353,785**		**1,495,955,663**	**48,372,512**	**993,206**	**1,543,334,968**	**851,018,817**
	Total (A1) as at 30.06.2022	**2,226,076,673**	**167,901,345**	**19,950,000**	**2,374,028,018**		**1,458,954,394**	**51,838,875**	**14,837,606**	**1,495,955,663**	**878,072,355**

REVALUATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2023

	Particulars	Re-valued cost				Rate	Depreciation				Written down value as at 30.06.2023
		As at 01.07.2022	Addition	Adjustment	As at 30.06.2023		As at 01.07.2022	This year	Adjustment	As at 30.06.2023	
(B)-											
1	Land and Land Development	846,018,824		-	846,018,824	-	-	-	-	-	846,018,824
2	Factory Building	219,355,567		-	219,355,567	5%	104,331,205	5,751,218	-	110,082,423	109,273,145
3	Plant and Machinery	951,297,577		-	951,297,577	7.5%	605,431,628	25,939,946	-	631,371,574	319,926,002
4	Generator	118,968,278		-	118,968,278	10%	82,783,142	3,618,514	-	86,401,656	32,566,622
	Total (B) as at 30.06.2023	**2,135,640,246**	**-**	**-**	**2,135,640,246**	**-**	**792,545,975**	**35,309,678**	**-**	**827,855,653**	**1,307,784,593**
	Total (B1) as at 30.06.2022	**2,135,640,246**	**-**	**-**	**2,135,640,246**	**-**	**754,428,305**	**38,117,669**	**-**	**792,545,975**	**1,343,094,271**
	Total (A+B) as at 30.06.2023	**4,509,668,264**	**22,167,767**	**1,842,000**	**4,529,994,031**		**2,288,501,638**	**83,682,190**	**993,206**	**2,371,190,621**	**2,158,803,410**
	Total (A1+B1) as at 30.06.2022	**4,368,884,353**	**21,166,216**	**28,333,650**	**4,361,716,919**		**2,146,014,063**	**92,397,537**	**25,028,901**	**2,213,382,699**	**2,148,334,220**

Depreciation Charged to:

Operating Expenses:	**3,945,608**
Factory Overhead:	**79,736,582**
Tk.	**83,682,190**

SALEK TEXTILE LIMITED

DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2023

Dear Shareholders,
In terms of provisions of section 184 of the Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2023.

BACKGROUND:
The Company was incorporated with RJSC on 9th day of September 2007 as a Private Limited Company. The Authorized Share Capital of the company was increased from Tk.500,000,000.00 divided into 5,000,000 ordinary shares of Tk.100.00 each to Tk.3,000,000,000.00 divided into 30,000,000 ordinary shares of Tk.100.00 each on 14th August, 2013. Subsequently the par value of share has been changed from Tk.100.00 per share to Tk.10.00 per share. The paid-up capital as on 30th June, 2023 stood at Tk.482,608,700.00 consisting of 48,260,870 ordinary shares of Tk.10.00 each.

The Company obtained Consent for raising of Paid-up Capital from Bangladesh Securities and Exchange Commission (BSEC) vide their letter No. BSEC/CI/CPLC (Pvt)-333/2011/446 dated June 24, 2014. To comply the condition No. 9 of the Consent Letter of Bangladesh Securities and Exchange Commission (BSEC) dated June 24, 2014 and to comply the provisions of the Commission's Notification No.SEC/CMRRCD/2006-159/Admin/03-44 dated 05-05-2010 published in the Bangladesh Gazette dated 01-06-2010 though the paid up capital of the company exceeds Tk.400,000,000.00 (Forty crore) the status of the Company has been converted from Private Limited Company to Public Limited Company on 23rd August, 2014 and the face value of per share of the Company also changed from Tk.100.00 each to Tk.10.00 each per share.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 97.925% share & other sponsors of Malek Spinning Mills Ltd. hold 2.08% share of the company as on 30th June 2023.

Mr. A. F. M. Zubair has been elected as Chairman by the Board of Directors and Mr. A. Matin Chowdhury has been retained as the Managing Director of the company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non Shareholding).

COMMERCIAL OPERATION:
Salek Textile Limited started its commercial operation on 1st day of April 2009. The production capacity of the project is 12,070,000 kgs yarn and 18,000,000 yards fabric per annum. The Company manufactures open end yarn for denim and home textile.

SEGMENT REPORTING:
Salek Textile Limited are the following different operations with spinning weaving and dyeing (denim fabric). The economic classification of the various units are of different natures, with the spinning and fabric unit being 100% deemed exporters. Furthermore, the units are located in two different locations which are independent profit centers and therefore needs to be segmented. Certain insignificant common cost are borne by main spinning unit. Based on the above principals the accounts have been divided into two segments and reported according to IFRS-8.

COMPANY'S OPERATIONS:
The position of its operating performance for the year ended 30th June, 2023 compared to previous year are given below:

Sl. No.	Description	2022-2023 (Kg.)	2021-2022 (Kg.)
01	Production capacity (Yarn)	12,070,000	12,070,000
02	Production capacity (Fabric) yds	18,000,000	18,000,000
03	Actual Production (Yarn)	7,995,292	10,231,981
04	Actual Production (Fabric) yds	11,736,047	11,603,796
05	Capacity Utilization (Yarn)	66.24%	84.77%
06	Capacity Utilization (Fabric)	65.20%	64.47%
07	Quantity Sold (kg) Yarn	8,929,916	8,661,544
08	Quantity Sold (yds) Fabric	11,201,137	11,318,682
09	Sales Revenue (Tk.) Yarn	2,272,091,748	2,415,946,602
10	Sales Revenue (Tk.) Fabric	2,574,354,782	2,542,857,216
11	Average selling price (Tk.) Yarn	254.44	278.93
12	Average selling price (Tk.) Fab.	229.83	224.66

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the last two years:

Description	2022-2023 (Tk.)	2021-2022 (Tk.)
Land and Land Development	--	45,402,800
Factory Building & Construction	13,537,093	47,106,071
Plant and Machinery	84,251,590	260,458,041
Office Equipment	1,848,450	880,320
Furniture & Fixtures	3,267,354	158,974
Electrical Installation	2,209,498	1,147,450
Fire Installation	4,983,158	--
Tubewell and Water Pump	1,418,000	--
Tools and Equipment	8,350	--
Total	**111,523,493**	**355,153,656**

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2023 are as follows:

Name of Shareholders	No. of share hold	% of Holding
Malek Spinning Mills Limited	47,259,700 shares	97.9255%
Mr. A. Matin Chowdhury	489,780 shares	1.0149%
Dr. Shamim Matin Chowdhury	339,340 shares	0.7031%
Mr. A.F.M. Zubair	169,830 shares	0.3519%
Ms. Saima Matin Chowdhury	410 shares	0.0008%
Mr. Azizur R. Chowdhury	510 shares	0.0011%
Mr. Moshiur Rahman	650 shares	0.0013%
Mr. Shyan Zubair	650 shares	0.0013%
Total	**48,260,870 shares**	**100%**

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2022-2023	2021-2022
Sales	3,949.93	4,119.63
Cost of goods sold	3,944.70	3,574.71
Gross profit	**5.23**	**544.93**
Operating expenses	99.99	111.25
Financial Expenses	278.79	152.72
Operating profit	**(373.56)**	**280.95**
Loss on Fire	--	(93.51)
Other Income/(loss)	78.36	23.68
Net Operating profit/(Loss)	**(295.21)**	**211.13**
Contribution to WPPF	3.21	9.75
Income Tax	81.05	55.88
Net profit/(Loss) from continuing operations	**(379.46)**	**145.49**
Profit/(Loss) from discontinued operation	--	(141.92)
Net Profit/(Loss) after tax	**(379.46)**	**3.57**
Gross Margin Ratio	0.13%	13.23%
Net Margin Ratio	(9.61%)	0.09%
Earnings per share (Tk.)	(7.86)	0.07
Earning per share (Tk.) continuing operation	(7.86)	3.01

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit/(Loss) during the year 2022-2023	Tk. (379,462,191)
Add: Balance of profit B/F from previous years	Tk. 952,025,263
Add: Transfer of excess depreciation of revalued assets	Tk. 11,003,790
Add: Tax holiday Reserve	Tk. 215,491,736
Total net free surplus available for appropriation	**Tk. 799,058,598**
Appropriation Proposed:	
Proposed Dividend	Nil
Balance carried forward to Balance Sheet as Retained Earnings	**Tk. 799,058,598**

DECLARATION OF DIVIDEND:

Due to net loss during the year 2022-2023 and in order to strengthen the financial position of the company no dividend be and is recommended by the Board of Directors. The entire retained earnings amount Tk. 799,058,598 will be transferred to general reserves.

APPOINTMENT OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 117 of the Articles of Association of the Company Mr. A. F. M. Zubair, Director and Mr. A. Matin Chowdhury, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s Malek Siddiqui Wali, Chartered Accountants would retire at the 16th Annual General Meeting and being eligible, they offered themselves for re-appointment as Auditors for the year 2023-2024 with re-fixation of their remuneration.

BOARD MEETINGS:

During the year 2022-2023, Seven (07) Board meetings were held. The attendance record of the Directors are as follows:

Name of Directors	Position	Meeting held	Attended
Mr. A.F.M. Zubair	Chairman	07	04
Mr. A. Matin Chowdhury	Managing Director	07	07
Dr. Shamim Matin Chowdhury	Director	07	07
Mr. Azizur R. Chowdhury	Director	07	07
Ms. Saima Matin Chowdhury	Director	07	05
Mr. Shyan Zubair	Director	07	02
Mr. Moshiur Rahman	Director	07	07
Mr. Muhammad Abul Hossain	Independent Director (Non Shareholding)	07	06

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,

A.F.M. Zubair

Chairman

Malek Siddiqui Wali
Chartered Accountants
Since 1965
9-G, Motijheel C/A, (L-2), Dhaka-1000, Bangladesh.

Phone : +88-02-9513471
E-mail : info@msw-bd.com
Web : www.msw-bd.com

CHARTERED ACCOUNTANTS

Independent Auditors' Report

To the shareholders of Salek Textile Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Salek Textile Limited** which comprise the financial position as at June 30, 2023, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Matter

With reference to note 30.2, which describes that the company is incurred huge loss of Tk. 7.86/- Per Share during the year in comparative with profit per share of Tk. 0.07/- in comparative year due to increase of cost and reduction of Sales & underutilization of Production capacity during the year.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;

b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;

c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and

d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants

Dated, Dhaka
October 30, 2023

Md. Waliullah, FCA
Enrolment No: 0247

Data Verification Code (DVC) No. 2310310247AS552693

SALEK TEXTILE LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2023

CHARTERED ACCOUNTANTS

Amount in Taka

Particulars	JUNE'23	JUNE'22
ASSETS :		
Non-Current Assets:		
Property, Plant and Equipment	2,913,248,761	3,014,842,866
Goodwill	168,600,020	168,600,020
	3,081,848,781	**3,183,442,886**
Current Assets :		
Inventories	1,898,359,566	1,581,212,409
Advance, Deposit and Pre-Payments	503,322,530	574,433,985
Accounts Receivable	1,513,343,562	1,579,705,211
Fire Insurance Claimed Receivable	-	105,644,052
Non-current Asset held under disposal group	425,047,635	425,047,635
Cash and Cash Equivalents	138,423,811	143,803,301
	4,478,497,104	**4,409,846,593**
TOTAL ASSETS :	**7,560,345,885**	**7,593,289,479**
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	482,608,700	482,608,700
Share Premium	601,754,814	601,754,814
Re-valuation Surplus	343,358,829	354,362,619
Tax Holiday Reserve	-	215,491,736
Retained Earnings	799,058,598	952,025,263
	2,226,780,941	**2,606,243,132**
Non-Current Liabilities:		
Long Term Loan	1,715,604,263	1,458,102,416
Deferred Tax Liabilities	187,836,332	172,474,074
	1,903,440,595	**1,630,576,490**
Current Liabilities :		
Short Term Loan	1,235,219,139	1,120,841,609
Current Portion of Long Term Loan	471,790,208	399,278,555
Acceptance Liabilities	948,396,968	1,222,857,157
Creditors, Accruals & Provisions	774,718,034	613,492,535
	3,430,124,349	**3,356,469,857**
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	**7,560,345,885**	**7,593,289,479**
Net Assets Value Per Share (NAV)	**46.14**	**54.00**
Par Value Tk.10		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur R. Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS552693

SALEK TEXTILE LIMITED

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30TH JUNE 2023

CHARTERED ACCOUNTANTS

Amount in Taka

Particulars	Spinning Unit	Fabrics Unit	JUNE'23	JUNE'22
Sales	2,272,091,748	2,574,354,782	3,949,926,136	4,119,634,554
Cost of Goods Sold	(2,540,561,634)	(2,300,657,627)	(3,944,698,867)	(3,574,706,727)
Gross Profit/(Loss) :	**(268,469,886)**	**273,697,155**	**5,227,269**	**544,927,827**
Operating Expenses	(36,207,603)	(63,788,786)	(99,996,389)	(111,252,641)
Financial Expenses	(58,037,098)	(220,756,184)	(278,793,282)	(152,723,245)
Operating Profit/(Loss) :	**(362,714,587)**	**(10,847,815)**	**(373,562,402)**	**280,951,942**
Loss on Fire	-	-	-	(93,503,083)
Other Income/(Loss)	165,333	78,189,699	78,355,032	23,676,161
Net Operating Profit/(Loss) :	**(362,549,254)**	**67,341,884**	**(295,207,370)**	**211,125,019**
Contribution to WPPF	-	(3,206,756)	(3,206,756)	(9,748,128)
Profit/(Loss) before Tax :	**(362,549,254)**	**64,135,128**	**(298,414,126)**	**201,376,892**
Income Tax :	**(18,211,879)**	**(62,836,185)**	**(81,048,065)**	**(55,883,877)**
Current Tax	(15,284,415)	(32,764,439)	(48,048,854)	(24,676,978)
Prior year tax adjustment	-	(17,636,953)	(17,636,953)	-
Deferred Tax	(2,927,464)	(12,434,793)	(15,362,258)	(31,206,900)
Profit/(Loss) from continued operation	**(380,761,134)**	**1,298,943**	**(379,462,191)**	**145,493,014**
Discontinued Operation:				
Profit/(Loss) from discontinued operation			-	(141,919,686)
Net Profit/(Loss) after tax:	**(380,761,134)**	**1,298,943**	**(379,462,191)**	**3,573,328**
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income:	**(380,761,134)**	**1,298,943**	**(379,462,191)**	**3,573,328**
Earnings Per Share (EPS)			**(7.86)**	**0.07**
Earnings Per Share (EPS)- Continuing operation			**(7.86)**	**3.01**
Par Value Tk.10				
Number of Shares used to compute EPS			**48,260,870**	**48,260,870**

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur R. Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS552693

SALEK TEXTILE LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH JUNE 2023

Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2022	482,608,700	601,754,814	215,491,736	354,362,619	952,025,263	2,606,243,132
Net Profit/(Loss) during the year					(379,462,191)	(379,462,191)
Transfer of excess depreciation of Revalued Assets				(11,003,790)	11,003,790	-
Tax Holiday Reserve			(215,491,736)		215,491,736	-
As at 30th June 2023	**482,608,700**	**601,754,814**	**0**	**343,358,829**	**799,058,598**	**2,226,780,941**

FOR THE YEAR ENDED 30TH JUNE 2022

Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2021	482,608,700	601,754,814	215,491,736	366,470,108	936,344,446	2,602,669,804
Net Profit/(Loss) during the year					3,573,328	3,573,328
Transfer of excess depreciation of Revalued Assets				(12,107,489)	12,107,489	-
As at 30th June 2022	**482,608,700**	**601,754,814**	**215,491,736**	**354,362,619**	**952,025,263**	**2,606,243,132**

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury
Managing Director

Azizur R. Chowdhury
Director

B.K. Chaki
Chief Financial Officer

Syed Saiful Haque
Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS552693

SALEK TEXTILE LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2023

PARTICULARS	JUNE'23	JUNE'22
		Amount in Taka
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	4,016,287,785	5,245,527,324
Payment for Raw Materials, Indirect Materials and other expenses	(3,879,569,091)	(5,158,445,562)
Foreign currency exchange Gain/(Loss) realized	-	115,207
Other Income	78,189,699	41,652,012
Payment to Employee against contribution to WPPF	-	(11,116,662)
Fire Insurance Claimed received on Raw Materials & Goods	4,681,424	4,681,424
Payment for Operating Expenses	(94,824,214)	(118,971,867)
Payment of Financial Expenses	(278,791,367)	(246,589,365)
Payment for Income Tax	(48,455,868)	(25,810,094)
Net Cash provided/(used) by Operating Activities	**(202,481,632)**	**(268,957,584)**
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisation of Fixed Assets	(348,416,849)	(118,260,300)
Disposal of Fixed Assets	-	95,866,287
Fire Insurance Claimed received on Assets	100,962,628	100,962,628
Net cash used in Investing Activities	**(247,454,221)**	**78,568,615**
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	444,391,029	(239,685,576)
Net cash provided/(used) by Financing Activities	**444,391,029**	**(239,685,576)**
Increase/(Decrease) in Cash and Cash Equivalents	**(5,544,823)**	**(430,074,545)**
Opening Cash and Cash Equivalents	143,803,301	571,758,986
Foreign Currency Bank deposit translation Gain/(Loss)	165,333	2,118,860
Closing Cash and Cash Equivalents	**138,423,811**	**143,803,301**
Net Operating Cash Flow Per Share (NOCFPS)	**(4.20)**	**(5.57)**
Par Value Tk.10		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Azizur R. Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Managing Director	Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS552693

NEWASIA SYNTHETICS LIMITED

DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2023

Dear Shareholders,

The directors are pleased to present their report on the activities of the company together with the Audited Accounts and Auditors' Report thereon containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2023.

REFERRAL:

In terms of the provisions of section 184 of the Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), it is the pleasure of the Board of Directors to submit its report to the Shareholders for the year ended 30 June 2023 in the following paragraphs:

BACKGROUND:

The Company was incorporated with RJSC on 30th day of July 2008 as a Private Limited Company and subsequently on October 24, 2009 it was converted into a Public Limited Company. The Authorized Share Capital of the company has also been increased from Tk. 500,000,000.00 to Tk.5,000,000,000.00 divided into 50,000,000 ordinary shares of Tk.100.00 each. The paid-up capital as on 30th June, 2023 stood at Tk.660,000,000.00 consisting of 6,600,000 ordinary shares of Tk.100.00 each.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 99.293% share & other sponsors of Malek Spinning Mills Ltd. hold 0.707% share of the company.

Mr. A. Matin Chowdhury is the Chairman of the Company and Dr. Shamim Matin Chowdhury is the Managing Director of the Company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non-Shareholding) of the Company.

COMPANY'S OPERATION AND FINANCIAL RESULTS:

The following capital expenditure was incurred in the year 2022-2023 & 2021-2022.

Description	2022-2023 (Tk.)	2021-2022 (Tk.)
Land and Land Development	1,450,000	4,900,873
Total	**1,450,000**	**4,900,873**

IMPLEMENTATION SCHEDULE:

The project was undertaken to set up a PET Granule (Bottle grade & Industrial grade) and Polyester Staple Fibre manufacturing unit in the name of Newasia Synthetics Ltd. As on 30th June 2023, MSML is the holder of 99.293% shares of Newasia Synthetics Limited i.e. 6,553,338 shares of Tk.100.00 each total Tk.655,333,800.00 out of 6,600,000 shares of Tk.100.00 each total Tk.660,000,000.00. The project could not started due to failure of Gas connection by Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the Gas connection is provided.

APPOINTMENT OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 117 of the Articles of Association of the Company Dr. Shamim Matin Chowdhury, Director and Mr. Moshiur Rahman, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s. Malek Siddiqui Wali, Chartered Accountants would retire at the 15th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2023-2024 with re-fixation of their remuneration.

BOARD MEETINGS:

During the year 2022-2023, Five (05) Board meetings were held. The attendance record of the Directors are as follows:

Name of Directors	Position	Meeting held	Attended
Mr. A. Matin Chowdhury	Chairman	05	05
Dr. Shamim Matin Chowdhury	Managing Director	05	05
Mr. A. F. M. Zubair	Director	05	02
Mr. Moshiur Rahman	Director	05	05
Mr. Muhammad Abul Hossain	Independent Director (Non Shareholding)	05	05

FINANCIAL ACCOUNTS:

As the Company did not commence production & marketing but due to operating and financial expenses Net Loss incurred Tk.3,659,935 in the Statement of Profit or Loss and other Comprehensive Income for the year ended on 30th June, 2023.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders of the company.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,

A. Matin Chowdhury

Chairman

Independent Auditors' Report

To the shareholders of Newasia Synthetics Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Newasia Synthetics Limited** which comprise the financial position as at June 30, 2023, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;

b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;

c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and

d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants

Dated, Dhaka
October 30, 2023

Md. Waliullah, FCA
Enrolment No: 0247

Data Verification Code (DVC) No. 2310310247AS503222

NEWASIA SYNTHETICS LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2023

Particulars	JUNE'23	JUNE'22
		Amount in Taka
ASSETS :		
Non-Current Assets :		
Property Plant & Equipment	2,145,302,959	2,144,042,852
	2,145,302,959	**2,144,042,852**
Current Assets :		
Advance, Deposit and Pre-Payments	18,703,073	17,251,339
Cash and Cash Equivalents	820,613	7,080,113
	19,523,686	**24,331,452**
TOTAL ASSETS :	**2,164,826,645**	**2,168,374,304**
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	660,000,000	660,000,000
Re-valuation Surplus	1,341,650,365	1,341,650,365
Retained Earnings	(28,671,003)	(25,011,068)
	1,972,979,362	**1,976,639,297**
Current Liabilities :		
Creditors & Accruals	191,847,283	191,735,007
	191,847,283	**191,735,007**
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	**2,164,826,645**	**2,168,374,304**
Net Assets Value Per Share (NAV)	**298.94**	**299.49**
Par Value Tk.100		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Dr. Shamim Matin Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS503222

NEWASIA SYNTHETICS LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2023

MSW CHARTERED ACCOUNTANTS

Amount in Taka

Particulars	JUNE'23	JUNE'22
Sales	-	-
Cost of Goods Sold	-	-
Gross Profit/(Loss) :	**-**	**-**
Operating Expenses	(3,557,224)	(2,456,466)
Financial Expenses	(102,711)	(17,285)
Operating Profit/(Loss) :	**(3,659,935)**	**(2,473,751)**
Other Income/(Loss)	-	-
Net Operating Profit/(Loss) :	**(3,659,935)**	**(2,473,751)**
Provision for Contribution to WPPF	-	-
Profit/(Loss) before Tax :	**(3,659,935)**	**(2,473,751)**
Income Tax :	**-**	**-**
Current Tax	-	-
Deferred Tax	-	-
Net Profit/(Loss) after tax	**(3,659,935)**	**(2,473,751)**
Other Comprehensive Income	-	-
Total Comprehensive Income	**(3,659,935)**	**(2,473,751)**
Earnings Per Share (EPS)	**(0.55)**	**(0.37)**
Par Value Tk.100		
Number of Shares used to compute EPS	**6,600,000**	**6,600,000**

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Dr. Shamim Matin Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS503222

NEWASIA SYNTHETICS LIMITED
STATEMENT OF CHANGES IN EQUITY

CHARTERED ACCOUNTANTS

FOR THE YEAR ENDED 30TH JUNE 2023

Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2022	660,000,000	1,341,650,365	-	(25,011,068)	1,976,639,297
Net Profit/(Loss) during the period				(3,659,935)	(3,659,935)
As at 30th June 2023	**660,000,000**	**1,341,650,365**	**-**	**(28,671,003)**	**1,972,979,362**

FOR THE YEAR ENDED 30TH JUNE 2022

Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2021	660,000,000	1,341,650,365	-	(22,537,317)	1,979,113,048
Issuance of Share Capital	-		-	-	-
Net Profit/(Loss) during the period				(2,473,751)	(2,473,751)
As at 30th June 2022	**660,000,000**	**1,341,650,365**	**-**	**(25,011,068)**	**1,976,639,297**

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury
Chairman

Dr. Shamim Matin Chowdhury
Managing Director

B.K. Chaki
Chief Financial Officer

Syed Saiful Haque
Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS503222

NEWASIA SYNTHETICS LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2023

CHARTERED ACCOUNTANTS

Amount in Taka

PARTICULARS	JUNE'23	JUNE'22
CASH FLOW FROM OPERATING ACTIVITIES :		
Payment for Operating Expenses	(3,349,811)	(2,190,418)
Accounts Payable Increased/(Decreased)	94,756	662,525
Payment for Financial Expenses	(102,711)	(17,285)
Net Cash provided/(used) by Operating Activities	**(3,357,766)**	**(1,545,178)**
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(2,901,734)	(17,899,139)
Net Cash used in Investing Activities	**(2,901,734)**	**(17,899,139)**
CASH FLOW FROM FINANCING ACTIVITIES :		
Issuance of Share Capital	-	-
Share Money Deposit	-	-
Net cash provided/(used) by Financing Activities	**-**	**-**
Increase/(Decrease) in Cash and Cash Equivalents	**(6,259,500)**	**(19,444,317)**
Opening Cash and Cash Equivalents	7,080,113	26,524,430
Closing Cash and Cash Equivalents	**820,613**	**7,080,113**
Net Operating Cash Flow Per Share (NOCFPS)	**(0.51)**	**(0.23)**
Par Value Tk.100		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.

A. Matin Chowdhury	**Dr. Shamim Matin Chowdhury**	**B.K. Chaki**	**Syed Saiful Haque**
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Signed in terms of our separate report date even annexed.

Malek Siddiqui Wali, Chartered Accountants

Md. Waliullah, FCA
Enroll no.: 0247

Dhaka
October 30, 2023
Data Verification Code (DVC) No. 2310310247AS503222

J.M. FABRICS LIMITED

DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2023

Dear Shareholders,

In terms of provisions of section 184 of Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2023.

BACKGROUND:

The Company was incorporated with RJSC on 25th day of May 2005 as a Private Limited Company. The authorized share capital of the company has been increased from Tk.500,000,000.00 to Tk.2,000,000,000.00 divided into 20,000,000 ordinary shares of Tk.100.00 each vide Special Resolution dated 20th February 2022. The paid-up capital as on 30th June, 2023 stood at Tk.400,000,000.00 consisting of 4,000,000 ordinary shares of Tk.100.00 each of which 3,999,900 shares of Tk.100.00 each was held by Malek Spinning Mills Limited.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 99.998% share & others sponsor of Malek Spinning Mills Ltd. holds 0.002% share of the company as on 30th June 2023.

Mr. A. Matin Chowdhury is the Chairman of the Company and Mr. Azizur R. Chowdhury is the Managing Director of the Company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non Shareholding) of the Company.

COMMERCIAL OPERATION:

J. M. Fabrics Limited started its commercial operation on 18th day of August 2007. The Company is engaged in the production of 100% export-oriented Garments and Knit Fabric with a production capacity of 18 Metric Tons dyed fabric and 83 (eighty-three) lines of cutting and sewing operation with all necessary facilities, storage etc.

COMPANY'S OPERATIONS:

The position of its operating performance for the year ended 30th June, 2023 is given below:

(1) CAPACITY/PRODUCTION

The Company's installed estimated production capacity is 52,944,000 Pcs of Basic T-Shirt, Polo-Shirt, Intimate & Seamless Garments per annum. earlier which was 52,920,000 Pcs. During the reporting period production capacity has been re-arranged from Intimate product to Cut & Sewing product to meet the market demand and considering higher profitability. Due to increase of RMG products order quantity, we had to increase production line in Cut & Sewing Unit. As a result, total number of production quantity decreased but sales revenue increased. A comparative position of its operating performance is given below:

Sl. No.	Description	2022-2023	2021-2022
01	Production capacity (Pcs.)	52,944,000	52,920,000
02	Actual Production (Pcs.)	33,025,124	40,355,632
03	Capacity Utilization (Average)	62.38%	76.26%
04	Quantity Sold (Pcs.)	35,079,704	40,927,972
05	Sales Revenue (Tk.)	10,323,055,131	9,446,095,091
06	Average selling price (Tk.)	294.27	230.80

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the year 2022-2023 as compared to the previous year:

Description	2022-2023 (Tk.)	2021-2022 (Tk.)
Land and Land Development	88,767,366	419,426,290
Building and Civil Construction	4,854,975	24,026,870
Plant and Machinery	267,766,993	143,846,893
Equipment and Installation	17,151,744	29,281,691
Furniture & Fixtures	12,649,243	23,239,553
Utilities Facility	21,969,933	37,281,699
Transport Facility	--	29,062,500
Total	**413,160,254**	**706,165,496**

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2023 are as follows:

Name of Shareholders	No. of share held
Malek Spinning Mills Limited	3,999,900 shares
Mr. A.F.M. Zubair	60 shares
Mr. Azizur R. Chowdhury	20 shares
Ms. Saima Matin Chowdhury	20 shares
Total	**4,000,000 shares**

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2022-2023	2021-2022
Turnover	10,323.06	9,446.10
Cost of goods sold	9,474.29	8,786.08
Gross profit	**848.77**	**660.02**
General and Administrative Expenses	53.02	50.74
Financial Cost	141.62	149.87
Operating profit	**654.13**	**459.40**
Other income	137.62	81.01
Net Profit before tax	**791.75**	**540.41**
Provision for Income Tax	136.92	62.75
Net profit after tax	**654.83**	**477.67**
Gross Margin Ratio	8.22%	6.99%
Net Margin Ratio	6.34%	5.06%
Earnings per share (Tk.)	163.71	119.42

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit (after tax) during the year 2022-2023	Tk. 654,832,261
Add: Profit brought forward from previous year balance sheet	Tk.1,249,173,328
Add: Adjustment of excess depreciation of revalued assets	Tk. 1,594,258
Total net free surplus available for appropriation	**Tk.1,905,599,847**
Appropriation Proposed:	
Proposed Dividend	Nil
Balance carried forward to Balance Sheet as Retained earnings	**Tk. 1,905,599,847**

DECLARATION OF DIVIDEND:

In order to strengthen the financial position of the company no dividend be and is recommended by the Board of Directors for the year ended 30th June, 2023.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s. Das Chowdhury Dutta & Co., Chartered Accountants would retire at the 18th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2023-2024 with re-fixation of their remuneration.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,

A. Matin Chowdhury
Chairman

দাশ চৌধুরী দত্ত এন্ড কোং
DAS CHOWDHURY DUTTA & CO.
Chartered Accountants

Offices:
Well Tower (1st Floor), Flat - A/1
12/A Purana Paltan Line, Dhaka
E-mail : dcddhaka@outlook.com

Jahan Building No. 5 (2nd Floor)
74, Agrabad Commercial Area, Chittagong
E-mail : dcdctg@outlook.com

Website : www.daschowdhurydutta.com

INDEPENDENT AUDITORS' REPORT
To the Shareholders of J. M. Fabrics Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **J. M. Fabrics Limited** which comprise the statement of financial position as at **30 June 2023,** and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the company as at **30 June 2023,** and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with the International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the financial statements section of our report. We are independent auditors of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended **30 June 2023.** These matters were addressed in the context of our audit of the financial statements, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the auditor's responsibilities for the audit of the financial statements section of our report including in relation to these matters.

Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatements of the financial statements. These results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Risk	Our responses to the risk
Revenue Recognition The company's total revenue of Tk. 10,323,055,131 as reported herein is measured at net of discounts, incentives and rebates being allowed to number of customers which has material effect in revenue recognition due to inherent complex and judgmental nature. As such, risk associated in revenue recognition with respect to estimation of discount, incentives and rebates which is expected to be influenced by the management for fulfilling the performance target.	We have tested the design and operating effectiveness of calculation of discounts, incentives and rebates having checked the invoices raised from time to time for revenue recognition. We have also applied substantive procedure to check the current year's revenue, agreeing to sample claims, rebates, and accruals to the recorded transactions with bank deposit reconciliation and necessary documentation and presentation of disclosures in accordance with respective accounting standards.

Risk	Our responses to the risk
Valuation of Inventories Inventories of Tk. 1,854,347,360 as at 30 June 2023 is measured at the lower of cost and net realizable value considering the appropriate values of slow moving or obsolete items.	We were present at the time of physical inventory to check and compare the results between maintained records with physical existence and to identify the slow and obsolete items. Short/excess found have been reconciled and adjusted. Net realizable value has been recalculated for disclosing in accordance with respective accounting standards.
Deferred Tax Liabilities The deferred tax liability of Tk. 87,436,119 as at 30 June 2023 is neither payable nor to be paid in future. This is measured and recognized at the value of difference between accounting base and tax base. This requires a significant assessment procedure for determining such liabilities.	The company has recognized deferred tax liabilities by using assumptions between recorded transactions of accounting base and tax base. We have evaluated the operational effectiveness with respect to recognition and measurement of deferred tax liabilities. However, the measured amount is nothing but an estimate subject to discretionary provisions of income tax law.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information which we are required to report the fact, but we have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994, and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so and those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standard on Auditing (ISAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken based on these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We are also:

- Identify and assess the risks of material misstatements of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from errors, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosures about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act 1994 and other applicable laws and regulations, we also report that:

(a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made verification thereof.

(b) In our opinion, a proper book of accounts as required by law has been kept by the Company so far as it appeared from our examination of those books.

(c) The Company's statement of financial position, statement of profit or loss and other comprehensive income together with the notes to the financial statements dealt with by the report agree with the books of accounts and returns.

(d) The expenditure incurred was for the purpose of the Company's business.

Dhaka, 25 Oct 2023

Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090
DVC No. 2310310500AS420686

দাশ চৌধুরী দত্ত এন্ড কোং
DAS CHOWDHURY DUTTA & CO.
Chartered Accountants

J. M. Fabrics Limited
Statement of Financial Position
As at 30 June 2023

Particulars	Amount in Taka 30.06.2023	Amount in Taka 30.06.2022
ASSETS		
Non-Current Assets	**3,420,644,150**	**3,183,665,789**
Property, plant and equipment	3,091,221,754	2,888,836,909
Revalued fixed assets	160,348,386	162,160,043
Capital work in progress	169,074,010	132,668,837
Current Assets	**4,059,163,935**	**4,265,496,769**
Inventories	1,854,347,360	2,179,217,827
Advances, deposits and pre-payments	243,554,420	124,818,041
Accounts receivable	1,454,226,775	1,441,818,808
Cash and cash equivalents	507,035,380	519,642,093
Total Assets	**7,479,808,085**	**7,449,162,558**
SHARE HOLDERS' EQUITY AND LIABILITIES:		
Shareholders' Equity	**2,441,754,139**	**1,786,921,878**
Share capital	400,000,000	400,000,000
Revaluation reserve	136,154,292	137,748,550
General reserve and surplus	1,905,599,847	1,249,173,328
Non-Current Liabilities	**975,961,852**	**987,974,815**
Long term loan from bank	888,525,733	919,497,853
Deferred tax liabilities	87,436,119	68,476,962
Current Liabilities	**4,062,092,094**	**4,674,265,865**
Short term loan	1,470,665,600	2,330,130,681
Current portion of long term loan	331,317,672	339,216,994
Accounts payable	156,650,724	155,378,754
Loan from director	-	25,500,000
Bank acceptance liabilities	1,781,532,389	1,556,057,160
Liabilities for expenditure	321,925,709	267,982,276
Total Equity and Liabilities	**7,479,808,085**	**7,449,162,558**
Net Assets Value (NAV) Per Share (Including Revaluation surplus)	**610.44**	**446.73**

A. Matin Chowdhury	Azizur R. Chowdhury	Amit Kumar Saha	Syed Saiful Haque
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Signed in terms of our report of even date annexed.

Dhaka, 25 Oct 2023

Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090

J. M. Fabrics Limited

Statement of Profit or Loss and Other Comprehensive Income

For the year ended on 30 June 2023

Particulars	Amount in Taka 30.06.2023	Amount in Taka 30.06.2022
Turnover - Export earnings	10,323,055,131	9,446,095,091
Cost of goods sold	(9,474,288,089)	(8,786,077,851)
Gross Profit / (Loss)	**848,767,042**	**660,017,240**
Operating Expenses	**(194,638,201)**	**(200,612,302)**
Administrative expenses	(42,579,184)	(40,642,660)
Selling and distribution expenses	(10,436,079)	(10,098,453)
Finance Expenses	(141,622,938)	(149,871,189)
Operating Profit / (Loss)	**654,128,841**	**459,404,938**
Other income/(loss)	137,624,366	81,007,355
Net Profit Before Tax	**791,753,207**	**540,412,293**
Provision for Income Tax	**(136,920,946)**	**(62,745,929)**
Provision for tax - current year	(117,961,789)	(54,790,450)
Provision for deferred tax	(18,959,157)	(7,955,479)
Net Profit After Tax	**654,832,261**	**477,666,364**
Earnings Per Share (EPS)	**163.71**	**119.42**
Number of shares used to compute earning per share (EPS)	**4,000,000**	**4,000,000**

A. Matin Chowdhury	Azizur R. Chowdhury	Amit Kumar Saha	Syed Saiful Haque
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Singed in terms of our report of even date annexed.

Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090

Dhaka, 25 Oct 2023

J. M. Fabrics Limited

Statement of Changes in Equity

For the year ended on 30 June 2023

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2022	400,000,000	137,748,550	1,249,173,328	1,786,921,878
Net profit / (loss) for the year	-	-	654,832,261	654,832,261
Adjustment for Disposal of Revalued Fixed Asset	-	-	-	-
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	-	(1,594,258)	1,594,258	-
Balance as at 30 June 2023	**400,000,000**	**136,154,292**	**1,905,599,847**	**2,441,754,139**

For the year ended 30 June 2022

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2021	400,000,000	139,342,808	769,912,706	1,309,255,514
Net profit / (loss) for the year	-	-	477,666,364	477,666,364
Adjustment for Disposal of Revalued Fixed Asset	-	-	-	-
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	-	(1,594,258)	1,594,258	-
Balance as at 30 June 2022	**400,000,000**	**137,748,550**	**1,249,173,328**	**1,786,921,878**

A. Matin Chowdhury	Azizur R.Chowdhury	Amit Kumar Saha	Syed Saiful Haque
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Dhaka, 25 Oct 2023

J. M. Fabrics Limited

Statement of Cash Flows

For the year ended on 30 June 2023

Particulars	Amount in Taka	
	30.06.2023	30.06.2022
Cash Flows from Operating Activities:		
Collection from turnover and accounts receivable	10,310,647,164	9,027,469,431
Collection from other income	137,316,888	80,397,495
Foreign currency gain / (loss)	307,478	916,835
Payment for purchase of raw materials	(8,940,538,046)	(8,819,079,172)
Payment for operating expenses	(49,307,773)	(48,893,300)
Payment for financial expenses	(138,328,406)	(146,976,070)
Increase in advances, deposits and prepayments	(118,736,379)	24,208,773
Increase/(Decrease) in liabilities	324,046,971	385,463,572
Tax paid	(117,961,789)	(54,790,450)
Net Cash Provided/ (Used) by Operating Activities	**1,407,446,108**	**448,717,114**
Cash Flows from Investing Activities:		
Acquisition of fixed assets including CWIP	(496,216,298)	(1,118,219,358)
Disposal of fixed assets	-	330,000
Net Cash Provided/(Used) by Investing Activities	**(496,216,298)**	**(1,117,889,358)**
Cash Flows from Financing Activities:		
Loan received from bank	(898,336,523)	918,328,954
Loan received from directors	(25,500,000)	(8,500,000)
Net Cash Provided/(Used) by Financing Activities	**(923,836,523)**	**909,828,954**
Increase/(Decrease) in Cash and Cash Equivalents	**(12,606,713)**	**240,656,710**
Opening balance of Cash and Cash Equivalents	**519,642,093**	**278,985,383**
Closing balance of Cash and Cash Equivalents	**507,035,380**	**519,642,093**
Net Operating Cash Flows Per Share (NOCFPS)	**351.86**	**112.18**

A. Matin Chowdhury	Azizur R. Chowdhury	Amit Kumar Saha	Syed Saiful Haque
Chairman	Managing Director	Chief Financial Officer	Company Secretary

Dhaka, 25 Oct 2023

BANGLADESH ASSOCIATION OF PUBLICLY LISTED COMPANIES

Ref. No: **CM-2023/222**

BAPLC

Date of issue : **April 16, 2023**

Renewed Certificate

This is to certify that

MALEK SPINNING MILLS LIMITED

is an Ordinary Member of **Bangladesh Association of Publicly Listed Companies** *and is entitled to all the rights and privileges appertaining thereto.*

This certificate remains current until 31st December **2023.**

BANGLADESH ASSOCIATION OF PUBLICLY LISTED COMPANIES BAPLC

Secretary General

Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh

PROXY FORM

I/We ....

of ....

being a member of Malek Spinning Mills Limited and a holder of..shares

hereby appoint Mr/Mrs/Miss..

of..

as my/our proxy to attend and vote for me/us on my/our behalf at the 34th Annual General Meeting of the Company to be held on Monday, December 18, 2023 at 11.00 a.m. under virtual platform through the link **https://www.digitalagmbd.net/malekspin**

As witness my hand this day 2023

Afix Revenue Stamp

____
Signature of the Proxy
Dated:

____
Signature of the Member
Dated:

Folio/BO ID																

Note: A member entitled to attend and vote at the Annual General Meeting may appoint proxy to attend and vote in his/her stead. The proxy form should reach at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.

Signature Verified

Authorized Signature
Malek Spinning Mills Limited

Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208
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